

Notes to the Financial Statements

1 MATERIAL ACCOUNTING POLICIES AND NOTES - GENERAL

Accounting policy relating to each accounting topic is given along with the relevant note to the Financial Statements. The other significant accounting policies are described below;

Corporate Information

1.1 Reporting Entity

LB Finance PLC, is a domiciled, public limited liability Company incorporated in Sri Lanka on 30 May 1971 under the Companies Act No. 51 of 1938. The Company was re-registered under the Companies Act No. 07 of 2007. It is a Licensed Finance Company registered under the Finance Business Act No. 42 of 2011 and amendments thereto. The registered office of the Company is located at No. 275/75, Prof. Stanley Wijesundara Mawatha, Colombo 07. The shares of the Company have a primary listing on the Colombo Stock Exchange. The staff strength of the Company as at 31 March 2024 was 4,132 (2023 - 3,562).

For purposes of this report, "LB Finance", the "Company", "we", "our", "us" or similar references mean LB Finance PLC.

1.2 Consolidated Financial Statements

The Consolidated Financial Statements as at and for the year ended 31 March 2024, comprise the LB Finance PLC (Parent Company) and its Subsidiaries (together referred to as the "Group" and individually as "Group entities").

The Company's parent undertaking is Vallibel One PLC. The Company's ultimate parent undertaking is Vallibel One PLC, which is incorporated in Sri Lanka. The Company's ultimate controlling party is Mr. Dhammika Perera.

LB Finance PLC

The Company provides a comprehensive range of financial services encompassing Acceptance of Fixed Deposits, Maintenance of Savings Accounts, Providing Finance Lease, Mortgage Loans, Gold Loans, Personal Loans, Other Credit Facilities, Digital Financial Services and Value Added Services.

There were no significant changes in the nature of the principal activities of the Company during the financial year under review.

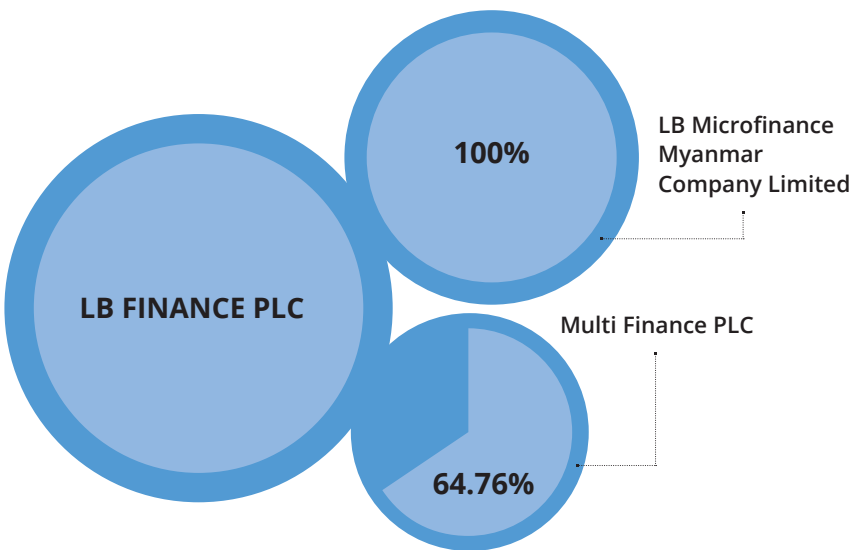
LB Microfinance Myanmar Company Limited

LB Microfinance Myanmar Company Limited was incorporated in Myanmar on 22 May 2017 as a 99% (31 March 2024 - 100%) owned subsidiary of LB Finance PLC. The principal business activities include engaging in microfinance lending. A license was issued by the Myanmar Microfinance Supervisory Committee to operate as a microfinance institution.

Multi Finance PLC

Multi Finance PLC was incorporated in Kandy on 14 October 1974 as a Limited Liability Company. It was listed in the Colombo Stock Exchange on 13 July 2011 and changed the status to a Public Quoted Company. Multi Finance PLC was acquired by L B Finance PLC on 16 March 2022 as a 64.63% (31 March 2024 - 64.76%) owned subsidiary by investing Rs. 400Mn. (31 March 2024 - Rs. 400.80 Mn) The principal business activities include engaging in diversified financing activities.

1.3 Principal Business Activities, Nature of Operations of the Group and Ownership by the Company in Its Subsidiaries



1.4 Approval of Financial Statements by Directors

The Financial Statements of the Group and the Company for the year ended 31 March 2024 (including comparatives for 31 March 2023) were approved and authorised for issue by the Board of Directors in accordance with the resolution of the Directors on 27 May 2024.

1.5 Statement of Compliance

Financial Statements of the Group and the separate Financial Statements of the Company which comprise the Statement of Financial Position, Income Statement, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows, Accounting Policies and Notes, have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of these Financial Statements is also in compliance with the requirements of Finance Business Act No. 42 of 2011, Listing Rules of the Colombo Stock Exchange and the Central Bank of Sri Lanka (CBSL) guidelines.

These Financial Statements, except for information on cash flows have been prepared following the accrual basis of accounting.

The Group did not adopt any inappropriate accounting treatments, which are not in compliance with the requirements of the SLFRSs and LKASs, regulations governing the preparation and presentation of the Financial Statements.

1.6 Responsibilities for the Financial Statements

The Board of Directors of the Company is responsible for these Financial Statements of the Group and the Company as per the provisions of the Companies

Act No. 07 of 2007 and Sri Lanka Accounting Standards.

The Board of Directors acknowledges the responsibility in relation to the Financial Statements, as set out in the 'Directors' Responsibility for Financial Reporting, 'Annual Report of the Board of Directors' and in the statement appearing with the Statement of Financial Position of the Annual Report.

1.7 Application of Sri Lanka Accounting Standards

1.7.1 Amendments to LKAS 08 : Accounting Policies, Changes in Accounting Estimates and Errors - Definition of Accounting Estimates

The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, they clarify how entities use measurement techniques and inputs to develop accounting estimates. The amended standard clarifies that the effects on an accounting estimate of a change in an input or a change in a measurement technique are changes in accounting estimates if they do not result from the correction of prior period errors.

1.7.2 Amendments to LKAS 12 : Income Taxes - Deferred Tax related to Assets and Liabilities arising from a Single Transaction

The amendments clarify that where payments that settle a liability are deductible for tax purposes, it is a matter of judgement (having considered the applicable tax law) whether such deductions are attributable for tax purposes to the liability recognised in the financial statements (and interest expense) or to the related asset component (and interest expense). This judgement is important in determining whether any temporary differences exist on initial recognition of the asset and liability.

Also, under the amendments, the initial recognition exception does not apply to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. It only applies if the recognition of a lease asset and lease liability (or decommissioning liability and decommissioning asset component) give rise to taxable and deductible temporary differences that are not equal.

1.7.3 Amendments to LKAS 01 : Presentation of Financial Statements - Disclosure of Accounting Policies and Amendments to IFRS Practice Statement 02 - Making Materiality Judgements

Amendments to LKAS 01 and IFRS Practice Statement to Making Materiality Judgements, provides guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide accounting policy disclosures that are more useful by:

- Replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies.
- Adding guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures.

1.8 Basis of Measurement

The Financial Statements of the Group have been prepared on the historical cost basis, except for the following material items in the Statement of Financial Position:

- ◆ Financial assets recognised through profit or loss - measured at fair value
- ◆ Financial assets measured at fair value through other comprehensive income
- ◆ Investment property measured at fair value
- ◆ Liabilities for defined benefit obligations are recognised using an actuarial technique (projected unit credit method)

1.9 Going Concern

The Management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. In making this assessment, the Board has considered a wide range of information relating to present and future conditions. The Directors assessed the future performance of the business and satisfied that it has the resources in place that are required to meet its ongoing regulatory requirements. The assessment is based upon business plans which contain future projections of profitability as well as projections of regulatory capital requirements and business funding needs.

The business plan showed that the Group had sufficient capital in place to support its future business requirements and remained above its regulatory minimum requirements in the stress scenarios. Accordingly, the Directors concluded that there was a reasonable expectation that the Group has adequate resources to continue as a Going Concern for a period of at least 12 months from the date of approval of the Financial Statements. Furthermore, the Management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements of the Group continue to be prepared on a Going Concern basis.

1.10 Functional and Presentation Currency

The Financial Statements of the Company are presented in Sri Lankan Rupees, which is the currency of the primary economic environment in which LB Finance PLC operates.

Each entity in the Group determines its own functional currency and items included in the Financial Statements of these

entities are measured using that Functional Currency. These Financial Statements are presented in Sri Lankan Rupees, the Group's Functional and Presentation Currency.

1.11 Presentation of Financial Statements

Assets and Liabilities of the Group presented in their Statements of Financial Position are Grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements. An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in Note 3.3 on 'Current and Non Current Analysis of Assets and Liabilities' to these Financial Statements.

1.12 Use of Materiality, Aggregation, Offsetting and Rounding

Materiality and Aggregation

In compliance with Sri Lanka Accounting Standard - LKAS 01 (Presentation of Financial Statements), each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately unless they are immaterial.

Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses are not offset in the Income Statement unless required or permitted by an Accounting Standard.

Rounding

The amounts in the Financial Statements have been rounded off to the nearest Rupees thousands, except where otherwise indicated as permitted by the Sri Lanka Accounting Standard - LKAS 01.

1.13 Comparative Information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period's Financial Statements and to enhance the inter period comparability. The presentation and classification of the Financial Statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

1.14 Sri Lanka Accounting Standards Issued but Not yet Effective as at 31 March 2024

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of Financial Statements are disclosed below. The Group intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

1.14.1 SLFRS 17 : Insurance Contracts

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 04 (Insurance Contracts) that was issued in 2005. SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. The core of SLFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2026, with comparative figures required. Early application is permitted, provided the entity also applies SLFRS 09 and SLFRS 15 on or before the date it first applies SLFRS 17.

The Group does not expect this will result in a material impact on its Financial Statements.

1.14.2 Amendments to LKAS 01 : Presentation of Financial Statements - Classification of Liabilities as Current or Non-current

Amendments to LKAS 01 relate to classification of liabilities with covenants as current or non-current. The amendments clarify that if an entity's right to defer settlement of a liability is subject to the entity complying with the required covenants only at a date subsequent to the reporting period ("future covenants"), the entity has a right to defer settlement of the liability even if it does not comply with those covenants at the end of the reporting period. The requirements apply only to liabilities arising from loan arrangements.

The amendments are effective for annual reporting periods beginning on or after 1 January 2024. The Group does not expect this will result in a material impact on its Financial Statements.

1.14.3 Amendments to LKAS 07 : Statement of Cash Flows - Supplier Finance Arrangements

Amendments to SLFRS 07 : Financial Instruments Disclosures - Supplier Finance Arrangements

The amendments clarify the characteristics of supplier finance arrangements and require an entity to provide information about the impact of supplier finance arrangements on liabilities and cash flows, including terms and conditions of those arrangements, quantitative information on liabilities related to those arrangements as at the beginning and end of the reporting period and the type and effect of non-cash changes in the carrying amounts of those arrangements.

The amendments are effective for annual reporting periods beginning on or after 1 January 2024. The Group does not expect this will result in a material impact on its Financial Statements.

1.14.4 Amendments to LKAS 12 : Income Taxes - International Tax Reform : Pillar Two Model Rule

The amendments to LKAS 12 introduce a mandatory exception in LKAS 12 from recognising and disclosing deferred tax assets and liabilities related to Pillar Two income taxes. An entity is required to disclose that it has applied the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.

The amendments are effective for annual reporting periods beginning on or after 1 January 2024. The Group does not expect this will result in a material impact on its Financial Statements.

1.14.5 Amendment to SLFRS 16 : Leases - Lease Liability in a Sale and Leaseback

The amendments to SLFRS 16 : Leases specify the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains. A seller-lessee applies the amendment retrospectively in accordance with LKAS 08 to sale and leaseback transactions entered into after the date of initial application.

The amendments are effective for annual reporting periods beginning on or after 1 January 2024. The Group does not expect this will result in a material impact on its Financial Statements.

1.15 Changes in Accounting Policies

The accounting policies adopted by the Group are consistent with those used in the previous financial year. Further, the Group has not early adopted any other accounting standard, interpretation or amendment that has been issued but not effective.

1.16 Significant Accounting Assumptions, Judgments and Estimation Uncertainties

The preparation of Financial Statements of the Group in conformity with Sri Lanka Accounting Standards requires the management to make assumptions, judgments and estimates that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Due to the inherent uncertainty involved with estimates, actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

The most significant areas of estimation uncertainties, critical judgments and assumptions in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Group are as follows;

- 1.23 Impairment of Non Financial Assets
- 1.24 Estimating the Incremental Borrowing Rate
- 2.10 Taxation
- 2.13 Classification of Financial Assets and Liabilities
- 2.14 Fair Value of Financial Instruments
- 2.18 Allowance for Impairment Losses
- 2.22 Investment in Subsidiaries
- 2.23 Useful Lifetime of the Property, Plant and Equipment
- 2.24 Fair Valuation of Investment Properties
- 2.25 Useful Lifetime of the Intangible Assets
- 2.26 Deferred Tax Assets and Liabilities
- 2.33 Post Employment Benefit Liability
- 3.5 Commitments and Contingencies
- 3.10 Events Occurring after the Reporting Date

1.17 Basis of Consolidation

The Group's Financial Statements comprise, Consolidated Financial Statements of the Company and its Subsidiaries in terms of the Sri Lanka Accounting Standard - SLFRS 10 (Consolidated Financial Statements).

1.17.1 Non-Controlling Interest

Details of Non-Controlling Interest are given in Note 2.37 to these Financial Statements.

1.17.2 Investment in Subsidiaries

Details of the Company's subsidiaries are set out in Note 2.22 to these Financial Statements.

1.17.3 Loss of Control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related Non-Controlling Interest and other components of equity. Any resulting gain or loss is recognised in Income Statement. Any interest retained in the former subsidiary is measured at fair value when control is lost. Subsequently, it is accounted for as an Associate or in accordance with the Group's Accounting Policy for financial instruments depending on the level of influence retained.

1.17.4 Transactions Eliminated on Consolidation

Intra-group balances, transactions and any unrealised income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions are eliminated in preparing the Consolidated Financial Statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

1.18 Foreign Currency

1.18.1 Foreign Currency Transactions and Balances

Foreign currency transactions are translated into the functional currency, which is Sri Lankan Rupees, using the exchange rates prevailing at the dates of the transactions. In this regard, the Company's practice is to use the

middle rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies as at the reporting date are translated into the functional currency at the middle exchange rate of the functional currency ruling as at the reporting date. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency as at the beginning of the year adjusted for effective interest and payments during the year and the amortised cost in foreign currency translated at the exchange rate as at the reporting date.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are translated into the functional currency at the spot exchange rate at the date that the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate as at the date of the transaction.

Foreign currency differences arising on translation are generally recognised in Income Statement. However, foreign currency differences arising from the translation of available for sale equity instruments are recognised in Other Comprehensive Income.

1.18.2 Foreign Currency Translations

The Group's Consolidated Financial Statements are presented in Sri Lankan Rupees, which is also the Company's functional currency. The Financial Statements of the foreign operations of the Company have been translated into the Group's presentation currency as explained under Note 1.18.3 below.

1.18.3 Foreign Operations

The results and financial position of overseas operations that have a functional currency difference from the Company's presentation

currency are translated into the Company's presentation currency as follows;

Assets and liabilities, including goodwill and fair value adjustments arising on acquisition, are translated at the rates of exchange rates ruling as at the reporting date.

Income and expenses are translated at the average exchange rate for the period, unless this average rate is not a reasonable approximation of the rate prevailing at the transaction date, in which case income and expenses are translated at the exchange rates ruling at the transaction date.

All resulting exchange differences are recognised in the Other Comprehensive Income and accumulated in the Foreign Currency Translation Reserve, which is a separate component of Equity, except to the extent that the translation difference is allocated to the Non-Controlling Interest.

When a foreign operation is disposed of such that the control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to Income Statement as part of the gain or loss on disposal. If the Group disposes of only part of its interest in a subsidiary that includes a foreign operation while retaining control, then the relevant proportion of the cumulative amount of the translation reserve is reattributed to Non-Controlling Interest.

1.19 Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

The amount recognised is the best estimate of the consideration

required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is determined based on the present value of those cash flows. A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured as the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract.

Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract. The expense relating to any provision is presented in the Income Statement net of any reimbursement.

1.20 Operational Risk Events

Provisions for operational risk events are recognised for losses incurred by the Group which do not relate directly to amounts of principal outstanding for loans and advances. The amount recognised as a provision is the best estimate of the expenditure required to settle the present obligation as at the reporting date, taking into account the risks and uncertainties that surround the events and circumstances that affect the provision.

1.21 Borrowing Costs

As per the Sri Lanka Accounting Standard – LKAS 23 (Borrowing Costs), the Group capitalises borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset as part of the cost of the asset. A qualifying asset is an asset which takes a substantial period of time to get ready for its intended use or sale. Other

borrowing costs are recognised in the Income Statement in the period in which they occur.

1.22 Financial Guarantees and Loan Commitments

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss that it incurs because a specified debtor fails to make payment when it is due in accordance with the terms of a debt instrument. Loan commitments are firm commitments to provide credit under pre-specified terms and conditions.

Loan commitments at below market interest rates drawdown are initially measured at fair value and subsequently measured at the higher of the amount of the ECL allowance and the amount initially recognised less, when appropriate, the cumulative amount of income recognised.

The nominal contractual value of financial guarantees, letters of credit and undrawn loan commitments, where the loan agreed to be provided is on market terms, are not recorded in the Statement of Financial Position.

Loan types with undrawn limits are expected to change the exposure over a period due to the available portion in the unutilised limit. The drawdowns for unutilised portions (only for Stage 01 and 02) are considered by applying the behavioral (average) use of the facility over the given period and current excess over the average (positive net exposure). Then the positive net exposure is classified as 12 month or lifetime expected credit loss.

Details of commitments and contingencies are presented in Note 3.5 to these Financial Statements.

1.23 Impairment of Non Financial Assets

The Group assess at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating Unit's (CGU's) fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists,

the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Income Statement. A previously recognised impairment loss in respect of goodwill is not reversed.

1.24 Estimating the Incremental Borrowing Rate

Further, as the Group cannot readily determine the interest rate implicit in the lease, it uses its Incremental Borrowing Rate (IBR) to measure the lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease).

The Group estimates the IBR using observable input when available and is required to make certain entity-specific adjustments.

1.25 Other Taxes

1.25.1 Withholding Tax (WHT) on Dividends

Withholding Tax arises from the distribution of dividends by the Company and is recognised at the time the liability to pay the related dividend is recognised. The prevailing WHT rate on dividends distributed by the Company to shareholders is 15%. Dividend paid by the Company will be exempt in the hands of shareholders to the extent that such dividend payment is attributable to, or derived from dividend received by the Company from another resident Company.

As per the Inland Revenue (Amendment) Act No. 45 of 2022, WHT on dividends was introduced effective from 01 January 2023.

1.25.2 Value Added Tax (VAT)

The VAT rate had been increased from 15% to 18% with effect from 01 January 2024. Further, goods and services which were previously exempt from VAT became liable at the rate of 18% with effect from 01 January 2024.

2 MATERIAL ACCOUNTING POLICIES AND NOTES - SPECIFIC

2.1 Net Interest Income

Accounting Policy

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

The Group use the Effective Interest Rate (EIR) method for recognising the interest income and interest expenses of financial assets and financial liabilities that are measured at amortised cost, fair value through profit or loss or fair value through other comprehensive income under SLFRS 09. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability.

The calculation of EIR takes into account all contractual terms of the financial instrument and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses.

The carrying amount of the financial asset or financial liability is adjusted if the Group revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original EIR and the change in carrying amount is recorded as an impairment charge or reversal to the Income Statement.

Once the recorded value of a financial asset or a Group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. Recognition of interest income is ceased when one or more of the criteria set out in Note 2.18 is present for a financial asset. More information on interest cessation is discussed in Note 2.18 to these Financial Statements. Interest from overdue rentals have been accounted for on a cash received basis.

2.1.1 Income

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Year ended 31 March				
Interest Income (Note 2.1.2)	45,866,539	39,643,934	46,239,187	39,973,555
Fee and Commission Income (Note 2.2)	3,186,422	2,951,065	3,217,460	2,986,402
Net Trading Income (Note 2.3)	4,943	(2,096)	4,943	(2,096)
Other Operating Income (Note 2.4)	172,191	163,555	174,181	175,582
	49,230,095	42,756,458	49,635,771	43,133,443

2.1.2 Interest Income

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Year ended 31 March				
Loans and Receivables (Note 2.1.3)	41,999,843	36,199,828	42,336,135	36,501,986
Other Financial Assets	3,866,696	3,444,106	3,903,052	3,471,569
	45,866,539	39,643,934	46,239,187	39,973,555

2.1.3 Interest Income - Loans and Receivables

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Year ended 31 March				
Gold Loans	18,869,751	17,095,342	18,910,541	17,147,151
Lease Receivables	9,629,910	9,376,385	9,640,092	9,393,466
Vehicle Loans	8,265,381	4,841,443	8,265,381	4,841,443
Term Loans	1,556,653	1,404,766	1,841,973	1,638,034
Mortgage Loans	757,104	788,843	757,104	788,843
Power Drafts	2,921,044	2,693,049	2,921,044	2,693,049
	41,999,843	36,199,828	42,336,135	36,501,986

2.1.4 Interest Income from Sri Lanka Government Securities

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Interest Income from Sri Lanka Government Securities	2,619,643	1,318,017	2,650,378	1,340,371

2.1.5 Interest Expenses

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Due to Banks	2,130,847	3,483,738	2,151,067	3,484,229
Financial Liabilities at Amortised Cost - Due to Depositors	18,791,874	16,286,339	18,848,984	16,331,266
Debt Issued and Other Borrowed Funds	221,469	647,980	221,469	647,980
Other Financial Liabilities	235,309	197,528	239,111	200,481
	21,379,499	20,615,585	21,460,631	20,663,956

2.1.6 Interest Expenses (Product-wise Breakdown)

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Bank Overdrafts	3,450	3,126	3,471	3,172
Debt Funding from Banks (Note 2.27.1)	2,127,397	3,480,612	2,147,596	3,481,057
Fixed Deposits	18,663,297	16,173,536	18,681,323	16,205,985
Savings Deposits	128,577	112,803	167,661	125,281
Debt Funding from International Financial Institutions	205,586	372,085	205,586	372,085
Securitised Borrowings	15,883	-	15,883	-
Unsecured Debentures	-	275,895	-	275,895
Interest Expense on Lease Liabilities	235,309	197,528	239,111	200,481
	21,379,499	20,615,585	21,460,631	20,663,956

2.1.7 Net Interest Income

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Interest Income	45,866,539	39,643,934	46,239,187	39,973,555
Interest Expenses	21,379,499	20,615,585	21,460,631	20,663,956
	24,487,040	19,028,349	24,778,556	19,309,599

2.2 Fee and Commission Income

Accounting Policy

The Group earns fee and commission income from a diverse range of services it provides to its customers. These fees include credit-related fees and commission income. All fees and commissions are recognised to the Income Statement on an accrual basis. Fee and commission income that are integral to the EIR of a financial asset or financial liability are capitalised and included in the measurement of the EIR and recognised in the Income Statement over the expected life of the instrument.

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Credit Related Fees and Commissions	1,391,352	1,032,470	1,420,217	1,061,399
Service Charge	1,795,070	1,918,595	1,797,243	1,925,003
	3,186,422	2,951,065	3,217,460	2,986,402

2.3 Net Trading Income

Accounting Policy

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets 'recognised through profit or loss' other than interest income.

Dividend income received from financial assets recognised through profit or loss is recognised when the Group's right to receive the payment is established.

Year ended 31 March	Company & Group	
	2024 Rs. '000	2023 Rs. '000
Dividend Income from Financial Assets Recognised Through Profit or Loss	922	459
Appreciation/(Depreciation) in Market Value of Financial Assets Recognised Through Profit or Loss	4,021	(2,555)
	4,943	(2,096)

2.4 Other Operating Income

Accounting Policy

Income earned on other sources, which are not directly related to the normal operations of the Group is recognised as Other Operating Income on an accrual basis.

Dividend income received from financial assets measured at fair value through other comprehensive income is recognised when the Group's right to receive the payment is established.

The profit/(loss) on disposal of property, plant and equipment is determined as the difference between the carrying amount of the assets at the time of disposal and the proceeds of disposal, net of incremental disposal costs. This is recognised as an item of other operating income in the financial year in which significant risks and rewards of ownership are transferred to the buyer.

Income on operating leases are accounted for on a straight-line basis over the periods of the leases.

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Dividend Income from Financial Assets Measured at Fair Value Through Other Comprehensive Income	2,797	2,770	2,842	2,770
Profit/(Loss) on Disposal of Property, Plant and Equipment	37,533	11,137	37,533	11,137
Income on Operating Lease	5,212	103,728	5,212	103,728
Sundry Income	126,649	45,920	128,594	57,947
	172,191	163,555	174,181	175,582

2.5 Impairment Charges

Accounting Policy

The Group recognises the changes to the impairment provision which are assessed based on expected credit loss method in accordance with Sri Lanka Accounting Standard - SLFRS 09 (Financial Instruments). The methodology adopted by the Group is explained in the Note 2.18 to these Financial Statements. Recovery of amounts written-off as bad and doubtful debts is credited to impairment charges.

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Loans and Receivables	386,926	648,872	399,042	618,709
Other Receivables	-	-	-	3,552
Impairment on Investment in Fixed Deposits	(47,741)	(18,189)	(47,741)	(18,189)
Impairment on Investments in Subsidiaries	223,063	-	-	-
Impairment on Off-Balance Sheet Credit Exposures	1,491	3,604	1,491	3,604
Impairment on Goodwill	-	-	107,803	-
Recovery of Written-off Debts	(190,502)	(88,543)	(190,502)	(88,543)
	373,236	545,744	270,093	519,133

2.5.1 Impairment Charges (Detailed Breakdown) - Company

Year ended 31 March	2024			2023		
	Direct Write-offs Rs. '000	Charge/ (Reversal) for the Year Rs. '000	Net Amount Rs. '000	Direct Write-offs Rs. '000	Charge/ (Reversal) for the Year Rs. '000	Net Amount Rs. '000
Loans and Receivables	9,723	377,203	386,926	15,590	633,282	648,872
Impairment on Investment in Fixed Deposits			(47,741)			(18,189)
Impairment Investment in Subsidiaries			223,063			-
Impairment on Off-Balance Sheet Credit Exposures			1,491			3,604
Recovery of Written-off Debts			(190,502)			(88,543)
			373,236			545,744

2.5.2 Impairment Charges (Detailed Breakdown) - Group

Year ended 31 March	2024			2023		
	Direct Write-offs Rs. '000	Charge/ (Reversal) for the Year Rs. '000	Net Amount Rs. '000	Direct Write-offs Rs. '000	Charge/ (Reversal) for the Year Rs. '000	Net Amount Rs. '000
Loans and Receivables	9,723	389,319	399,042	15,590	603,119	618,709
Impairment on Other Receivables			-			3,552
Impairment on Investment in Fixed Deposits			(47,741)			(18,189)
Impairment on Off-Balance Sheet Credit Exposures			1,491			3,604
Impairment on Goodwill			107,803			-
Recovery of Written-off Debts			(190,502)			(88,543)
			270,093			519,133

2.5.3 Analysis of Impairment Charges - Company

Year ended 31 March 2024	Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000	Total Rs. '000
Gold Loans	543,998	(54,804)	(656)	488,538
Lease Receivables	(49,977)	(98,207)	(106,884)	(255,068)
Vehicle Loans	227,980	15,923	17,110	261,013
Term Loans	(94,973)	(3,168)	2,775	(95,366)
Mortgage Loans	(57,305)	(17,375)	(52,759)	(127,439)
Power Drafts	48,182	(16,380)	83,446	115,248
Loans and Receivables	617,905	(174,011)	(56,968)	386,926
Impairment on Investment in Fixed Deposits				(47,741)
Impairment Investment in Subsidiaries				223,063
Impairment on Off-Balance Sheet Credit Exposures				1,491
Recovery of Written-off Debts				(190,502)
Total Allowance for Impairment Losses				373,236
Year ended 31 March 2023	Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000	Total Rs. '000
Gold Loans	384,819	71,544	38,958	495,321
Lease Receivables	(26,393)	73,340	(131,801)	(84,854)
Vehicle Loans	51,358	71,467	24,759	147,584
Term Loans	91,105	7,482	18,055	116,642
Mortgage Loans	(78,578)	33,201	(64,771)	(110,148)
Power Drafts	(34,936)	24,453	94,810	84,327
Loans and Receivables	387,375	281,487	(19,990)	648,872
Impairment on Investment in Fixed Deposits				(18,189)
Impairment on Off-Balance Sheet Credit Exposures				3,604
Recovery of Written-off Debts				(88,543)
Total Allowance for Impairment Losses				545,744

2.5.4 Analysis of Impairment Charges - Group

Year ended 31 March 2024	Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000	Total Rs. '000
Gold Loans	542,748	(54,900)	(6,011)	481,837
Lease Receivables	(50,007)	(98,251)	(104,394)	(252,652)
Vehicle Loans	227,987	15,910	18,592	262,489
Term Loans	(80,853)	(3,948)	(729)	(85,530)
Mortgage Loans	(57,305)	(17,375)	(47,647)	(122,327)
Power Drafts	48,153	(16,396)	83,468	115,225
Loans and Receivables	630,723	(174,960)	(56,721)	399,042
Impairment on Investment in Fixed Deposits				(47,741)
Impairment on Off-Balance Sheet Credit Exposures				1,491
Impairment on Goodwill				107,803
Recovery of Written-off Debts				(190,502)
Total Allowance for Impairment Losses				270,093
Year ended 31 March 2023	Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000	Total Rs. '000
Gold Loans	384,917	71,446	38,901	495,264
Lease Receivables	(26,434)	73,275	(125,419)	(78,578)
Vehicle Loans	51,358	71,467	24,759	147,584
Term Loans	60,721	6,911	12,628	80,260
Mortgage Loans	(78,578)	33,201	(64,771)	(110,148)
Power Drafts	(34,936)	24,453	94,810	84,327
Loans and Receivables	357,048	280,753	(19,092)	618,709
Impairment on Other Receivables				3,552
Impairment on Investment in Fixed Deposits				(18,189)
Impairment on Off-Balance Sheet Credit Exposures				3,604
Recovery of Written-off Debts				(88,543)
Total Allowance for Impairment Losses				519,133

2.6 Personnel Expenses

Accounting Policy

Personnel Expenses include salaries and bonus, terminal benefits and other staff-related expenses. The provision for bonus is recognised when it is probable that an outflow of resource embodying economic benefits will be required to settle the obligation and a reliable estimate can be made on the amount of the obligation.

Defined Contribution Plans - Employees' Provident Fund and Employees' Trust Fund - LB Finance PLC and Multi Finance PLC

A defined contribution plan is a post employment benefit plan under which an entity pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods as defined in the Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and is recorded as an expense when they become due. Unpaid contributions are recorded as a liability.

The Company and the employees contribute 12% and 8% respectively on the salary of each employee to the Employees' Provident Fund.

The Company contributes 3% of the salary of each employee to the Employees' Trust Fund.

Defined Contribution Plans - Social Security Fund - LB Microfinance Myanmar Company Limited

The Company and the employees contribute 3% and 2% respectively on the salary of each employee to the Social Security Board. The maximum contribution is limited to Myanmar kyat 9,000/- by the Company and Myanmar kyat 6,000/- by the employee.

Defined Benefit Plans - LB Finance PLC and Multi Finance PLC

A defined benefit plan is a post employment benefit plan other than a defined contribution plan. Accordingly, staff gratuity was considered as defined benefit plan as per Sri Lanka Accounting Standard - LKAS 19.

Day 01 Loss on Staff Loan

The 'Day 01 loss' arising in the case of loans granted to employees at concessionary rates under uniformly applicable schemes is amortised using Effective Interest Rates (EIR) over the tenure of the loan.

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Salaries and Other Related Expenses	3,617,728	3,000,436	3,725,802	3,106,246
Employer's Contribution to Employees' Provident Fund	296,727	262,018	298,666	265,653
Employer's Contribution to Employees' Trust Fund	63,215	54,309	63,700	55,218
Gratuity Charge/(Reversal) for the Year (Note 2.33.2)	118,285	102,774	119,098	104,927
Staff Training	23,222	11,717	24,241	12,454
Staff Welfare Expenses	253,737	111,031	268,414	122,187
Amortisation of Staff Loan Day 01 Difference	3,561	2,852	3,561	2,852
	4,376,475	3,545,137	4,503,482	3,669,537

2.7 Depreciation and Amortisation

Accounting Policy

Depreciation of Property, Plant and Equipment

Depreciation is calculated to write-off the cost of items of property, plant and equipment less their estimated residual values using the straight-line method over their estimated useful lives and is recognised in the Income Statement. Freehold land is not depreciated.

Right-of-use assets are depreciated over the useful lives of the assets. However, if there is no reasonable certainty that the Group will obtain the ownership by the end of the lease term, the assets are depreciated over the shorter of the estimated useful lives and the lease terms as defined in Note 2.23.

Amortisation of Intangible Assets

Intangible assets are amortised using the straight-line method to write down the cost over its estimated useful economic lives from the date on which it is available for use at the rates specified in Note 2.25.

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Depreciation of Property, Plant and Equipment (Note 2.7.1)	576,280	526,442	582,796	534,252
Depreciation of Right-of-Use Assets (Note 2.7.1)	290,068	290,292	299,776	299,903
Amortisation of Intangible Assets (Note 2.7.2)	8,414	8,183	11,189	13,284
	874,762	824,917	893,761	847,439

2.7.1 Depreciation of Property, Plant and Equipment

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Freehold Buildings and Edifices	25,685	23,746	25,685	23,746
Furniture and Fittings	39,661	40,837	42,252	43,612
Equipment	103,637	102,674	104,994	104,268
Motor Vehicles	27,202	27,891	27,403	28,070
Computer Hardware and Equipment	117,249	102,176	119,616	105,438
Improvement of Leasehold Asset	81,810	76,858	81,810	76,858
Fixtures and Fittings	181,036	152,260	181,036	152,260
	576,280	526,442	582,796	534,252
Right-of-Use Assets	290,068	290,292	299,776	299,903
	866,348	816,734	882,572	834,155

2.7.2 Amortisation of Intangible Assets

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Computer Software	8,414	8,183	11,189	13,284

2.8 Other Operating Expenses

Accounting Policy

Other operating expenses are recognised in the Income Statement on the basis of a direct association between the cost incurred and the earnings of the specific items of the income. All the expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Income Statement in arriving at the profit for the year.

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Directors' Emoluments	25,774	18,162	25,774	18,162
Auditors' Remunerations	4,858	4,283	9,152	8,748
Audit-Related Expenses	2,250	2,575	2,250	2,575
Non-Audit Fees to Auditors	1,279	1,365	1,279	1,365
Professional and Legal Expenses	87,778	57,626	110,813	62,203
Deposit Insurance Premium	171,353	149,091	171,521	149,421
General Insurance Expenses	199,606	156,180	201,238	160,461
Office Administration and Establishment Expenses	2,309,121	1,880,322	2,380,340	1,951,933
Advertising and Business Promotional Expenses	520,001	454,002	544,495	473,498
Crop Insurance Levy Expenses	96,274	84,342	96,274	84,342
	3,418,294	2,807,948	3,543,136	2,912,708

Crop Insurance Levy

As per the provisions of the Section 14 of the Finance Act No. 12 of 2013, the Crop Insurance Levy was introduced with effect from 1 April 2013 and was payable to the National Insurance Trust Fund. Currently, the Crop Insurance Levy is payable at 1% of profit after tax.

Directors' Emoluments

Directors' Emoluments include fees paid to Non-Executive Directors. Remunerations paid to Executive Directors are included under Salaries and Other Related Expenses in Note 2.6 to these Financial Statements.

2.9 Tax on Financial Services

Tax on Financial Services include Value Added Tax on Financial Services and Social Security Contribution Levy on Financial Services.

Value Added Tax (VAT) on Financial Services

VAT on Financial Services is calculated in accordance with the Value Added Tax Act No. 14 of 2002 and subsequent amendments thereto. The base for the computation of VAT on Financial Services is the accounting profit before VAT on Financial Services and income tax adjusted for the economic depreciation and emoluments payable to employees including cash benefits, non-cash benefits and provisions relating to terminal benefits. VAT on Financial Services was charged at 18% with effect from 1 January 2022.

Social Security Contribution Levy (SSCL) on Financial Services

As per the Social Security Contribution Levy (SSCL) Act No. 25 of 2022, effective from 1 October 2022, the Company is liable to pay SSCL on Financial Services at the rate of 2.5% on the value addition attributable to the supply of financial services. Further the non-financial services are also made liable on the turnover at the rate of 2.5%.

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Value Added Tax (VAT) on Financial Services	3,185,057	2,498,862	3,187,317	2,505,367
Social Security Contribution Levy (SSCL) on Financial Services	442,565	171,713	442,926	172,239
	3,627,622	2,670,575	3,630,243	2,677,606

2.10 Taxation

Accounting Policy

As per Sri Lanka Accounting Standard - LKAS 12 (Income Taxes), tax expense is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxation. Income tax expense is recognised in the Income Statement except to the extent it relates to items recognised directly in 'Equity' or 'Other Comprehensive Income (OCI)', in which case it is recognised in Equity or in OCI.

Current Taxation

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted by the reporting date. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto at the rates specified in Note 2.10.3 to these Financial Statements.

Provision for taxation on the overseas operations is made on the basis of the accounting profit for the year, as adjusted for taxation purposes, in accordance with the provisions of the relevant statutes in those countries, using the tax rates enacted or substantively enacted as at the reporting date.

Accounting Estimates

Significant judgment was required to determine the total provision for current and deferred taxes. Uncertainties exist, with respect to the interpretation of the applicability of tax laws, at the time of the preparation of these Financial Statements. The Group recognised assets and liabilities for current and deferred taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income and deferred tax amounts in the period in which the determination is made.

Deferred Tax Assets and Liabilities

Detailed disclosure of accounting policies and estimate of deferred tax is available in Note 2.26 to these Financial Statements.

2.10.1 The Major Components of Income Tax Expense are as follows;

Year ended 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
2.10.1 (a) Income Statement				
Current Income Tax				
Income Tax for the Year	5,871,958	4,168,369	5,887,807	4,179,506
Under/(Over) Provision of Current Taxes in respect of Previous Years	(110,773)	(1,214)	(111,361)	(8,394)
Deferred Tax				
Deferred Taxation Charge/(Reversal) (Note 2.26)	(144,616)	(880,934)	(149,032)	(880,934)
	5,616,569	3,286,221	5,627,414	3,290,178
2.10.1 (b) Statement of Other Comprehensive Income				
Deferred Tax				
Deferred Taxation Charge/(Reversal) (Note 2.26)	(16,112)	2,262	(16,112)	2,262
	(16,112)	2,262	(16,112)	2,262
2.10.1 (c) Total Tax Expense for the Financial Year	5,600,457	3,288,483	5,611,302	3,292,440

2.10.2 Reconciliation of Accounting Profit to Taxable Profit

A reconciliation between the tax expense and the accounting profit multiplied by relevant tax rate is as follows;

Year ended 31 March	Tax Rate	Company		Group	
		2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Accounting Profit before Income Taxation		15,180,207	11,746,552	15,334,425	11,843,064
Income Tax Expense at the Statutory Income					
LB Finance PLC	24% - 30%	4,554,062	3,172,046	4,554,062	3,172,046
Multi Finance PLC	24% - 30%	-	-	-	(1,270)
LB Microfinance Myanmar Company Limited	22%	-	-	13,909	22,852
Tax Effect of Non-Deductible Expenses		1,200,356	277,660	1,200,356	281,733
Tax Effect of Deductible Expenses		(2,892)	(123,742)	(5,368)	(130,113)
Tax Effect of Qualifying Payments		(40,296)	(36,267)	(40,296)	(44,414)
Under/(Over) Provision of Current Taxes in respect of Previous Years		(110,773)	(1,214)	(111,361)	(8,394)
		5,600,457	3,288,483	5,611,302	3,292,440
Effective Tax Rate		36.89%	28.00%	36.59%	27.80%
Effective Tax Rate (Excluding Deferred Tax)		37.85%	35.49%	37.56%	35.24%
Effective Tax Rate (Excluding Tax on Financial Services)		29.78%	22.81%	29.59%	22.67%
Charge/(Reversal) for Deferred Tax		(144,616)	(880,934)	(149,032)	(880,934)
Accounting Profit before Tax on Financial Services		18,807,829	14,417,127	18,964,668	14,520,670

2.10.3 Income Tax expense of the Company and its subsidiaries have been recorded for on the taxable income at rates shown below;

	2024	2023
LB Finance PLC	30%	24% - 30%
Multi Finance PLC	30%	24% - 30%
LB Microfinance Myanmar Company Limited	22%	22%

2.10.4 Summary of the Taxes Paid During the Financial Year

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Direct Taxes				
Income Tax	5,211,237	3,922,132	5,226,892	3,922,132
Social Security Contribution Levy on Financial Services	436,356	134,766	436,853	135,085
Surcharge Tax	-	2,320,210	-	2,320,210
Value Added Tax on Financial Services	3,196,193	2,415,644	3,198,966	2,418,224
Crop Insurance Levy	95,410	81,495	95,410	81,495
	8,939,196	8,874,247	8,958,121	8,877,146
Indirect Taxes (Collected and Paid)				
Value Added Tax	472,260	371,477	472,260	371,477
Stamp Duty	150,877	179,777	150,970	180,122
Social Security Contribution Levy on Others	78,650	29,638	78,650	29,689
Withholding Tax on Dividend and Interest	1,407,535	133,361	1,410,485	133,883
Advanced Personal Income Tax	362,966	126,772	363,266	127,028
	2,472,288	841,025	2,475,631	842,199
Total Taxes Paid during the Financial Year	11,411,484	9,715,272	11,433,752	9,719,345

2.11 Earnings Per Ordinary Share

Accounting Policy

The Group presents Basic and Diluted Earnings per Share (EPS) data for its ordinary shares. Basic earnings per share is calculated by dividing the net profit for the year attributable to ordinary shareholders by weighted average number of ordinary shares outstanding during the year, as per the Sri Lanka Accounting Standard - LKAS 33 (Earnings Per Share).

Diluted EPS is determined by adjusting the profit or loss attributable to the ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all potentially dilutive ordinary shares, which comprise share options granted to employees. The Group does not have any potentially dilutive shares.

2.11.1 Income and Shares Details Used in the Basic Earning per Share Computation

	Company		Group	
	2024	2023	2024	2023
Amounts Used as the Numerators:				
Profit after Tax for the Year Attributable to Equity Holders (Rs. '000)	9,563,638	8,460,331	9,713,917	8,554,543
Number of Ordinary Shares Used as Denominators for Basic Earnings per Share				
Weighted Average Number of Ordinary Shares in Issue	554,057,136	554,057,136	554,057,136	554,057,136
Basic/Diluted Earnings per Ordinary Share (Rs.)	17.26	15.27	17.53	15.44

2.11.2 The Diluted earnings per ordinary share is equal to the basic earnings per ordinary share since the Company and the Group does not have any convertible securities as at the reporting date.

2.12 Dividend Paid and Proposed

Accounting Policy

Provision for final dividends is recognised at the time the dividend recommended and declared by the Board of Directors, is approved by the shareholders. Interim dividends payable is recognised when the Board approves such dividend in accordance with the Companies Act No. 07 of 2007.

Year ended 31 March	2024		2023	
	Dividend Per Share		Dividend Per Share	
	Rs.	Rs. '000	Rs.	Rs. '000
Dividends on Ordinary Shares:				
Interim Dividend Declared for 2023 (Paid After the Reporting Date)	-	-	2.00	1,108,114
Final Dividend Declared for 2023 (Paid After the Reporting Date)	-	-	3.00	1,662,171
Interim Dividend Declared for 2024 (Paid in 2024 and Paid After the Reporting Date)	2.25	1,246,629	-	-
Final Dividend Proposed for 2024 (to be Approved at the Annual General Meeting)	3.50	1,939,200	-	-
	5.75	3,185,829	5.00	2,770,285
Dividend Per Share (Rs.)				
Dividend per Share : Gross (Rs.)	5.75		5.00	
Dividend per Share : Net (Rs.)	4.89		4.25	

Dividend per share is calculated based on the interim dividend paid/payable and the proposed final dividend for the Financial year ended 31 March 2024 which is to be approved at the Annual General Meeting.

2.13 Financial Instruments

Accounting Policy

Date of Recognition

Financial assets and liabilities, with the exception of loans and advances to customers and balances due to depositors, are initially recognised on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. This includes regular way trades, purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place. Loans and advances to customers are recognised on the date on which it originated. The Group recognises balances due to depositors when funds are transferred to the Group.

Classification and Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments. A financial asset or financial liability is measured initially at fair value plus or minus transaction costs that are directly attributable to its acquisition or issue, except in the case of financial assets and financial liabilities at fair value through profit or loss as per Sri Lanka Accounting Standard - SLFRS 09 (Financial Instruments). Trade receivables of subsidiaries are measured at the transaction price. When the fair value of financial instruments at initial recognition differs from the transaction price, the Group accounts for the Day 01 profit or loss.

Day 01 Profit or Loss

When the transaction price of the instrument differs from the fair value at origination and the fair value is based on a valuation technique using only inputs observable in market transactions, the Group recognises the difference between the transaction price and the fair value in net trading income. In those cases where fair value is based on models for which some of the inputs are not observable, the difference between the transaction price and the fair value is deferred and is only recognised in profit or loss when the inputs become observable, or when the instrument is derecognised.

Classification and Subsequent Measurement of Financial Assets

As per SLFRS 09, the Group classifies all of its financial assets based on the business model for managing the assets and the assets' contractual terms measured at either;

- ◆ Amortised Cost
- ◆ Fair Value Through Other Comprehensive Income (FVOCI)
- ◆ Fair Value Through Profit or Loss (FVPL)

The subsequent measurement of financial assets depends on their classification.

Business Model Assessment

Group determines its business model at the level that best reflects how it manages the financial assets to achieve its objectives. The Group's business model is not assessed on an instrument by instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as;

- ◆ How the performance of the business model and the financial asset held within that business model are evaluated and reported to the entity's key management personnel
- ◆ The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- ◆ How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flow collected)
- ◆ The expected frequency, value and timing of sales

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Group's original expectation, the Group does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets.

Contractual Cash Flow Characteristic Test (The SPPI Test)

As the second test of the classification process, the Group assesses the contractual terms of the financial asset to identify whether those meet 'Solely the Payment of Principal and Interest' (SPPI) criteria.

Principal for the purpose of this test is defined as the fair value of the financial asset at initial recognition which may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make SPPI assessment, the Group applies judgment and considers relevant factors such as currency in which the financial asset is denominated and the period for which the interest rate is set.

Classification and Subsequent Measurement of Financial Liabilities

As per SLFRS 09, the Group classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories;

- ◆ Financial liabilities at fair value through profit or loss, and within this category as;
 - Held for trading; or
 - Designated at fair value through profit or loss
- ◆ Financial liabilities measured at amortised cost.

The subsequent measurement of financial liabilities depends on their classification.

Reclassification of Financial Assets and Financial Liabilities

As per SLFRS 09, Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the Group changes its objective of the business model for managing such financial assets which may include the acquisition, disposal or termination of a business line.

Financial liabilities are not reclassified as such reclassifications are not permitted by SLFRS 09.

Derecognition of Financial Assets and Financial Liabilities

A financial asset (or, where applicable, a part of a financial asset or part of a Group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired.

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires.

Modification of Financial Assets and Financial Liabilities

If the terms of a financial asset are modified, an assessment needs to be performed to determine whether the modified terms are substantially different from the existing terms. This assessment considers whether the cash flows of the modified asset are substantially different. Where terms are substantially different, the existing financial asset will be derecognised and a new financial asset will be recognised at fair value. Where terms are not substantially different, then the modification does not result in derecognition of the financial asset.

Where an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. In this case, a new financial liability based on the modified terms is recognised at fair value.

2.13.1 Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount presented in the Statement of Financial Position when, and only when, the Group has a legal right to set off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under LKASs/SLFRSs, or for gains and losses arising from a Group of similar transactions such as in the Group's trading activity.

During the year Group has not offset any financial assets and financial liabilities in the Statement of Financial Position.

Offsetting of financial instruments based on the rights of set off relating to the financial instruments and cash collateral is as follows;

Company

As at 31 March 2024	Gross Amounts	Gross Amounts Set off on the Statement of Financial Position	Net Amounts Presented on the Statement of Financial Position	Cash Collateral*	Financial Instrument Collateral*	Net Amount
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets						
Loans and Receivables	161,291,486	-	161,291,486	-	42,172,635	119,118,851
Financial Liabilities						
Due to Depositors	122,808,124	-	122,808,124	-	2,858,224	119,949,900
As at 31 March 2023						
	Gross Amounts	Gross Amounts Set off on the Statement of Financial Position	Net Amounts Presented on the Statement of Financial Position	Cash Collateral*	Financial Instrument Collateral*	Net Amount
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets						
Loans and Receivables	145,189,174	-	145,189,174	-	37,150,380	108,038,794
Financial Liabilities						
Due to Depositors	114,011,699	-	114,011,699	-	3,211,680	110,800,019

*The financial instruments and cash collateral amounts have been recorded at amortised cost. The rights of set off relating to the financial instruments and cash collateral are conditional upon the default of the counterparty.

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Notes to the Financial Statements

Group

As at 31 March 2024

	Gross Amounts	Gross Amounts Set off on the Statement of Financial Position	Net Amounts Presented on the Statement of Financial Position	Cash Collateral*	Financial Instrument Collateral*	Net Amount
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets						
Loans and Receivables	162,521,733	-	162,521,733	-	42,172,635	120,349,098
Financial Liabilities						
Due to Depositors	123,034,547	-	123,034,547	-	2,858,362	120,176,185

As at 31 March 2023

	Gross Amounts	Gross Amounts Set off on the Statement of Financial Position	Net Amounts Presented on the Statement of Financial Position	Cash Collateral*	Financial Instrument Collateral*	Net Amount
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets						
Loans and Receivables	146,371,597	-	146,371,597	-	37,150,380	109,221,217
Financial Liabilities						
Due to Depositors	114,248,253	-	114,248,253	-	3,212,163	111,036,090

*The financial instruments and cash collateral amounts have been recorded at amortised cost. The rights of set off relating to the financial instruments and cash collateral are conditional upon the default of the counterparty.

2.14 Fair Value Measurement

Accounting Policy

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- ◆ In the principal market for the asset or liability; or
- ◆ In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. The Group uses various valuation methodologies that are appropriate in the circumstances and for which sufficient data is available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs. The use of observable and unobservable inputs and their significance in measuring fair value are reflected in our fair value hierarchy assessment.

Level 1 : Inputs include quoted prices for identical instruments.

Level 2 : Inputs include quoted prices for similar instruments and observable inputs such as interest rates, currency exchange rates and yield curves.

Level 3 : Inputs include data not observable in the market and reflect management judgement about the assumptions market participants would use in pricing the instruments.

Valuation Framework

The Company has an established control framework for the measurement of fair values. Finance Department is responsible for the valuation of financial instruments. Obtaining input data, valuing of financial instruments and verifying the valuation models are being segregated within the Finance Department.

We review the inputs to the fair value measurements to ensure they are appropriately categorised within the fair value hierarchy. Transfers into and transfers out of the hierarchy levels are recognised as if they had taken place at the end of the reporting period.

2.14.1 Fair Value Measurement Hierarchy - Financial and Non Financial Assets Measured at Fair Value

2.14.1 (a) Financial and Non Financial Assets Measured at Fair Value - Company

As at 31 March	Note	2024				2023			
		Fair Value Measurement Using			Total Fair Value	Fair Value Measurement Using			Total Fair Value
		Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs		Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs	
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3	
		Rs. '000	Rs. '000	Rs. '000		Rs. '000	Rs. '000	Rs. '000	
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	2.16								
Quoted Equities		14,674	-	-	14,674	10,653	-	-	10,653
Financial Assets Measured at Fair Value Through Other Comprehensive Income	2.19								
Quoted Equities		118,282	-	-	118,282	117,083	-	-	117,083
Unquoted Equities		-	-	305	305	-	-	305	305
		118,282	-	305	118,587	117,083	-	305	117,388

There were no transfers into and transfers out of the hierarchy levels during 2024 and 2023.

Details of valuation methodologies and assumptions are disclosed in Note 2.16 and Note 2.19 to these Financial Statements.

2.14.1 (b) Financial and Non Financial Assets Measured at Fair Value - Group

As at 31 March	Note	2024				2023			
		Fair Value Measurement Using			Total Fair Value	Fair Value Measurement Using			Total Fair Value
		Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs		Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs	
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3	
		Rs. '000	Rs. '000	Rs. '000		Rs. '000	Rs. '000	Rs. '000	
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	2.16								
Quoted Equities		14,674	-	-	14,674	10,653	-	-	10,653
Financial Assets Measured at Fair Value Through Other Comprehensive Income	2.19								
Quoted Equities		118,282	-	-	118,282	117,083	-	-	117,083
Unquoted Equities		-	-	307	307	-	-	307	307
		118,282	-	307	118,589	117,083	-	307	117,390
Investment Properties	2.24	-	-	5,050	5,050	-	-	4,550	4,550

There were no transfers into and transfers out of the hierarchy levels during 2024 and 2023.

Details of valuation methodologies and assumptions are disclosed in Note 2.16, 2.19 and Note 2.24 to these Financial Statements.

2.14.2 Fair Value Measurement Hierarchy - Financial Assets and Liabilities Measured at Amortised Cost

2.14.2 (a) Financial Assets Measured at Amortised Cost - Company

As at 31 March	Note	2024						2023					
		Fair Value Measurement Using			Total Fair Value	Carrying Value at Amortised Cost	Fair Value Measurement Using			Total Fair Value	Carrying Value at Amortised Cost		
		Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs			Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs				
												Level 1	Level 2
		Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cash and Cash Equivalents	2.15												
	Notes and Coins Held	1,965,160	-	-	1,965,160	1,965,160	1,810,836	-	-	-	1,810,836	1,810,836	
	Balances with Banks	1,934,329	-	-	1,934,329	1,934,329	1,338,660	-	-	-	1,338,660	1,338,660	
	Securities under Reverse Repurchase Agreements	-	3,506,594	-	3,506,594	3,506,594	-	830,880	-	830,880	830,880	830,880	
	Investment in Unit Trust	-	1,908,342	-	1,908,342	1,908,342	-	543,656	-	543,656	543,656	543,656	
		3,899,489	5,414,936	-	9,314,425	9,314,425	3,149,496	1,374,536	-	4,524,032	4,524,032		
Financial Assets at Amortised Cost - Loans and Receivables	2.17												
	Gold Loans	-	-	73,110,399	73,110,399	73,110,399	-	-	-	66,546,483	66,546,483	66,546,483	
	Lease Receivables	-	-	30,568,203	30,568,203	29,874,912	-	-	-	29,977,126	29,977,126	34,095,554	
	Vehicle Loans	-	-	39,690,999	39,690,999	38,564,689	-	-	-	21,771,227	21,771,227	24,983,481	
	Term Loans	-	-	7,315,187	7,315,187	7,454,999	-	-	-	6,042,414	6,042,414	7,278,701	
	Mortgage Loans	-	-	2,223,101	2,223,101	2,138,253	-	-	-	1,929,928	1,929,928	2,462,189	
	Power Drafts	-	-	10,391,185	10,391,185	10,148,234	-	-	-	9,830,484	9,830,484	9,822,766	
		-	-	163,299,074	163,299,074	161,291,486	-	-	-	136,097,662	136,097,662	145,189,174	
Other Financial Assets	2.20												
	Securities under Reverse Repurchase Agreements	-	4,568,918	-	4,568,918	4,568,918	-	4,651,908	-	4,651,908	4,651,908	4,651,908	
	Investment in Fixed Deposits	-	4,202,401	-	4,202,401	4,202,401	-	8,880,297	-	8,880,297	8,880,297	8,880,297	
	Investment in Treasury Bills	11,052,693	-	-	11,052,693	10,994,294	7,578,396	-	-	-	7,578,396	7,538,577	
	Insurance Premium Receivables	-	433,725	-	433,725	433,725	-	501,221	-	501,221	501,221	501,221	
	Due from Subsidiaries	-	1,150	-	1,150	1,150	-	25,839	-	25,839	25,839	25,839	
	Sundry Debtors	-	174,282	-	174,282	174,282	-	87,992	-	87,992	87,992	87,992	
		11,052,693	9,380,476	-	20,433,169	20,374,770	7,578,396	14,147,257	-	21,725,653	21,685,834		

2.14.2 (b) Financial Assets Measured at Amortised Cost - Group

As at 31 March	Note	2024										2023									
		Fair Value Measurement Using					Fair Value Measurement Using					Fair Value Measurement Using					Fair Value Measurement Using				
		Quoted Prices in Active Markets		Significant Observable Inputs		Significant Unobservable Inputs		Quoted Prices in Active Markets		Significant Observable Inputs		Significant Unobservable Inputs		Quoted Prices in Active Markets		Significant Observable Inputs		Significant Unobservable Inputs		Quoted Prices in Active Markets	
		Level 1	Level 2	Level 3	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3	Level 1	Level 2
		Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cash and Cash Equivalents																					
Notes and Coins Held	2.15	1,996,871	-	-	-	-	-	1,996,871	1,996,871	-	-	-	-	1,830,304	-	-	-	-	-	1,830,304	-
Balances with Banks		2,006,666	-	-	-	-	-	2,006,666	2,006,666	-	-	-	-	1,357,186	-	-	-	-	-	1,357,186	-
Securities under Reverse Repurchase Agreements		-	3,647,723	-	-	-	-	3,647,723	3,647,723	-	-	-	-	-	949,809	-	-	-	-	949,809	-
Investment in Unit Trust		-	1,908,342	-	-	-	-	1,908,342	1,908,342	-	-	-	-	-	543,656	-	-	-	-	543,656	-
		4,003,537	5,556,065	-	-	-	-	9,559,602	9,559,602	-	-	-	-	3,187,490	1,493,465	-	-	-	-	4,680,955	4,680,955
Financial Assets at Amortised Cost																					
- Loans and Receivables																					
Gold Loans	2.17	-	-	-	73,170,226	-	-	73,170,226	73,170,226	-	-	-	-	-	-	-	-	-	-	66,750,336	66,750,336
Lease Receivables		-	-	-	30,587,247	-	-	30,587,247	29,893,956	-	-	-	-	-	-	-	-	-	-	30,021,380	34,139,808
Vehicle Loans		-	-	-	39,695,120	-	-	39,695,120	38,568,811	-	-	-	-	-	-	-	-	-	-	21,780,437	24,992,690
Term Loans		-	-	-	8,457,712	-	-	8,457,712	8,597,524	-	-	-	-	-	-	-	-	-	-	6,893,747	8,130,033
Mortgage Loans		-	-	-	2,227,855	-	-	2,227,855	2,143,007	-	-	-	-	-	-	-	-	-	-	1,983,819	2,516,080
Power Drafts		-	-	-	10,391,160	-	-	10,391,160	10,148,209	-	-	-	-	-	-	-	-	-	-	9,850,367	9,842,650
		-	-	-	164,529,320	-	-	164,529,320	162,521,733	-	-	-	-	-	-	-	-	-	-	137,280,086	146,371,597
Other Financial Assets																					
Securities under Reverse Repurchase Agreements	2.20	-	4,568,918	-	-	-	-	4,568,918	4,568,918	-	-	-	-	-	4,651,908	-	-	-	-	4,651,908	4,651,908
Investment in Fixed Deposits		-	4,222,541	-	-	-	-	4,222,541	4,222,541	-	-	-	-	-	8,922,882	-	-	-	-	8,922,882	8,922,882
Investment in Treasury Bills		11,101,074	-	-	-	-	-	11,101,074	11,042,675	-	-	-	-	7,586,433	-	-	-	-	-	7,586,433	7,546,614
Insurance Premium Receivables		-	433,725	-	-	-	-	433,725	433,725	-	-	-	-	-	501,221	-	-	-	-	501,221	501,221
Sundry Debtors		-	175,545	-	-	-	-	175,545	175,545	-	-	-	-	-	88,185	-	-	-	-	88,185	88,185
		11,101,074	9,400,729	-	-	-	-	20,501,803	20,443,404	-	-	-	-	7,586,433	14,164,196	-	-	-	-	21,750,629	21,710,810

Sensitivity Analysis of Financial Assets Measured at Amortised Cost under Level 3 Category

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Increase/(Decrease) in Interest Rate				
1bp Up	(12,905)	(7,012)	(12,905)	(7,012)
1bp Down	12,911	7,013	12,911	7,013

Unobservable Inputs Used in Measuring Fair Value under Level 3 Category

The following table sets out information about significant unobservable inputs used as at 31 March 2024 and 2023 in measuring financial instruments categorised as Level 3 in the fair value hierarchy.

Type of Financial Instrument	Company	Group	Valuation Technique	Significant Unobservable Input	Range of Estimates for Unobservable Input	Fair Value Measurement Sensitivity to Unobservable Inputs
	Fair Values as at 31 March 2024 Rs. '000	Fair Values as at 31 March 2024 Rs. '000				
Financial Assets at Amortised Cost - Loans and Receivables	163,299,074 136,097,662 (2023)	164,529,320 137,280,086 (2023)	Discounted cash flow	Spread	4.1-12.1% (2023 : 3.1-13.6%)	A significant increase in the spread would result in a lower fair values.
				Probability of default	12.4-26.9% (2023 : 13.9-30.8%)	Significant increases in probability of default would result in lower fair values.
				Loss severity	5-100% (2023 : 5-100%)	A significant reduction would result in higher fair values.
				Expected prepayment rate	0.03-15.8% (2023 : 0.03-15.8%)	Correlates with the current interest rates.

There were no transfers into and transfers out of the hierarchy levels during 2024 and 2023.

Valuation Methodologies and Assumptions
Cash and Cash Equivalents

Included in cash and cash equivalents are highly liquid investments that are readily convertible to known amounts of cash, and which are subject to an insignificant risk of change in value due to interest rate, quoted price, or penalty on withdrawal. A debt security is classified as a cash equivalent if it meets these criteria and if it has a remaining time to maturity of three months or less from the date of acquisition. Amounts on deposit and available upon demand, or negotiated to provide for daily liquidity without penalty, are classified as cash and cash equivalents. Time deposits and money market accounts that meet the above criteria are reported at par value on our Statement of Financial Position.

Loans and Receivables

We measure performing loans and receivables at fair value for purposes of disclosure using internal valuation models. These models project future cash flows of financing contracts based on scheduled contract payments (including principal and interest). The projected cash flows are discounted to present value based on assumptions regarding credit losses, prepayment speed, and applicable spreads to approximate current rates. Our assumptions regarding prepayment speed and credit losses are based on historical performance. We use the fair value of collateral to determine the fair value of non-performing loans and receivables. The collateral for loans and receivables is the vehicle financed, real estate, gold or other property. The fair value of loans and receivables is categorised within Level 3 of the fair value measurement hierarchy. Loans and advances granted to customers with a variable rate are considered to be carried at fair value in the books net of credit losses.

Other Financial Assets

Since all the balances which are under other financial assets have short-term maturities, it is assumed that the carrying amounts of those balances approximate their fair values except for Investment in Treasury Bills.

2.14.2 (c) Financial Liabilities Measured at Amortised Cost - Company

As at 31 March	Note	2024						2023					
		Fair Value Measurement Using			Total Fair Value	Carrying Value at Amortised Cost	Fair Value Measurement Using			Total Fair Value	Carrying Value at Amortised Cost		
		Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs			Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs				
		Level 1	Level 2	Level 3	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Due to Banks													
Bank Overdrafts	2.27	-	1,035,550	-	1,035,550	1,035,550	-	490,862	-	490,862	-	490,862	490,862
Debt Funding from Banks		-	21,802,232	-	21,802,232	20,666,462	-	16,997,230	-	16,997,230	-	18,878,922	
		-	22,837,782	-	22,837,782	21,702,012	-	17,488,092	-	17,488,092	-	19,369,784	
Financial Liabilities at Amortised Cost													
- Due to Depositors													
Fixed Deposits	2.28	-	-	122,210,628	122,210,628	119,056,412	-	-	-	109,303,845	109,303,845	111,466,149	
Savings Deposits		-	-	3,751,712	3,751,712	3,751,712	-	-	-	2,545,550	2,545,550	2,545,550	
		-	-	125,962,340	125,962,340	122,808,124	-	-	-	111,849,395	111,849,395	114,011,699	
Debt Instruments Issued and Other Borrowed Funds													
Borrowings from International Financial Institutions	2.29	-	1,580,403	-	1,580,403	1,539,282	-	3,775,257	-	3,775,257	-	3,882,024	
		-	4,122,786	-	4,122,786	3,952,119	-	-	-	-	-	-	
		-	5,703,189	-	5,703,189	5,491,401	-	3,775,257	-	3,775,257	-	3,882,024	
Other Financial Liabilities													
Trade Payables	2.30	-	595,307	-	595,307	595,307	-	153,069	-	153,069	-	153,069	
Insurance Premium Payables		-	288,890	-	288,890	288,890	-	550,235	-	550,235	-	550,235	
Unclaimed Balances		-	862,401	-	862,401	862,401	-	879,899	-	879,899	-	879,899	
Lease Liability		-	1,674,659	-	1,674,659	1,674,659	-	1,525,253	-	1,525,253	-	1,525,253	
Other Payables		-	336,519	-	336,519	336,519	-	147,406	-	147,406	-	147,406	
		-	3,757,776	-	3,757,776	3,757,776	-	3,255,862	-	3,255,862	-	3,255,862	

2.14.2 (d) Financial Liabilities Measured at Amortised Cost - Group

As at 31 March	Note	2024					2023					
		Fair Value Measurement Using			Total Fair Value	Carrying Value at Amortised Cost	Fair Value Measurement Using			Total Fair Value	Carrying Value at Amortised Cost	
		Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs			Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs			
		Rs. '000	Level 1	Level 2	Level 3	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Due to Banks	2.27											
Bank Overdrafts		-	1,038,445	-	-	1,038,445	1,038,445	-	492,019	-	492,019	492,019
Debt Funding from Banks		-	22,304,132	-	-	22,304,132	20,917,412	-	17,040,419	-	17,040,419	18,900,517
		-	23,342,577	-	-	23,342,577	21,955,857	-	17,532,438	-	17,532,438	19,392,536
Financial Liabilities at Amortised Cost												
- Due to Depositors	2.28											
Fixed Deposits		-	-	122,451,489	-	122,451,489	119,146,443	-	-	109,605,505	109,605,505	111,616,979
Savings Deposits		-	-	3,888,104	-	3,888,104	3,888,104	-	-	2,631,274	2,631,274	2,631,274
		-	-	126,339,593	-	126,339,593	123,034,547	-	-	112,236,779	112,236,779	114,248,253
Debt Instruments Issued and Other Borrowed Funds	2.29											
Borrowings from International Financial Institutions		-	1,580,403	-	-	1,580,403	1,539,282	-	3,775,257	-	3,775,257	3,882,024
Securitised Borrowings		-	4,122,786	-	-	4,122,786	3,952,119	-	-	-	-	-
		-	5,703,189	-	-	5,703,189	5,491,401	-	3,775,257	-	3,775,257	3,882,024
Other Financial Liabilities	2.30											
Trade Payables		-	595,307	-	-	595,307	595,307	-	153,069	-	153,069	153,069
Insurance Premium Payables		-	288,890	-	-	288,890	288,890	-	550,235	-	550,235	550,235
Unclaimed Balances		-	863,909	-	-	863,909	863,909	-	881,333	-	881,333	881,333
Lease Liability		-	1,698,338	-	-	1,698,338	1,698,338	-	1,544,548	-	1,544,548	1,544,548
Other Payables		-	369,453	-	-	369,453	369,453	-	153,874	-	153,874	153,873
		-	3,815,897	-	-	3,815,897	3,815,897	-	3,283,059	-	3,283,059	3,283,059

Sensitivity Analysis of Financial Liabilities Measured at Amortised Cost under Level 3 Category

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Increase/(Decrease) in Interest Rate				
1bp Up	(6,495)	(5,310)	(6,495)	(5,310)
1bp Down	6,496	5,311	6,496	5,311

Unobservable Inputs Used in Measuring Fair Value under Level 3 Category

The following table sets out information about significant unobservable inputs used as at 31 March 2024 and 2023 in measuring financial instruments categorised as Level 3 in the fair value hierarchy.

Type of Financial Instrument	Company	Group	Valuation Technique	Significant Unobservable Input	Range of Estimates for Unobservable Input	Fair Value Measurement Sensitivity to Unobservable Inputs
	Fair Values as at 31 March 2024 Rs. '000	Fair Values as at 31 March 2024 Rs. '000				
Financial Liabilities at Amortised Cost - Due to Depositors	125,962,340	126,339,593	Discounted cash flow	Spread	0-3.75% (2023 : 0-3.5%)	A significant increase in the spread would result in a lower fair value.
	111,849,395 (2023)	112,236,779 (2023)		Expected premature rate	0.1-4.1% (2023 : 0.1-4.1%)	Correlates with the current interest rates.

There were no financial liabilities recorded at fair value as at 31 March 2024 and 2023.

There were no transfers into and transfers out of the hierarchy levels during 2024 and 2023.

Valuation Methodologies and Assumptions
Due to Depositors

We measure the fair value using internal valuation models. These models project future cash flows of fixed deposits based on scheduled maturities (including principal and interest) and pre-maturities of deposits. The projected cash flows are discounted to present value based on applicable spreads to approximate current deposit rates for each tenor. Our assumptions regarding pre-maturity speed and spreads are based on historical performance. Savings deposits without a specific maturity are assumed that the carrying amounts approximate their fair values. The fair value of Due to Depositors is categorised within Level 3 of the hierarchy.

Debentures, Bank Borrowings and Debt Instruments

We measure fair value for listed debentures using quoted prices for our own debentures with approximately the same remaining maturities, where possible. If the particular debenture is off the run, we estimate the fair value using discounted cash flows and market-based expectations for interest rates, credit risk, and the contractual terms of the debenture. Comparable on the run debenture Yield to Maturity (YTM) assumed to be a good approximation for the fair value estimation of off the run debentures. We estimate the fair value of bank borrowings and debt instruments using discounted cash flows and use the most recent transacted rate and/or unexpired offered rate of a similar instrument or borrowing. Debt instrument and bank borrowing do not carry prepayment or embedded options. The fair value of debt is categorised within Level 2 of the hierarchy.

Other Financial Liabilities

Since all the liabilities which are under other financial liabilities have short-term maturities, it is assumed that the carrying amounts of those liabilities approximate their fair values.

2.15 Cash and Cash Equivalents

Accounting Policy

Cash and cash equivalents includes cash and bank balances and money at call and short notice. Cash and cash equivalents are carried at amortised cost in the Statement of Financial Position.

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Notes and Coins Held	1,965,160	1,810,836	1,996,871	1,830,304
Balances with Banks	1,934,329	1,338,660	2,006,666	1,357,186
Securities under Reverse Repurchase Agreements (Less than 03 Months)	3,506,594	830,880	3,647,723	949,809
Investment in Unit Trusts	1,908,342	543,656	1,908,342	543,656
	9,314,425	4,524,032	9,559,602	4,680,955
Fair Value	9,314,425	4,524,032	9,559,602	4,680,955

2.15.1 The collateral value of Securities under Reverse Repurchase Agreements as at 31 March 2024 for the Company was Rs. 3,875,698,078/- (2023 - Rs. 1,282,400,000/-) and for the Group was Rs. 4,066,468,750/- (2023 - Rs. 1,446,871,393/-).

2.15.2 Cash and Cash Equivalents Allocated for the Liquidity Requirement

Accounting Policy

Our cash and cash equivalents allocated for the liquidity requirement primarily include cash held to meet certain local governmental and regulatory reserve requirement and cash held under the terms of certain contractual agreements. This does not include required minimum balances or cash securing debt issued through securitisation transactions. Cash and cash equivalents allocated for the liquidity requirement were as follows;

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Cash and Cash Equivalents Allocated for the Liquidity Requirement	-	-	-	-

2.15.3 Net Cash and Cash Equivalents for the Purpose of the Cash Flow Statement

Accounting Policy

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Cash and Cash Equivalents	9,314,425	4,524,032	9,559,602	4,680,955
Bank Overdrafts (Note 2.27)	(1,035,550)	(490,862)	(1,038,445)	(492,019)
Net Cash and Cash Equivalents	8,278,875	4,033,170	8,521,157	4,188,936

2.16 Financial Assets Recognised Through Profit or Loss - Measured at Fair Value

Accounting Policy

The Group classifies financial assets as financial assets recognised through profit or loss when they have been purchased primarily for short-term profit making through trading activities. Financial assets recognised through profit or loss are recorded and measured in the Statement of Financial Position at fair value. Changes in fair value are recognised in net trading income.

Financial assets recognised through profit or loss include quoted equity securities that have been acquired principally for the purpose of selling in the near term, and are recorded at fair values. The quoted equity securities are valued using the market prices published by the Colombo Stock Exchange.

SLFRS 09 requires financial instruments to be classified based on a combination of the entity's business model for managing the assets and the instruments' contractual cash flow characteristics. For financial assets that are debt instruments, held for trading is a business model objective that results in measurement at fair value through profit or loss.

As at 31 March	Company & Group	
	2024 Rs. '000	2023 Rs. '000
Equity Securities - Quoted (Note 2.16.1)	14,674	10,653

2.16.1 Equity Securities - Quoted

As at 31 March	Company & Group			Company & Group		
	2024			2023		
	Number of Shares	Cost Rs. '000	Market Value Rs. '000	Number of Shares	Cost Rs. '000	Market Value Rs. '000
Banks						
Seylan Bank PLC (Non-Voting)	129,830	1,662	4,934	109,949	1,662	2,474
		1,662	4,934		1,662	2,474
Food, Beverage and Tobacco						
Bairaha Farms PLC	19,360	425	3,348	17,600	425	2,552
		425	3,348		425	2,552
Capital Goods						
Lanka Walltiles PLC*	98,700	790	5,024	98,700	790	4,747
Hayleys PLC*	16,660	207	1,368	12,220	207	880
		997	6,392		997	5,627
Total		3,084	14,674		3,084	10,653

Global Industry Classification Standard (GICS)

*Investments made in related parties

2.16.2 Disposal of Equity Securities - Quoted

There were no any share disposals recorded in 2024 and 2023.

2.17 Financial Assets at Amortised Cost - Loans and Receivables

Accounting Policy

Loans and receivables include financial assets measured at amortised cost if both of the following conditions are met;

- ◆ Assets that are held within a business model whose objective is to hold the assets in order to collect contractual cash flows.
- ◆ Contractual terms of the assets give rise on specific dates to cash flows that are solely payment of principal and interest on the principal outstanding.

After initial measurement loans and receivables are subsequently measured at amortised cost using the Effective Interest Rate (EIR), less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'interest income' in the Income Statement. The losses arising from impairment are recognised in 'impairment charges' in the Income Statement.

Lease Receivables

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases. When the Group is the lessor under finance leases the amounts due under the leases, after deduction of unearned income, are recognised on the Statement of Financial Position. The finance income receivable is recognised in 'interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Group includes the assets subject to operating leases in 'property, plant and equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired.

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Gold Loans	74,602,448	67,559,881	74,662,865	67,765,757
Lease Receivables (Note 2.17.1 (a))	31,847,815	36,995,231	31,907,593	37,077,883
Vehicle Loans	39,735,969	25,947,463	39,753,374	25,968,543
Term Loans	7,855,518	7,939,229	9,199,280	8,992,242
Mortgage Loans	3,894,578	4,352,304	3,987,233	4,488,982
Power Drafts	10,667,223	10,254,251	10,667,223	10,274,135
Gross Loans and Receivables	168,603,551	153,048,359	170,177,568	154,567,542
Rentals Received in Advance	(2,813)	(465)	(2,813)	(543)
Allowance for Impairment Losses (Note 2.18)	(7,309,252)	(7,858,720)	(7,653,022)	(8,195,402)
Net Loans and Receivables Subject to Fair Value (Note 2.17.3)	161,291,486	145,189,174	162,521,733	146,371,597
Fair Value	163,299,074	136,097,662	164,529,320	137,280,086

2.17.1 Lease Receivables

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
As at 31 March				
Gross Rentals Receivable				
- Within One Year	20,517,668	23,252,988	20,562,918	23,316,243
- One to Five Years	21,462,735	25,135,390	21,484,794	25,171,071
- Over Five Years	720	2,317	720	2,317
	41,981,123	48,390,695	42,048,432	48,489,631
Unearned Income				
- Within One Year	(5,608,484)	(6,059,162)	(5,608,730)	(6,067,524)
- One to Five Years	(4,524,780)	(5,336,166)	(4,532,065)	(5,344,088)
- Over Five Years	(44)	(136)	(44)	(136)
	(10,133,308)	(11,395,464)	(10,140,839)	(11,411,748)
2.17.1 (a) Lease Receivables	31,847,815	36,995,231	31,907,593	37,077,883
Rentals Received in Advance	(2,813)	(465)	(2,813)	(543)
Allowance for Impairment Losses	(1,970,090)	(2,899,212)	(2,010,824)	(2,937,532)
2.17.1 (b) Net Lease Receivable	29,874,912	34,095,554	29,893,956	34,139,808

2.17.2 Loans and Receivables Include Loans Granted to Employees, the Movement of which is as Follows;

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
As at the Beginning of the Year	402,425	356,120	403,485	358,159
Loans Granted During the Year	519,931	455,149	519,931	455,149
Repayments During the Year	(497,946)	(408,844)	(411,175)	(409,823)
As at the End of the Year	424,410	402,425	512,241	403,485

2.17.3 Contractual Maturity Analysis of Loans and Receivables

2.17.3 (a) Company

As at 31 March 2024	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Gold Loans	74,602,448	-	-	74,602,448
Lease Receivables	14,909,184	16,937,954	677	31,847,815
Vehicle Loans	13,793,666	25,893,549	48,754	39,735,969
Term Loans	3,232,033	1,878,814	2,744,671	7,855,518
Mortgage Loans	2,115,894	1,631,227	147,457	3,894,578
Power Drafts	2,763,870	7,903,353	-	10,667,223
Gross Loans and Receivables	111,417,095	54,244,897	2,941,559	168,603,551
Rentals Received in Advance				(2,813)
Allowance for Impairment Losses (Note 2.18)				(7,309,252)
Net Loans and Receivables				161,291,486

As at 31 March 2023	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Gold Loans	67,559,881	-	-	67,559,881
Lease Receivables	17,193,826	19,799,224	2,181	36,995,231
Vehicle Loans	9,826,952	16,080,622	39,889	25,947,463
Term Loans	2,229,364	3,277,859	2,432,006	7,939,229
Mortgage Loans	2,186,643	1,902,278	263,383	4,352,304
Power Drafts	6,233,159	4,021,092	-	10,254,251
Gross Loans and Receivables	105,229,825	45,081,075	2,737,459	153,048,359
Rentals Received in Advance				(465)
Allowance for Impairment Losses (Note 2.18)				(7,858,720)
Net Loans and Receivables				145,189,174

Our loans and receivables are prepayable, so prepayments may cause actual maturities to differ from contractual maturities.

2.17.3 (b) Group

As at 31 March 2024	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Gold Loans	74,662,865	-	-	74,662,865
Lease Receivables	14,954,188	16,952,728	677	31,907,593
Vehicle Loans	13,801,605	25,903,015	48,754	39,753,374
Term Loans	4,515,292	1,939,317	2,744,671	9,199,280
Mortgage Loans	2,206,262	1,633,514	147,457	3,987,233
Power Drafts	2,763,870	7,903,353	-	10,667,223
Gross Loans and Receivables	112,904,082	54,331,927	2,941,559	170,177,568
Rentals Received in Advance				(2,813)
Allowance for Impairment Losses (Note 2.18)				(7,653,022)
Net Loans and Receivables				162,521,733

As at 31 March 2023	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Gold Loans	67,765,757	-	-	67,765,757
Lease Receivables	17,248,719	19,826,983	2,181	37,077,883
Vehicle Loans	9,826,952	16,101,702	39,889	25,968,543
Term Loans	3,242,513	3,317,723	2,432,006	8,992,242
Mortgage Loans	2,323,321	1,902,278	263,383	4,488,982
Power Drafts	6,253,043	4,021,092	-	10,274,135
Gross Loans and Receivables	106,660,305	45,169,778	2,737,459	154,567,542
Rentals Received in Advance				(543)
Allowance for Impairment Losses (Note 2.18)				(8,195,402)
Net Loans and Receivables				146,371,597

Our loans and receivables are prepayable, so prepayments may cause actual maturities to differ from contractual maturities.

2.17.4 Credit Exposure Movement - ECL Stage-wise

2.17.4 (a) Company

Loans and Receivables	2024			
	Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000	Total Rs. '000
Gross Carrying Amount as at 1 April 2023	117,353,429	22,970,641	12,723,824	153,047,894
Transfer to Stage 01	4,062,847	(3,403,940)	(658,907)	-
Transfer to Stage 02	(6,398,869)	7,462,463	(1,063,594)	-
Transfer to Stage 03	(688,570)	(1,398,034)	2,086,604	-
New Assets Originated or Purchased	124,139,360	16,502,164	1,989,927	142,631,451
Financial Assets Derecognised or Repaid	(97,037,442)	(21,427,167)	(7,677,604)	(126,142,213)
Write-offs	-	-	(936,394)	(936,394)
As at 31 March 2024	141,430,755	20,706,127	6,463,856	168,600,738

Loans and Receivables	2023			
	Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000	Total Rs. '000
Gross Carrying Amount as at 1 April 2022	112,035,393	18,035,572	11,804,722	141,875,687
Transfer to Stage 01	10,968,921	(7,661,150)	(3,307,771)	-
Transfer to Stage 02	(9,899,202)	17,557,991	(7,658,789)	-
Transfer to Stage 03	(2,640,322)	(2,803,828)	5,444,150	-
New Assets Originated or Purchased	89,857,187	19,014,552	12,594,941	121,466,680
Financial Assets Derecognised or Repaid	(82,968,548)	(21,172,496)	(5,883,193)	(110,024,237)
Write-offs	-	-	(270,236)	(270,236)
As at 31 March 2023	117,353,429	22,970,641	12,723,824	153,047,894

2.17.4 (b) Group

Loans and Receivables	2024			
	Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000	Total Rs. '000
Gross Carrying Amount as at 1 April 2023	118,243,460	22,973,387	13,350,152	154,566,999
Transfer to Stage 01	4,173,856	(3,512,039)	(661,817)	-
Transfer to Stage 02	(6,403,582)	7,467,578	(1,063,996)	-
Transfer to Stage 03	(693,879)	(1,407,274)	2,101,153	-
New Assets Originated or Purchased	125,090,412	16,648,264	2,020,723	143,759,399
Financial Assets Derecognised or Repaid	(97,908,364)	(21,458,331)	(7,772,586)	(127,139,281)
Write-offs	-	-	(936,394)	(936,394)
Exchange Rate Variance on Foreign Currency Provisions	(61,455)	(371)	(14,142)	(75,968)
As at 31 March 2024	142,440,448	20,711,214	7,023,093	170,174,755

Loans and Receivables	2023			
	Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000	Total Rs. '000
Gross Carrying Amount as at 1 April 2022	112,657,164	18,036,017	12,694,216	143,387,397
Transfer to Stage 01	11,204,528	(7,675,176)	(3,529,352)	-
Transfer to Stage 02	(9,906,099)	17,564,889	(7,658,790)	-
Transfer to Stage 03	(2,643,035)	(2,816,896)	5,459,931	-
New Assets Originated or Purchased	90,699,541	19,160,111	12,863,617	122,723,269
Financial Assets Derecognised or Repaid	(83,734,002)	(21,294,827)	(6,179,282)	(111,208,111)
Write-offs	-	-	(270,236)	(270,236)
Exchange Rate Variance on Foreign Currency Provisions	(34,637)	(731)	(29,952)	(65,320)
As at 31 March 2023	118,243,460	22,973,387	13,350,152	154,566,999

2.18 Allowance for Impairment Losses

Accounting Policy

Overview of the Expected Credit Loss (ECL) Principles

The adoption of SLFRS 09 has fundamentally changed the Group's loan loss impairment method by replacing LKAS 39's incurred loss approach with a forward-looking Expected Credit Loss (ECL) approach. From 1 April 2018, the Group has been recording the allowance for expected credit losses for all loans and other debt financial assets not held at Fair Value Through Profit or Loss (FVPL), together with loan commitments and financial guarantee contracts, in this section all referred to as 'financial instruments'. Equity instruments are not subject to impairment under SLFRS 09.

The ECL allowance is based on the credit losses expected to arise over the life of the asset.

The 12 months ECL is the portion of Lifetime ECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both Lifetime ECLs and 12 months ECLs are calculated on either an individual basis or a collective basis, depending on the nature of the underlying portfolio of financial instruments.

The Group has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument. Based on such process Group allocates loans into Stage 01, Stage 02, Stage 03 as described below;

Stage 01

When loans are first recognised, the Group recognises an allowance based on 12 months ECLs. Stage 01 loans also include facilities where the credit risk has improved and the loan has been reclassified from Stage 02.

Stage 02

When a loan has shown a significant increase in credit risk since origination, the Group records an allowance for the Lifetime ECLs. Stage 02 loans also include facilities, where the credit risk has improved and the loan has been reclassified from Stage 03.

Stage 03

When a loan is considered to be credit impaired/contain objective evidences of incurred loss, the Group records an allowance for the Lifetime ECLs.

Definition of Default and Credit Impaired Assets

The Group considers loans and advances to customers be defaulted when the borrower is unlikely to pay its obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held) or the borrower becomes 90 days past due on its contractual payments.

Significant Increase in Credit Risk

The Group continuously monitors all assets subject to ECL, in order to determine whether there has been a significant increase in credit risk since initial recognition and whether the instrument or a portfolio of instruments is subject to 12 months ECL or Lifetime ECL. The Group considers an exposure to have a significant increase in credit risk at 30 days past due.

Individually Significant Impairment Assessment and Loans which are Not Impaired Individually

Group will individually assess all significant customer exposures to identify whether there are any indicators of impairment. Loans with objective evidence of incurred losses are classified as Stage 03. Loans which are individually significant but not impaired will be assessed collectively for impairment under either Stage 01 or Stage 02, based on the above specified criteria to identify whether there have been a significant credit deterioration since origination.

While establishing significant credit deterioration, Group will consider the following criteria;

- ◆ Other changes in the rates or terms of an existing financial instrument that would be significantly different if the instrument was newly originated.
- ◆ Significant changes in external market indicators of credit risk for a particular financial instrument or similar financial instrument.
- ◆ Other information related to the borrower, such as changes in the price of a borrower's debt/equity instrument.
- ◆ An actual/expected internal credit rating downgrade for the borrower or decrease in behavioural score used to assess credit risk internally.
- ◆ Existing or forecasted adverse changes in business, financial or economic conditions that are expected to cause a significant change in the borrower's ability to meet its obligation.
- ◆ An actual or expected significant change in the operating results of the borrower in relation to actual/expected decline in revenue, increase in operating risk, working capital deficiency, decrease in asset quality, increase in gearing and liquidity management problems.
- ◆ Significant increase in credit risk on other financial instruments of the same borrower.
- ◆ An actual or expected significant adverse change in the regulatory, economic or technological environment of the borrower that results in a significant change in the borrower's ability to meet the debt obligation.

Grouping Financial Assets Measured on a Collective Basis

As explained above, Group calculates ECL either on a collective or individual basis. Asset classes where Company calculates ECL on an individual basis includes all individually significant assets which belong to Stage 03. All assets which belong to Stage 01 and 02 will be assessed collectively for impairment.

The Group allocates smaller homogeneous exposures based on a combination of internal and external characteristics such as product type, line of business, customer type, days past due etc.

Calculation of ECL

The expected cash shortfalls are calculated by multiplying respective loan level PDs, EADs and LGDs. The cash shortfall is discounted to the Effective Interest Rate (EIR). A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

PDs and LGDs are adjusted to the forward looking information using statistically quantified variance.

The mechanics of the ECL calculation are outlined below and the key elements are as follows;

- ◆ Probability of Default (PD) : PD is an estimate of the likelihood of default over a given time horizon. Hence majority of our client base being retail; we use internal information to estimate the PDs. The client has two credit statuses which can be identified as default or not default. We used Cohort Method (CM) to compute the PDs.
- ◆ Exposure at Default (EAD) : EAD is the estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of the principal and interest, whether scheduled by contract or otherwise and expected draw downs on committed facilities.
- ◆ Loss Given Default (LGD) : LGD is an estimate of the loss arising, where a default occurs at a given time calculated based on historical recovery data. It is usually expressed as percentage of the EAD.

For all products, Group considers the maximum period over which the credit losses are determined is the contractual life of a financial instrument.

The published global financial sector credit rating migration matrix Probability of Default used for fixed income (bank deposits) securities expected loss calculation, Value at Risk Methodology (VAR) is used for gold based loan expected loss calculation. Any financial asset, fully secured through a cash collateral, has not taken into the expected loss calculation.

Forward Looking Information

Company relies on broad range of qualitative/quantitative forward looking information as economic inputs in the multiple economic factor model developed to forecast the expected Non-Performing Loans (NPL).

The model predicts the forward industry NPL levels and which has been used to adjust the Company PD curve using statistically quantified variance. The economic factor model is developed by the University of Colombo, Science and Technology CELL and consent to use with an annual review. The economic factor model uses the machine learning technique to predict the NPL based on the use of some key economic factors as an input to the model. The key variables of the model is as follows;

- | | | | |
|----------------------|------------------|---|----------------------|
| ◆ Industry NPL | ◆ Per Capita GDP | ◆ Business Confidence Index | ◆ Unemployment Rates |
| ◆ Balance of Payment | ◆ Exchange Rates | ◆ Budget Deficit as a Percentage of GDP | ◆ Fuel Prices |
| ◆ GDP Growth Rate | ◆ Interest Rates | ◆ Inflation Rates | ◆ Rainfall |

Reversals of Impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the financial asset impairment allowance account accordingly. The write-back is recognised in the Income Statement.

Write-off of Loans and Receivables

Financial assets and the related impairment allowance accounts are generally written-off when there is no realistic prospect of recovery. Where financial assets are secured, this is generally after receipt of any proceeds from the realisation of security.

Collateral Valuation

Revaluation of immovable properties obtained as collaterals against any accommodation granted are assessed based on the requirements in the Direction No. 04 of 2018 on 'Valuation of Immovable Properties' and subsequent amendments thereto issued by the Central Bank of Sri Lanka (CBSL). The assessment of immovable properties is carrying out by independent professional valuers as required by the said direction issued by CBSL.

The assessed fair value of the immovable properties does not consider for the measurement of regulatory provisions for bad and doubtful debts as per Direction No. 01 of 2020 and subsequent amendments thereto issued by CBSL.

Collateral Repossessed

Reposessed collateral will not be taken into books of accounts unless the Group has taken those collaterals into its business operations. However such additions from the reposessed collaterals to the business operations are not significant.

Non-Accrual Receivables

Cessation of Interest income recognition is triggered out when the receivables are more than 90 days past due, receivables are subject to legal action/ongoing legal action, receivables are subject to untraceable or unattainable collaterals, or receivables are determined to be uncollectible. For receivables in non-accrual status, subsequent financing revenue is recognised only to the extent a payment is received. Payments are generally applied first to outstanding interest and then to the unpaid principal balance.

2.18.1 Stage-wise Analysis of the Allowance for Impairment Losses - Company

		2024				2023			
		Stage 01	Stage 02	Stage 03	Total	Stage 01	Stage 02	Stage 03	Total
		Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
2.18.1	(a) As at the Beginning of the Year	2,365,607	696,317	4,796,796	7,858,720	1,978,234	414,829	5,087,021	7,480,084
	Charge/(Reversal) for the Year	617,905	(174,011)	(56,968)	386,926	387,373	281,488	(19,989)	648,872
	Amounts Written-Off	-	-	(936,394)	(936,394)	-	-	(270,236)	(270,236)
	As at the End of the Year	2,983,512	522,306	3,803,434	7,309,252	2,365,607	696,317	4,796,796	7,858,720
2.18.1	(b) Individual Impairment	-	-	3,803,434	3,803,434	-	-	4,796,796	4,796,796
	Collective Impairment	2,983,512	522,306	-	3,505,818	2,365,607	696,317	-	3,061,924
	Total	2,983,512	522,306	3,803,434	7,309,252	2,365,607	696,317	4,796,796	7,858,720
2.18.1	(c) Gross Amount of Loans Individually Determined to be Impaired, before Deducting the Individually Assessed Impairment Allowance	-	-	6,463,856	6,463,856	-	-	12,723,824	12,723,824
	Gross Amount of Loans Collectively Assessed for the Impairment	141,430,755	20,706,127	-	162,136,882	117,353,429	22,970,641	-	140,324,070
	Gross Receivables	141,430,755	20,706,127	6,463,856	168,600,738	117,353,429	22,970,641	12,723,824	153,047,894
	Gross Amount of Loans Individually Determined to be Impaired				3.83%				8.31%

2.18.2 Stage-wise Analysis of the Allowance for Impairment Losses - Group

		2024				2023			
		Stage 01	Stage 02	Stage 03	Total	Stage 01	Stage 02	Stage 03	Total
		Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
2.18.2	(a) As at the Beginning of the Year	2,384,657	697,415	5,113,330	8,195,402	2,027,394	416,702	5,405,900	7,849,996
	Charge/(Reversal) for the Year	630,418	(174,936)	(56,440)	399,042	357,047	280,752	(19,089)	618,710
	Amounts Written-Off	-	-	(936,394)	(936,394)	-	-	(270,236)	(270,236)
	Exchange Rate Variance on Foreign Currency Provisions	(1,806)	(54)	(3,168)	(5,028)	216	(39)	(3,245)	(3,068)
	As at the End of the Year	3,013,269	522,425	4,117,328	7,653,022	2,384,657	697,415	5,113,330	8,195,402
2.18.2	(b) Individual Impairment	-	-	4,117,328	4,117,328	-	-	5,113,330	5,113,330
	Collective Impairment	3,013,269	522,425	-	3,535,694	2,384,657	697,415	-	3,082,072
	Total	3,013,269	522,425	4,117,328	7,653,022	2,384,657	697,415	5,113,330	8,195,402
2.18.2	(c) Gross Amount of Loans Individually Determined to be Impaired, before Deducting the Individually Assessed Impairment Allowance	-	-	7,023,093	7,023,093	-	-	13,350,152	13,350,152
	Gross Amount of Loans Collectively Assessed for the Impairment	142,440,448	20,711,214	-	163,151,662	118,243,460	22,973,387	-	141,216,847
	Gross Receivables	142,440,448	20,711,214	7,023,093	170,174,755	118,243,460	22,973,387	13,350,152	154,566,999
	Gross Amount of Loans Individually Determined to be Impaired				4.13%				8.64%

2.18.3 Product-wise Analysis of the Allowance for Impairment Losses - Company

As at 31 March	2024				2023			
	Stage 01	Stage 02	Stage 03	Total	Stage 01	Stage 02	Stage 03	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Gold Loans	1,423,708	39,297	29,044	1,492,049	879,711	94,100	39,587	1,013,398
Lease Receivables	379,251	166,850	1,423,989	1,970,090	429,229	265,057	2,204,926	2,899,212
Vehicle Loans	571,482	164,023	435,775	1,171,280	343,502	148,100	472,380	963,982
Term Loans	312,278	14,462	73,779	400,519	407,250	17,630	235,647	660,527
Mortgage Loans	141,695	92,539	1,522,091	1,756,325	199,000	109,915	1,581,202	1,890,117
Power Drafts	155,098	45,135	318,756	518,989	106,915	61,515	263,054	431,484
Total Allowance for Impairment Losses	2,983,512	522,306	3,803,434	7,309,252	2,365,607	696,317	4,796,796	7,858,720

2.18.4 Product-wise Analysis of the Allowance for Impairment Losses - Group

As at 31 March	2024				2023			
	Stage 01	Stage 02	Stage 03	Total	Stage 01	Stage 02	Stage 03	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Gold Loans	1,424,251	39,337	29,050	1,492,638	881,504	94,251	39,684	1,015,439
Lease Receivables	379,301	166,906	1,464,617	2,010,824	429,307	265,158	2,243,067	2,937,532
Vehicle Loans	571,502	164,039	449,022	1,184,563	360,631	148,563	472,387	981,581
Term Loans	341,422	14,469	245,866	601,757	407,300	18,013	513,936	939,249
Mortgage Loans	141,695	92,539	1,609,992	1,844,226	199,000	109,915	1,581,202	1,890,117
Power Drafts	155,098	45,135	318,781	519,014	106,915	61,515	263,054	431,484
Total Allowance for Impairment Losses	3,013,269	522,425	4,117,328	7,653,022	2,384,657	697,415	5,113,330	8,195,402

2.18.5 Stage Movements in Allowance for Impairment Losses - Company

	2024				2023			
	Stage 01	Stage 02	Stage 03	Total	Stage 01	Stage 02	Stage 03	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
(ECL) as at the Beginning of the Year	2,365,607	696,317	4,796,796	7,858,720	1,978,234	414,829	5,087,021	7,480,084
Transfer to Stage 01	187,436	(115,154)	(72,282)	-	1,005,600	(183,891)	(821,709)	-
Transfer to Stage 02	(170,347)	260,593	(90,246)	-	(218,736)	4,132,798	(3,914,062)	-
Transfer to Stage 03	(23,599)	(57,883)	81,482	-	(66,842)	(77,191)	144,033	-
New Assets Originated or Purchased	2,477,852	419,063	1,257,980	4,154,895	1,637,732	596,724	5,846,018	8,080,474
Financial Assets Derecognised or Repaid	(1,853,437)	(680,630)	(1,233,902)	(3,767,969)	(1,970,381)	(4,186,952)	(1,274,269)	(7,431,602)
Write-offs	-	-	(936,394)	(936,394)	-	-	(270,236)	(270,236)
As at the End of the Year	2,983,512	522,306	3,803,434	7,309,252	2,365,607	696,317	4,796,796	7,858,720

2.18.6 Stage Movements in Allowance for Impairment Losses - Group

	2024				2023			
	Stage 01	Stage 02	Stage 03	Total	Stage 01	Stage 02	Stage 03	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
(ECL) as at the Beginning of the Year	2,384,657	697,415	5,113,330	8,195,402	2,027,394	416,701	5,405,901	7,849,996
Transfer to Stage 01	187,681	(115,203)	(72,478)	-	1,027,999	(184,664)	(843,335)	-
Transfer to Stage 02	(170,444)	260,879	(90,435)	-	(219,087)	4,133,149	(3,914,062)	-
Transfer to Stage 03	(24,074)	(58,637)	82,711	-	(68,652)	(77,440)	146,092	-
New Assets Originated or Purchased	2,507,229	419,471	1,289,568	4,216,268	1,650,431	598,210	5,907,178	8,155,819
Financial Assets Derecognised or Repaid	(1,869,974)	(681,446)	(1,265,806)	(3,817,226)	(2,033,644)	(4,188,502)	(1,314,963)	(7,537,109)
Write-offs	-	-	(936,394)	(936,394)	-	-	(270,236)	(270,236)
Exchange Rate Variance on Foreign Currency Provisions	(1,806)	(54)	(3,168)	(5,028)	216	(39)	(3,245)	(3,068)
As at the End of the Year	3,013,269	522,425	4,117,328	7,653,022	2,384,657	697,415	5,113,330	8,195,402

2.18.7 Sensitivity Analysis of Allowance for Impairment Losses

The Company has estimated the impairment provision as at 31 March 2024 based on various assumptions. The changes to such assumptions may lead to changes in the impairment provision recorded in the Statement of Financial Position. The sensitivity of the impairment provision of the Company as at 31 March 2024 to a reasonably possible change in Probability of Defaults (PDs) and Loss Given Defaults (LGDs) are demonstrated in the following table. The simulated Expected Credit Loss impacts of the multiple scenarios based on forward looking macroeconomic information are presented in the Note 2.18.8 to these Financial Statements.

Changed Criteria	Changed Factor	Sensitivity Effect on Impairment Allowance Increase		Sensitivity Effect on Income Statement	
		2024	2023	2024	2023
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Loss Given Default (LGD)	Increase by 10%	192,194	210,237	192,194	210,237
Probability of Default (PD)	Increase by 1%	10,273	12,496	10,273	12,496

2.18.8 Measurement Uncertainty and Sensitivity Analysis of ECL Estimates

The recognition and measurement of ECL involves the use of significant judgement and estimation including estimation of Probabilities of Default (PD), Loss Given Default (LGD), a range of unbiased future economic scenarios, estimation of expected lives, estimation of Exposures at Default (EAD) and assessing significant increases in credit risk. This becomes more complex, particularly in times of economic volatility and uncertainty. The Group form multiple economic scenarios based on economic forecasts to estimate future credit losses and to determine an unbiased ECL estimate. Management judgements are used to address the data and model limitations and expert credit judgements.

Methodology

The Group have been used three scenarios at multiple confidence levels to capture the exceptional nature of the current economic environment and to simulate management's view of the range of potential outcomes. The range of forecasts are generated through the model due to the uncertainty caused by current adverse economic conditions. These three scenarios are drawn from the model developed by the Company with Colombo Science and Technology CELL of University of Colombo. The model uses multiple economic variables like GDP, unemployment, inflation, and trained to identify the historical correlations. The impact arising from the upside, downside and base scenarios have been simulated through a machine learning technique.

Economic forecasts are subject to a high degree of uncertainty in the current environment. Limitations of forecasts and economic models require a greater reliance on management judgement in addressing both the error inherent in economic forecasts and in assessing associated ECL outcomes.

ECL Scenarios and Sensitivity Analysis of Allowance for Impairment Losses

As expected, the scenarios create differing impacts on ECL and the impacts are deemed reasonable. In this simulation, it is assumed that existing modelled relationships between key economic variables and loss drivers hold, but in practice other factors would also have an impact, for example, potential customer behaviour changes and policy changes by lenders that might impact on the wider availability of credit.

Notes to the Financial Statements

The simulated ECL impacts of the multiple scenarios are presented in the table below;

Economic Factor Adjustment - Percentage Variance

	Upto 01 Year			Beyond 01 Year		
	Base	Upside	Downside	Base	Upside	Downside
Forecast	-31.29%			-35.15%		
At 99% Confidence		-58.27%	-4.73%		-72.75%	2.96%
At 95% Confidence		-51.67%	-10.98%		-64.23%	-6.22%
At 90% Confidence		-48.50%	-14.17%		-59.63%	-11.09%
At 80% Confidence		-44.80%	-17.95%		-54.11%	-16.32%

Economic Factor Adjustment - Value Variance

	Upto 01 Year			Beyond 01 Year		
	Base	Upside	Downside	Base	Upside	Downside
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Forecast	(321,419)			(361,077)		
At 99% Confidence		(598,543)	(48,582)		(747,343)	30,400
At 95% Confidence		(530,830)	(112,748)		(659,781)	(63,904)
At 90% Confidence		(498,204)	(145,596)		(612,594)	(113,890)
At 80% Confidence		(460,216)	(184,395)		(555,867)	(167,685)

Scenario Analysis

Base Scenario

Economic Factor Adjustment (EFA) model of the Company features a decrease in non-performing advances in 2025 and 2026 according to the Base Scenario in line with the improving macroeconomic conditions. This results in a positive impact of 31.29% and positive impact of 35.15% in the year 2025 and 2026, respectively.

Despite the sharp contraction in economic activities, the measures from Government and the Central Bank of Sri Lanka including tightening the policy interest rates, debt restructuring and measures for funding markets supported the economy and the financial system. Such support ensures economic activities will improve in long term. In addition, the proposed changes to fiscal policies and government finances mark a significant step forward in strengthening the economy and will ease the pressure on budget deficit, interest rates and exchange rates. We expect proposed changes and developments to contribute positively on recovery prospects.

Upside Scenario

Compared with the Base Scenario, the Upside Scenario features a faster recovery in economic activities during the first two years and beyond. These include the timely implementation of proposed changes which will strengthen the overall economy, speedy recovery of all the industries that were affected by the adverse macroeconomic conditions. The Upside Scenario expects a significant decrease in the EFA 58.27% and 72.75% respectively in the first two years at confidence level of 99% which declines when the confidence level move downwards.

Downside Scenario

In the Downside Scenario, economic recovery is considerably weaker compared with the Base Scenario. GDP growth remains weak, unemployment rates stay highly elevated and asset and commodity prices fall before gradually recovering towards their long-run trends. The Downside Scenario expects a marginal decrease in the EFA 4.73% in year 1 and slight increase in the EFA 2.96% in year 2 and above at 99% confidence level. The slow recovery expects the EFA to be improve gradually over the next two years.

Management Judgemental Adjustments

Management judgemental adjustments are short-term increases or decreases to the ECL at either a customer or portfolio level to account for late-breaking events, model and data limitations and deficiencies, and expert credit judgement applied following management review and challenge.

Given the degree of uncertainty surrounding the adverse economic conditions and the lack of reliable data to model the impact on portfolio, as well as the operational and timing challenges in incorporating the latest available macroeconomic inputs into the ECL models, it was necessary to place greater emphasis on judgemental adjustments to modelled outcomes than past few years. We have developed a consistent methodologies for the application of management judgemental adjustments into the calculation of ECL. These management judgemental adjustments made are described below.

The Company decided to use the downside scenario at 95% confidence level when assessing the economic factor adjustments with the objective of capturing the impact of uncertainties in the future outlook on the ECL computation as at the reporting date. Further judgement was used to take an additional stress on the economic factor adjustment as a prudential measure due to the nature and the complexity of current economic conditions.

Business conditions were continued to deteriorate during the first half of the financial year and a gradual improvement was observed towards the latter part of the financial year. Industries that were severely affected by the economic downturn followed by the pandemic is still in the phase of recovery and those industries do not automatically trigger in additional consideration of ECL through the model. The Group judged that the portfolios concentrated in tourism, transport and construction sectors require further judgement in previous financial years and continued those sectors for further judgement due to the much slower pace of improvement in economic conditions during the current financial year. Thus, credit impaired PDs were applied for the facilities where the credit risk has not significantly increased or credit impaired under the tourism, transport and construction sectors.

2.19 Financial Assets Measured at Fair Value Through Other Comprehensive Income

Accounting Policy

Upon initial recognition, the Group occasionally elects to classify irrevocably some of its equity investments as equity instruments at FVOCI when they meet the definition of Equity under Sri Lanka Accounting Standard - LKAS 32 (Financial Instruments: Presentation) and are not held for trading. Such classification is determined on an instrument-by instrument basis.

Gains and losses on these equity instruments are never recycled to Income Statement. Dividends are recognised in the Income Statement as other operating income when the right of the payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in Other Comprehensive Income. Equity instruments at FVOCI are not subject to an impairment assessment.

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
As at 31 March				
Equity Securities - Quoted (Note 2.19.1)	118,282	117,083	118,282	117,083
Equity Securities - Unquoted (Note 2.19.2)	305	305	307	307
	118,587	117,388	118,589	117,390

2.19.1 Equity Securities - Quoted

As at 31 March	Company & Group					
	Number of Shares	2024	Market Value	Number of Shares	2023	Market Value
		Cost Rs. '000			Cost Rs. '000	
Capital Goods						
Central Industries PLC	10,016	150	1,112	9,020	150	760
Royal Ceramics Lanka PLC*	313,200	843	9,741	313,200	843	8,645
Samson International PLC	5,881	927	867	5,881	927	1,492
		1,920	11,720		1,920	10,897
Consumer Services						
The Fortress Resorts PLC*	4,051,100	82,014	93,180	4,051,100	82,014	89,124
		82,014	93,180		82,014	89,124
Food, Beverage and Tobacco						
Lanka Milk Foods PLC	54,010	245	1,469	5,401	245	760
		245	1,469		245	760
Diversified Financials						
Softlogic Finance PLC	2,090,000	79,656	11,913	2,090,000	79,656	16,302
		79,656	11,913		79,656	16,302
Total		163,835	118,282		163,835	117,083

Global Industry Classification Standard (GICS)

*Investments made in related parties

2.19.1 (a) Disposal of Equity Securities - Quoted

There were no any share disposals recorded in 2024.

As at 31 March	Company & Group			
	Number of Shares	2023		
		Cost Rs. '000	Sales Proceeds Rs. '000	Profit/(Loss) on Disposal of Shares Rs. '000
Banks				
Seylan Bank PLC	1,577	86	51	(35)
		86	51	(35)
Food, Beverage and Tobacco				
Convenience Foods (Lanka) PLC	22	1	26	25
		1	26	25
Total		87	77	(10)

2.19.2 Equity Securities - Unquoted - Company

As at 31 March	2024			2023		
	Number of Shares	Cost	Market Value	Number of Shares	Cost	Market Value
		Rs. '000	Rs. '000		Rs. '000	Rs. '000
Credit Information Bureau of Sri Lanka	1,047	105	105	1,047	105	105
Finance House Association of Sri Lanka	20,000	200	200	20,000	200	200
National Credit Guarantee Institution Ltd	25	0	0	-	-	-
Total		305	305		305	305

Cost is assumed to be the best approximation for the fair value of unquoted equity shares due to the absence of most recent exit prices.

Equity Securities - Unquoted - Group

As at 31 March	2024			2023		
	Number of Shares	Cost	Market Value	Number of Shares	Cost	Market Value
		Rs. '000	Rs. '000		Rs. '000	Rs. '000
Credit Information Bureau of Sri Lanka	1,072	107	107	1,072	107	107
Finance House Association of Sri Lanka	20,000	200	200	20,000	200	200
National Credit Guarantee Institution Ltd	25	0	0	-	-	-
Total		307	307		307	307

Cost is assumed to be the best approximation for the fair value of unquoted equity shares due to the absence of most recent exit prices.

2.19.2 (a) Reconciliation of Fair Value Measurement for Unquoted Equity Securities under Level 3 Hierarchy

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
As at the Beginning of the Year	305	305	307	307
Remeasurement Recognised in Other Comprehensive Income	-	-	-	-
As at the End of the Year	305	305	307	307

2.20 Other Financial Assets**Accounting Policy**

These include Securities under Reverse Repurchase Agreements, where we are the transferee, investment in government securities and investments in fixed deposits with banks and other financial institutions. Securities under Reverse Repurchase Agreements allow us to offset our entire gross exposure in the event of default or breach of contract. Other financial assets are initially recognised at fair value net of transactions cost. Subsequently, they are stated at amortised cost; any difference between the proceeds (net of transaction cost) and the receivable amount (including interest income) is recognised in the Income Statement over the period of the assets using effective interest method.

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Securities under Reverse Repurchase Agreements (Note 2.20.1)	4,568,918	4,651,908	4,568,918	4,651,908
Investment in Fixed Deposits (Note 2.20.2 and 2.20.3)	4,202,401	8,880,297	4,222,541	8,922,882
Investment in Treasury Bills	10,994,294	7,538,577	11,042,675	7,546,614
Insurance Premium Receivables	433,725	501,221	433,725	501,221
Due from Subsidiaries	1,150	25,839	-	-
Sundry Debtors	174,282	87,992	175,545	88,185
	20,374,770	21,685,834	20,443,404	21,710,810
Fair Value	20,433,169	21,725,653	20,501,803	21,750,629

2.20.1 The collateral value of Securities under Reverse Repurchase Agreements as at 31 March 2024 for the Company was Rs. 5,070,493,000/- (2023 - Rs. 7,815,600,000/-) and for the Group was Rs. 5,070,493,000/- (2023 - Rs. 7,815,600,000/-).

2.20.2 Investment in Fixed Deposits - Counterparty External Credit Ratings

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
A	2,556,283	4,584,314	2,576,423	4,626,899
A-	1,013,401	1,862,977	1,013,401	1,862,977
BBB-	634,576	2,482,606	634,576	2,482,606
Investment in Fixed Deposits	4,204,260	8,929,897	4,224,400	8,972,482
Allowance for Impairment Losses	(1,859)	(49,600)	(1,859)	(49,600)
	4,202,401	8,880,297	4,222,541	8,922,882

Ratings are based on Fitch Ratings Lanka Ltd

2.20.3 Investment in Fixed Deposits - By Currency

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Sri Lankan Rupee (LKR)	4,204,260	7,615,867	4,224,400	7,636,189
United States Dollar (USD)	-	1,314,030	-	1,336,293
Investment in Fixed Deposits	4,204,260	8,929,897	4,224,400	8,972,482
Allowance for Impairment Losses	(1,859)	(49,600)	(1,859)	(49,600)
	4,202,401	8,880,297	4,222,541	8,922,882

2.21 Other Non Financial Assets

Accounting Policy

Other non financial assets include gold stock, stationary stock, deposits, advances and prepayments, etc. These assets are non-interest earning and recorded at the amounts that are expected to be received.

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Deposits, Advances and Prepayments	376,158	381,182	403,166	406,809
Gold Stock	1,514	1,514	1,514	1,514
Stationery Stock	19,513	43,310	19,513	43,310
Withholding Tax Receivable	11,803	17,325	11,803	17,400
Sundry Debtors	10,041	14,479	48,178	66,899
Pre-Paid Staff Cost (Note 2.21.1)	11,622	16,537	11,622	16,537
	430,651	474,347	495,796	552,469

Gold Stock

The gold inventory is valued at lower of cost and net realisable value. Cost includes all costs of purchase, costs of conversion and other costs incurred in bringing the inventory to its present location and condition. Net realisable value is the estimated selling price in the ordinary course of business less the estimated cost necessary to make the sale.

2.21.1 The Movement in the Pre-Paid Staff Cost

	Company & Group	
	2024 Rs. '000	2023 Rs. '000
As at 31 March		
As at the Beginning of the Year	16,537	6,094
Adjustment for New Grants and Settlements	(1,354)	13,295
Charge to Personnel Expenses	(3,561)	(2,852)
As at the End of the Year	11,622	16,537

2.22 Investment in Subsidiaries

Accounting Policy

Subsidiary is an investee controlled by the Group. The Group 'controls' an investee if it is exposed to, or has rights to, variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group reassesses whether it has control if there are changes to one or more of the elements of control. This includes circumstances in which protective rights held (e.g. those resulting from a lending relationship) become substantive and lead to the Group having power over an investee.

The cost of an acquisition is measured at fair value of the consideration, including contingent consideration. The acquired identifiable assets, liabilities and contingent liabilities are measured at their fair values at the date of acquisition. Subsequent to the initial measurement the Company continues to recognise the investments in subsidiaries at cost.

The Financial Statements of Subsidiaries are included in the Consolidated Financial Statements from the date on which control commences until the date when control ceases.

The Financial Statements of the Subsidiaries in the Group have a common financial year which ends on 31 March. The Financial Statements of the Company's subsidiaries are prepared using consistent accounting policies.

All intra-group balances, transactions, unrealised gains and losses resulting from intra-group transactions, income and expenses are eliminated in full.

There are no significant restrictions on the ability of the Subsidiary to transfer funds to the Parent (the Company) in the form of cash dividend or repayment of loans and advances.

As at 31 March	Holding	Company			
		2024		2023	
		Cost /Carrying Value	Market Value	Cost /Carrying Value	Market Value
	%	Rs. '000	Rs. '000	Rs. '000	Rs. '000
LB Microfinance Myanmar Company Limited (Note 2.22.1)	100.00	521,162	521,162	521,162	521,162
Multi Finance PLC (Note 2.22.2)	64.76	177,773	177,773	400,836	514,941
		698,935	698,935	921,998	1,036,103

2.22.1 LB Microfinance Myanmar Company Limited

Cost is assumed to be the best approximation for the market value of the investment LB Microfinance Myanmar Company Limited due to the absence of most recent exit prices.

2.22.2 Multi Finance PLC

During the financial year ended 31 March 2022, LB Finance PLC acquired 64.63% of ordinary voting shares of Multi Finance PLC by investing Rs. 400 Mn. With the above acquisition LB Finance PLC became the controlling shareholder the Company.

During the previous financial year, a mandatory offer was made by LB Finance PLC to the remaining shareholders of Multi Finance PLC by the offer document dated 19 April 2022. LB Finance PLC invested Rs. 836,420/- and acquired 0.13% of ordinary voting shares (85,206 shares) of Multi Finance PLC increasing the controlling stake of the Company to 64.76%. In conjunction with the transaction, LB Finance PLC acquired Rs. 388,454/- net assets of Multi Finance PLC and recognised a goodwill of Rs. 477,966/-.

Investment in Multi Finance PLC

	Company	
	2024 Rs. '000	2023 Rs. '000
As at 31 March		
As at the Beginning of the Year	400,836	400,836
Impairment Loss on Investment in Subsidiary (Note 2.22.3)	(223,063)	-
As at the End of the Year	177,773	400,836

2.22.3 Impairment of Investment in Subsidiaries - Multi Finance PLC

	Company	
	2024 Rs. '000	2023 Rs. '000
As at 31 March		
As at the Beginning of the Year	-	-
Charge/(Reversal) for the Year	223,063	-
As at the End of the Year	223,063	-

In furtherance of the Financial Sector Consolidation Plan of the Central Bank of Sri Lanka, the Boards of Directors of LB Finance PLC and its subsidiary, Multi Finance PLC, have resolved to amalgamate Multi Finance PLC with LB Finance PLC under Section 239 of the companies Act No.07 of 2007, whereby LB Finance PLC will be the Amalgamated Company, subject however to the regulatory approvals and the approval of the shareholders of both Multi Finance PLC and LB Finance PLC, by way of Special Resolutions at Extraordinary General Meetings of the respective companies.

As per the annual impairment test performed for the investment in subsidiaries, the Group considered the progress of the amalgamation process and the net book value of the investment among other factors, when reviewing indicators of impairment as at 31 March 2024. The market price was not available since the trading of shares of Multi Finance PLC was suspended from 13 October 2022.

The recoverable amount of the investment in Multi Finance PLC as at 31 March 2024 has been determined based on a value in use calculation using cash flow projections. It was concluded that the fair value less costs to sell did not exceed the value in use. As a result of this analysis, management has recognised an impairment charge of Rs. 223 Mn in the current financial year against the investment in subsidiaries as at 31 March 2024. The amount recognised is recorded within impairment charges in the Income Statement.

2.23 Property, Plant and Equipment and Right-of-Use Assets

Property, plant and equipment are tangible items that are held for use in the production or supply of goods or services, for rental to others or for administrative purposes and are expected to be used for more than one year. The Group applies the requirements of the Sri Lanka Accounting Standard - LKAS 16 (Property, Plant and Equipment) in accounting for these assets.

Accounting Policy

Basis of Recognition

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.

Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add, replace part of, or service it. The cost of self constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as part of computer equipment.

Cost Model

The Group applies cost model to property, plant and equipment and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses. Such cost includes the cost of replacing part of the equipment when that cost is incurred, if the recognition criteria are met.

Subsequent Cost

The subsequent cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within that part will flow to the Group and its cost can be reliably measured. The costs of day-to-day servicing of property, plant and equipment are charged to the Income Statement as incurred. Costs incurred in using or redeploying an item is not included under carrying amount of an item.

Derecognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising from derecognition of an item of property, plant and equipment is included in the Income Statement when the item is derecognised.

When replacement costs are recognised in the carrying amount of an item of property, plant and equipment, the remaining carrying amount of the replaced part is derecognised. Major inspection costs are capitalised. At each such capitalisation, the remaining carrying amount of the previous cost of inspections is derecognised.

Right-of-Use Assets

Right-of-use assets are presented together with property, plant and equipment in the Statement of Financial Position. Right-of-use assets of the Group include land and buildings under long term rental agreements for its use as offices and branches.

The Group recognises right-of-use assets at the date of commencement of the lease, which is the present value of lease payments to be made over the lease term. Right-of-use assets are measured at cost less any accumulated amortisation and impairment losses and adjusted for any re-measurement of lease liabilities. The cost of the right-of-use assets includes the amount of lease liabilities recognised, initial direct cost incurred, and lease payments made at or before the commencement date less any lease incentives received.

Right-of-use assets are amortised on the straight line basis over the lease term.

Depreciation

The Group provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates on a straight line basis over the periods appropriate to the estimated useful lives, based on the pattern in which the asset's future economic benefits are expected to be consumed by the Group. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or the date that the asset is derecognised. Depreciation does not cease when the assets become idle or is retired from active use unless the asset is fully depreciated. Freehold land is not depreciated.

The estimated useful lives of the property, plant and equipment of the Company as at 31 March 2024 are as follows;

Asset Category	Period (Years)	Depreciation % per Annum
Freehold Buildings and Edifices	50	2%
Furniture and Fittings	4-6.67	15-25%
Equipment	4-5	20-25%
Motor Vehicles	5-8	12.50-20%
Computer Hardware and Equipment	4-5	20-25%
Improvement of Leasehold Asset	6.67	15%
Fixtures and Fittings	4-5	20-25%

The above rates are compatible with the rates used by all Group entities.

Accounting Estimates

Useful Lifetime of the Property, Plant and Equipment

The Group reviews the residual values, useful lives and methods of depreciation of property, plant and equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.23.1 Company - 2024

	Freehold Land	Freehold Buildings and Edifices	Furniture and Fittings	Equipment	Motor Vehicles	Computer Hardware and Equipment	Improvement of Leasehold Asset	Fixtures and Fittings	Right-of-Use Assets	Total
Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost										
Balance as at 1 April 2023	4,856,164	1,097,721	465,457	1,102,430	381,863	1,205,344	910,659	1,273,270	2,302,890	13,595,798
Additions	203	88,098	13,499	120,461	95,975	272,771	59,391	153,126	450,488	1,254,012
Transfers	-	-	-	-	-	-	-	-	-	-
Disposals/Write-offs	-	-	(5,293)	(15,506)	(44,940)	(12,121)	(17,942)	(9,415)	(46,181)	(151,398)
Balance as at 31 March 2024	4,856,367	1,185,819	473,663	1,207,385	432,898	1,465,994	952,108	1,416,981	2,707,197	14,698,412
Accumulated Depreciation and Impairment Losses										
Balance as at 1 April 2023	-	183,609	322,309	833,993	302,362	910,026	611,895	765,751	1,032,506	4,962,451
Charge for the Year	-	25,685	39,661	103,637	27,202	117,249	81,810	181,036	290,068	866,348
Impairment Loss	-	-	-	-	-	-	-	-	-	-
Transfers	-	-	-	-	-	-	-	-	-	-
Disposals/Write-offs	-	-	(5,259)	(15,440)	(39,692)	(8,249)	(17,526)	(8,852)	(19,732)	(114,750)
Balance as at 31 March 2024	-	209,294	356,711	922,190	289,872	1,019,026	676,179	937,935	1,302,842	5,714,049
Net Book Value as at 31 March 2024	4,856,367	976,525	116,952	285,195	143,026	446,968	275,929	479,046	1,404,355	8,984,363

2.23.2 Company - 2023

	Freehold Land	Freehold Buildings and Edifices	Furniture and Fittings	Equipment	Motor Vehicles	Computer Hardware and Equipment	Improvement of Leasehold Asset	Fixtures and Fittings	Right-of-Use Assets	Total
Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost										
Balance as at 1 April 2022	4,855,134	1,028,003	436,463	975,110	385,478	1,034,293	851,580	1,064,897	2,066,564	12,697,522
Additions	1,030	69,718	40,974	153,129	17,835	198,855	81,045	225,319	257,172	1,045,077
Transfers	-	-	-	-	-	-	-	-	-	-
Disposals/Write-offs	-	-	(11,980)	(25,809)	(21,450)	(27,804)	(21,966)	(16,946)	(20,846)	(146,801)
Balance as at 31 March 2023	4,856,164	1,097,721	465,457	1,102,430	381,863	1,205,344	910,659	1,273,270	2,302,890	13,595,798
Accumulated Depreciation and Impairment Losses										
Balance as at 1 April 2022	-	159,863	293,193	757,106	295,921	835,063	555,298	629,834	749,503	4,275,781
Charge for the Year	-	23,746	40,837	102,674	27,891	102,176	76,858	152,260	290,292	816,734
Impairment Loss	-	-	-	-	-	-	-	-	-	-
Transfers	-	-	-	-	-	-	-	-	-	-
Disposals/Write-offs	-	-	(11,721)	(25,787)	(21,450)	(27,213)	(20,261)	(16,343)	(7,289)	(130,064)
Balance as at 31 March 2023	-	183,609	322,309	833,993	302,362	910,026	611,895	765,751	1,032,506	4,962,451
Net Book Value as at 31 March 2023	4,856,164	914,112	143,148	268,437	79,501	295,318	298,764	507,519	1,270,384	8,633,347

2.23.3 Group - 2024

	Freehold Land	Freehold Buildings and Edifices	Furniture and Fittings	Equipment	Motor Vehicles	Computer Hardware and Equipment	Improvement of Leasehold Asset	Fixtures and Fittings	Right-of-Use Assets	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost										
Balance as at 1 April 2023	4,856,164	1,097,721	496,444	1,120,730	384,690	1,240,166	910,659	1,273,270	2,377,583	13,757,427
Additions	203	88,098	23,996	123,827	95,975	276,133	59,391	153,126	466,276	1,287,025
Transfers	-	-	(97)	(20)	-	-	-	-	-	(117)
Exchange Rate Variance	-	-	(515)	(496)	(73)	(948)	-	-	-	(2,032)
Disposals/Write-offs	-	-	(5,293)	(15,506)	(44,940)	(12,120)	(17,942)	(9,415)	(46,181)	(151,397)
Balance as at 31 March 2024	4,856,367	1,185,819	514,335	1,228,535	435,652	1,503,231	952,108	1,416,981	2,797,678	14,890,906
Accumulated Depreciation and Impairment										
Losses										
Balance as at 1 April 2023	-	183,609	349,237	848,738	304,465	938,568	611,895	765,751	1,087,962	5,090,225
Charge for the Year	-	25,685	42,252	104,994	27,403	119,616	81,810	181,036	299,776	882,572
Impairment Loss	-	-	-	-	-	-	-	-	-	-
Transfers	-	-	(76)	(19)	-	-	-	-	-	(95)
Exchange Rate Variance	-	-	(247)	(308)	(28)	(579)	-	-	-	(1,152)
Disposals/Write-offs	-	-	(5,259)	(15,440)	(39,692)	(8,249)	(17,526)	(8,852)	(19,732)	(114,750)
Balance as at 31 March 2024	-	209,294	385,907	937,965	292,148	1,049,356	676,179	937,935	1,368,006	5,856,800
Net Book Value as at 31 March 2024	4,856,367	976,525	128,628	290,570	143,504	453,875	275,929	479,046	1,429,672	9,034,106

2.23.4 Group - 2023

	Freehold Land	Freehold Buildings and Edifices	Furniture and Fittings	Equipment	Motor Vehicles	Computer Hardware and Equipment	Improvement of Leasehold Asset	Fixtures and Fittings	Right-of-Use Assets	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost										
Balance as at 1 April 2022	4,855,134	1,028,003	465,784	991,467	388,376	1,065,527	851,580	1,064,897	2,125,423	12,836,191
Additions	1,030	69,718	42,986	155,421	17,835	203,051	81,045	225,319	273,006	1,069,411
Transfers	-	-	-	-	-	-	-	-	-	-
Exchange Rate Variance	-	-	(346)	(349)	(71)	(608)	-	-	-	(1,374)
Disposals/Write-offs	-	-	(11,980)	(25,809)	(21,450)	(27,804)	(21,966)	(16,946)	(20,846)	(146,801)
Balance as at 31 March 2023	4,856,164	1,097,721	496,444	1,120,730	384,690	1,240,166	910,659	1,273,270	2,377,583	13,757,427
Accumulated Depreciation and Impairment										
Losses										
Balance as at 1 April 2022	-	159,863	317,580	770,562	297,873	860,903	555,298	629,834	795,348	4,387,261
Charge for the Year	-	23,746	43,612	104,268	28,070	105,438	76,858	152,260	299,903	834,155
Impairment Loss	-	-	-	-	-	-	-	-	-	-
Transfers	-	-	-	(305)	(28)	(560)	-	-	-	(1,127)
Exchange Rate Variance	-	-	(234)	(305)	(28)	(27,213)	(20,261)	(16,343)	(7,289)	(130,064)
Disposals/Write-offs	-	-	(11,721)	(25,787)	(21,450)	(27,213)	(20,261)	(16,343)	(7,289)	(130,064)
Balance as at 31 March 2023	-	183,609	349,237	848,738	304,465	938,568	611,895	765,751	1,087,962	5,090,225
Net Book Value as at 31 March 2023	4,856,164	914,112	147,207	271,992	80,225	301,598	298,764	507,519	1,289,621	8,667,202

2.23.5 Property, Plant and Equipment and ROU Assets Acquired During the Financial Year - Company & Group

During the financial year, the Company acquired property, plant and equipment to the aggregate value of Rs. 1,254,011,518/- (2023 - Rs. 1,045,076,677/-). Cash payments amounting to Rs. 884,569,958/- (2023 - Rs. 675,637,117/-) was paid during the year for purchases of property, plant and equipment.

During the financial year, the Group acquired property, plant and equipment to the aggregate value of Rs. 1,287,024,735/- (2023 - Rs. 1,069,410,383/-). Cash payments amounting to Rs. 905,130,442/- (2023 - Rs. 689,701,735/-) was paid during the year for purchases of property, plant and equipment.

2.23.6 Property, Plant and Equipment Subjected to Operating Lease - Company & Group

Included in property, plant and equipment are assets subject to operating lease where the Company is a lessor.

At 31 March 2024, there were no property, plant and equipment subjected to operating lease. At 31 March 2023, the net carrying value amount of those assets was Rs. 1,787,373/-, on which the accumulated depreciation as at 31 March 2023 was Rs. 90,162,670/-.

Summary of future operating lease receivable was as follows;

As at 31 March 2023	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Future Operating Lease Receivable	2,452	-	-	2,452

2.23.7 Borrowing Costs - Company & Group

There were no capitalised borrowing cost related to the acquisition of property, plant and equipment during the financial year 2024 and 2023.

2.23.8 Fully-Depreciated Property, Plant and Equipment - Company & Group

The initial cost of fully-depreciated property, plant and equipment, which are still in use as at reporting date is Rs. 3,188,548,356/- (2023 - Rs. 2,730,647,278/-) for the Company and Rs. 3,246,895,803/- (2023 - Rs. 2,802,306,244/-) for the Group.

2.23.9 Information on the Freehold Land and Buildings - Company & Group

The Group applies cost model to property, plant and equipment and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses. The valuations of the Freehold Land and Buildings of the Group are carried out at minimum once in every two years or more frequently if the fair values previously disclosed are substantially different from the fair values as at the reporting date.

The Group engages independent professional valuers for revaluation of its freehold land and buildings as specified by the Direction No. 04 of 2018 on 'Valuation of Immovable Properties' and subsequent amendments thereto issued by the Central Bank of Sri Lanka.

Information on the freehold land and buildings as required by the Rule No 7.6 (viii) of the 'Continuing Listing Requirements' of the Colombo Stock Exchange.

As at 31 March			2024						2023
Location	Method of Valuation and Significant Unobservable Inputs	Range of Estimates for Unobservable Inputs	Number of Buildings	Extent Perches	Buildings Square Feet	Fair Value Rs. '000	Net Book Value Rs. '000	Fair Value as a % of Net Book Value	Net Book Value Rs. '000
Kollupitiya	Contractor's Test Method								
No 20, Dharmapala Mawatha, Colombo 03.	Price per Perch / Price per Square Feet	Rs. 27,500,000 p.p. / Rs. 13,250 p.sq.ft.	1	52.82	57,020	2,208,065	831,678	265	844,230
Kollupitiya	Comparison Method								
No 676, Galle Road, Colombo 03.	Price per Perch	Rs. 27,500,000 p.p.	5	167.65	63,251	4,610,375	2,200,420	210	2,206,537
Cinnamon Gardens	Contractor's Test Method								
No 165, Dharmapala Mawatha, Colombo 07.	Price per Perch / Price per Square Feet	Rs. 25,500,000 p.p. / Rs. 5,750 p.sq.ft.	1	48.95	7,400	1,290,775	1,031,265	125	1,032,481

As at 31 March			2024						2023
Location	Method of Valuation and Significant Unobservable Inputs	Range of Estimates for Unobservable Inputs	Number of Buildings	Extent Perches	Buildings Square Feet	Fair Value Rs. '000	Net Book Value Rs. '000	Fair Value as a % of Net Book Value	Net Book Value Rs. '000
Kandy	Contractor's Test Method								
No 115B, Kotugodella Veediya, Kandy.	Price per Perch / Price per Square Feet	Rs. 22,750,000 p.p. / Rs. 1,900 p.sq.ft.	1	25.76	7,780	600,822	529,670	113	518,989
Kandy	Contractor's Test Method								
No 226, D S Senanayaka Street, Kandy.	Price per Perch / Price per Square Feet	Rs. 12,500,000 p.p. / Rs. 1,700 p.sq.ft.	1	7.05	3,674	94,370	57,751	163	10,200
Kandy	Contractor's Test Method								
Moragaspiyawatta Road, Balagolla, Kengalla.	Price per Perch / Price per Square Feet	Rs. 650,000 p.p. / Rs. 2,775 p.sq.ft.	2	110.00	2,400	78,160	28,892	271	29,063
Kandy	Comparison Method								
No 47/10 A, Luwiss Pieris Mawatha, Buwelikada, Kandy.	Price per Perch	Rs. 1,250,000 p.p.	-	42.40	-	53,000	34,085	155	34,085
Maradana	Contractor's Test Method								
No 104/1, Vipulasena Mawatha, Colombo 10.	Price per Perch / Price per Square Feet	Rs. 7,500,000 p.p. / Rs. 3,000 p.sq.ft.	1	50.60	5,750	396,750	73,703	538	74,383
Nuwara Eliya	Comparison Method								
No 35/4, Upper Lake Road, Nuwara Eliya.	Price per Perch	Rs. 1,600,000 p.p.	-	359.00	-	574,400	64,906	885	64,906
Wellawatta	Contractor's Test Method								
No 51A, W A Silva Mawatha, Colombo 06.	Price per Perch / Price per Square Feet	Rs. 14,500,000 p.p. / Rs. 7,250 p.sq.ft.	1	14.23	5,678	247,501	189,621	131	190,322
Panadura	Contractor's Test Method								
No 37, Jayathilake Mawatha, Panadura.	Price per Perch / Price per Square Feet	Rs. 4,000,000 p.p. / Rs. 2,000 p.sq.ft.	1	42.00	1,925	171,850	128,591	134	104,279
Kalutara	Contractor's Test Method								
No 334, Main Street, Kalutara South.	Price per Perch / Price per Square Feet	Rs. 6,750,000 p.p. / Rs. 5,750 p.sq.ft.	1	26.27	10,620	238,388	190,933	125	191,995
Borella	Contractor's Test Method								
No 1024, Maradana Road, Borella.	Price per Perch / Price per Square Feet	Rs. 15,500,000 p.p. / Rs. 7,500 p.sq.ft.	1	25.50	2,600	414,750	270,760	153	266,710
Rajagiriya	Contractor's Test Method								
No 419, Old Kotte Road, Rajagiriya.	Price per Perch / Price per Square Feet	Rs. 8,000,000 p.p. / Rs. 14,350 p.sq.ft.	1	16.30	10,867	286,341	200,618	143	202,094

Valuation of freehold land and buildings of the Company was carried out as at 31 March 2024 by H.B. Manjula Basnayaka. AIV (Sri Lanka), N.C.T., QS, (COT), incorporated valuer. Contractor's Test Method and Comparison Method have been used for the valuation.

Freehold land and buildings of the Company are considered under Level 3 of fair value hierarchy.

2.23.10 Valuation Techniques and Sensitivity of the Fair Value Measurement of the Property, Plant and Equipment of the Group

Valuation Technique	Significant Unobservable Valuation Inputs	Sensitivity of the Fair Value Measurement to Inputs
Comparison Method		
This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of the property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for differences in size, nature, location and condition of specific property.	Price per Perch for Land / Price per Square Feet	Estimated fair value would increase/(decrease) if ; Price per Perch for Land / Price per Square Feet would increase/(decrease)
Contractor's Test Method		
The contractors method of valuation involves estimating the cost of replacing the property with a similar property of the same size, quality and function. This estimate includes the cost of material, labour, and cost of equipment required to construct the property, as well as any site improvements and contingencies.	Cost per Perch for Land / Cost per Square Feet	Estimated fair value would increase/(decrease) if ; Cost per Perch for Land / Cost per Square Feet would increase/(decrease)

2.23.11 Title Restriction on Property, Plant and Equipment - Company & Group

There were no restrictions existed on the title of the property, plant and equipment as at the reporting date.

2.23.12 Property, Plant and Equipment Pledged as Security for Liabilities - Company & Group

There were no items of property, plant and equipment pledged as securities for liabilities as at the reporting date other than those disclosed in the Note 3.7 of these Financial Statements.

2.23.13 Compensation from Third Parties for Items of Property, Plant and Equipment - Company & Group

There were no compensation receivable from third parties for items of property, plant and equipment that were impaired, lost or given up as at the reporting date.

2.23.14 Temporarily Idle Property, Plant and Equipment - Company & Group

There were no temporarily idle property, plant and equipment as at the reporting date.

2.23.15 Property, Plant and Equipment Retired from Active Use - Company & Group

There were no property, plant and equipment retired from active use as at the reporting date.

2.24 Investment Properties

Accounting Policy

Basis of Recognition

Investment properties are those which are held either to earn rental or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

An investment property is recognised, if it is probable that future economic benefits that are associated with the investment property will flow to the Group and cost of the investment property can be reliably measured.

Basis of Measurement

Fair Value Model

Investment properties are initially recognised at cost. Subsequent to initial recognition, the investment properties are stated at fair value, which reflect market conditions at the reporting date. Gains or losses arising from changes in fair value and the rental income from the investment property is recognised under other operating income in the Income Statement in the year in which they arise.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the Consolidated Financial Statements, and accounted for as per Sri Lanka Accounting Standard - LKAS 16 (Property, Plant and Equipment).

Derecognition

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Income Statement in the year of retirement or disposal.

Subsequent Transfers to/from Investment Properties

Transfers are made to investment properties when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

Transfers are made from investment properties when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sale.

For a transfer from investment properties to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the Group as an owner occupied property becomes an investment property, the Group, accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

For a transfer from inventories to investment properties, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the Income statement. When the Group completes the construction or development of a self constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the Income Statement.

Determining Fair Value

External and independent professional valuers, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued, value the investment property portfolio as at each reporting date.

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Balance as at the Beginning of the Year	-	-	4,550	71,150
Disposals during the Year	-	-	-	(67,000)
Fair Value Gains/ (Losses)	-	-	500	400
Balance as at the End of the Year	-	-	5,050	4,550

There were no capitalised borrowing cost related to the acquisition of investment properties during the year 2024 (2023 - Nil).

2.24.1 Information on Investment Properties of the Group - Extents and Locations

Multi Finance PLC

Location	Number of Buildings	Extent	Buildings	Fair Value of the Investment Property - Land Rs. '000	Fair Value of the Investment Property - Buildings Rs. '000
		Perches	Square Feet		
Lot No - 1, Plan No 12/41, Atikelanda Road, Arangala South, Nattaranpotha, Kandy.	-	46.14	Bare Land	1,350	-
Lot No - 4, Plan No 1730, Mallawagolla Road, Doratiyawa, Mallawapitiya, Kurunegala.	-	92.50	Bare Land	3,700	-
Total				5,050	-

2.24.2 Information on Investment Properties of the Group – Valuations

The Group engages independent professional valuers for revaluation of its Investment Properties and the valuations are carried out every financial year.

Valuation of investment properties of the Group was carried out by H.B. Manjula Basnayaka. AIV (Sri Lanka), N.C.T., QS, (COT), incorporated valuer. Comparison method of valuation has been used for the valuations.

Investment properties of the Group are considered under Level 3 of fair value hierarchy.

Multi Finance PLC

Name of Professional Valuer/ Location and Address	Method of Valuation and Significant Unobservable Inputs	Range of Estimates for Unobservable Inputs	Fair Value of the Investment Property - Land Rs. '000	Fair Value of the Investment Property - Buildings Rs. '000	Fair Value Gains/ (Losses) Recognised in the Income Statement - Land Rs. '000	Fair Value Gains/ (Losses) Recognised in the Income Statement - Buildings Rs. '000
H. B. Manjula Basnayake	Comparison Method					
Lot No - 1, Plan No 12/41, Atikelanda Road, Arangala South, Nattaranpotha, Kandy.	Price per Perch	Rs. 29,000 p. p.	1,350	-	50	-
H. B. Manjula Basnayake	Comparison Method					
Lot No - 4, Plan No 1730, Mallawagolla Road, Doratiyawa, Mallawapitiya, Kurunegala.	Price per Perch	Rs. 40,000 p. p.	3,700	-	450	-
Total			5,050	-	500	-

2.24.3 Valuation Techniques and Sensitivity of the Fair Value Measurement of the Investment Properties of the Group

Valuation Technique	Significant Unobservable Valuation Inputs	Sensitivity of the Fair Value Measurement to Inputs
Comparison Method This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of the property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for differences in size, nature, location and condition of specific property.	Price per Perch for Land	Estimated fair value would increase/(decrease) if ; Price per Perch for Land would increase/(decrease)

2.24.4 There were no restrictions on the realisability of investment properties of the Group as at the reporting date.

2.25 Intangible Assets

An intangible asset is an identifiable monetary asset without physical substance held for use in the production or supply of goods or services, for rental to others or for administrative purposes. The Group's intangible assets include the value of acquired goodwill and computer software.

Accounting Policy

Basis of Recognition

An intangible asset is recognised if it is probable that the future economic benefits that are attributable to the asset will flow to the entity and the cost of the assets can be measured reliably. An intangible asset is initially measured at cost.

The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, these assets are stated in the Statement of Financial Position at cost, less accumulated amortisation and accumulated impairment losses, if any.

Subsequent Expenditure

Expenditure incurred on intangible assets is capitalised only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standard of performance and this expenditure can be measured and attributed to the asset reliably. All other expenditure is expensed as incurred.

Derecognition of Intangible Assets

The carrying amount of an item of intangible asset is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from derecognition of an item of intangible asset is included in the Income Statement when the item is derecognised.

Useful Economic Lives, Amortisation and Impairment of Intangible Assets

Intangible assets, except for goodwill, are amortised on a straight line basis in the Income Statement from the date when the asset is available for use, over the best estimate of its useful economic life based on a pattern in which the asset's economic benefits are consumed by the Group. Indefinite-lived intangible assets are not amortised, but are tested for impairment annually or more frequently if events or circumstances indicate the asset may be impaired. Only finite-lived intangible asset is computer software of the Group. Goodwill is the indefinite-lived intangible asset which is subject to annual impairment test. Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate. The Group assumes that there is no residual value for its intangible assets.

Computer Software

Cost of all computer software licensed for use by the Group, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category of intangible assets and carried at cost less accumulated amortisation and any accumulated impairment losses.

Useful lifetime of computer software is as follows;

Intangible Asset Category	Period (Years)	Depreciation % per Annum
Computer Software	3-5	20-33.33%

Goodwill

Goodwill represents the excess of the cost of acquisition of a subsidiary or an associate over the Group's interest in the net fair value of the identifiable assets and liabilities acquired. Carrying amount of goodwill that arises on the acquisition of subsidiaries is presented with intangible assets.

Goodwill is initially measured at cost and subsequent to initial recognition, goodwill is measured at cost less accumulated impairment losses.

Impairment Testing on Goodwill

The Group tests the goodwill for impairment annually and assess for any indication of impairment to ensure that its carrying amount does not exceed the recoverable amount. If an impairment loss is identified, it is recognised immediately to the Income Statement. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to Groups of cash-generating units that are expected to benefit from the synergies of the combination.

The impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets prorata to the carrying amount of each asset in the unit. Where goodwill forms part of a cash generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation.

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
As at 31 March				
Computer Software (Note 2.25.1)	20,701	22,628	22,602	27,452
Goodwill arising on Business Combination (Note 2.25.3)	-	-	-	107,803
Total Intangible Assets	20,701	22,628	22,602	135,255

2.25.1 Computer Software

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Cost				
Cost as at the Beginning of the Year	207,857	191,921	243,567	228,048
Additions and Improvements	6,487	15,936	6,487	17,107
Disposals/Write-off	-	-	-	-
Exchange Rate Variance	-	-	(1,615)	(1,588)
Cost as at the End of the Year	214,344	207,857	248,439	243,567
Amortisation and Impairment Losses				
Amortisation as at the Beginning of the Year	185,229	177,046	216,115	204,403
Charge for the Year	8,414	8,183	11,189	13,284
Impairment Loss	-	-	-	-
Disposals/Write-off	-	-	-	-
Exchange Rate Variance	-	-	(1,467)	(1,572)
Accumulated Amortisation as at the End of the Year	193,643	185,229	225,837	216,115
Net Book Value as at 31 March	20,701	22,628	22,602	27,452

2.25.2 There were no restrictions on the title of the intangible assets as at the reporting date. Further there were no items pledged as securities for liabilities.

2.25.3 Goodwill arising on Business Combination

As at 31 March	Group	
	2024 Rs. '000	2023 Rs. '000
Balance as at the Beginning of the Year	107,803	107,355
Additions Resulting from Mandatory Offer	-	448
Impairment Loss on Goodwill	(107,803)	-
Balance as at the End of the Year	-	107,803

The Group performed its annual impairment test in March 2024 on Goodwill generated from the acquisition of Multi Finance PLC. The Group considered its net book value, among other factors, when reviewing indicators of impairment as at 31 March 2024. The market price was not available since the trading of shares of Multi Finance PLC was suspended from 13 October 2022 indicating a potential impairment of goodwill.

The recoverable amount of the investment in Multi Finance PLC as at 31 March 2024 has been determined based on a value in use calculation using cash flow projections. It was concluded that the fair value less costs to sell did not exceed the value in use. As a result of this analysis, management has recognised an impairment charge of Rs 107,803,189 in the current financial year against the goodwill as at 31 March 2024. The amount recognised is recorded within impairment charges in the Income Statement.

2.26 Deferred Tax Assets and Liabilities

Accounting Policy

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax liabilities are recognised for all taxable temporary differences.

Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses (if any), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the unused tax credits and unused tax losses carried forward can be utilised.

Deferred tax assets / liabilities shall be recognised for temporary differences, unless it arises from the initial recognition of an asset or liability in a transaction that:

- ◆ is not a business combination.
- ◆ at the time of the transaction, affects neither accounting profit nor taxable profit (tax loss); and
- ◆ at the time of the transaction, does not give rise to equal taxable and deductible temporary differences.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date. Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Accounting Estimates

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against which such tax losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax planning strategies.

Deferred Tax Assets and Liabilities and Income Tax Relate to the Followings;

	Reflected in				Reflected in				Reflected in			
	Statement of Financial Position		Income Statement		Statement of Comprehensive Income		Company		Group		Company	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred Tax Liabilities												
Depreciation of Leased Assets	215,435	224,707	215,435	224,707	(9,272)	(107,373)	(9,272)	(107,373)	(9,272)	(107,373)		
Depreciation of Property, Plant and Equipment	195,320	190,160	191,705	190,160	5,160	45,076	5,160	45,076	1,545	45,076		
	410,755	414,867	407,140	414,867	(4,112)	(62,297)	(4,112)	(62,297)	(7,727)	(62,297)		
Deferred Tax Assets												
Right-of-Use Assets	(140,169)	(113,513)	(140,169)	(113,513)	(26,656)	(48,726)	(26,656)	(48,726)	(26,656)	(48,726)		
Defined Benefit Obligation - Income Statement	(135,916)	(119,778)	(135,916)	(119,778)	(16,138)	(35,855)	(16,138)	(35,855)	(16,138)	(35,855)		
Defined Benefit Obligation - Other Comprehensive Income	(6,001)	10,111	(6,001)	10,111	-	-	-	-	-	-		
Carried Forward Qualifying Payment	-	(40,296)	-	(40,296)	40,296	24,177	40,296	24,177	40,296	24,177		
Carried Forward Impairment Provision	(1,056,583)	(918,577)	(1,057,384)	(918,577)	(138,006)	(758,233)	(138,006)	(758,233)	(138,807)	(758,233)		
	(1,338,669)	(1,182,053)	(1,339,470)	(1,182,053)	(140,504)	(818,637)	(140,504)	(818,637)	(141,305)	(818,637)		
Deferred Income Tax Charge/(Reversal)					(144,616)	(880,934)	(144,616)	(880,934)	(149,032)	(880,934)		
Net Deferred Tax Liability/(Asset)	(927,914)	(767,186)	(932,330)	(767,186)								

2.26.1 Unrecognised Deferred Tax Assets - Multi Finance PLC

Deferred tax asset has not been recognised in respect of carried forward tax losses of Multi Finance PLC amounted to Rs. 356,274,426 /- as at 31 March 2024. Accordingly the tax effect of unrecognised deferred tax asset is Rs. 106,882,328 /- as at 31 March 2024.

2.26.2 Expiry Dates for Unrecognised Tax Losses and Deferred Tax Assets

Year of Expiry	Unrecognised Tax Losses Rs. '000	Unrecognised Deferred Tax Asset Rs. '000
2024/25	49,998	14,999
2025/26	116,819	35,046
2026/27	47,067	14,120
2027/28	34,350	10,305
2028/29	-	-
2029/30	11,449	3,435
Unlimited	96,591	28,977
	356,274	106,882

2.27 Due to Banks

Accounting Policy

These include bank overdrafts, finance leases, syndicated loans, term loans, securitisation loans and other bank facilities. Due to bank balances are initially recognised at fair value net of transactions cost. Subsequently, they are stated at amortised cost; any difference between the proceeds (net of transaction cost) and the repayable amount (including interest) is recognised in the Income Statement over the period of the loan using effective interest rate method.

Under finance leases, the leased assets are capitalised and included in 'property, plant and equipment' and the corresponding liability to the lessor is included in 'Due to Banks'. A finance lease and its corresponding liability are recognised initially at the fair value of the asset or, if lower, the present value of the minimum lease payments. Finance charges payable are recognised in 'Interest Expense' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining period of the liability.

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Bank Overdrafts	1,035,550	490,862	1,038,445	492,019
Debt Funding from Banks (Note 2.27.1)	20,666,462	18,878,922	20,917,412	18,900,517
	21,702,012	19,369,784	21,955,857	19,392,536
Fair Value	22,837,782	17,488,092	23,342,577	17,532,438

2.27.1 Debt Funding from Banks

	As at 1 April 2023	Loans Obtained*	Interest Recognised	Repayments		As at 31 March 2024
	Rs. '000	Rs. '000	Rs. '000	Capital Rs. '000	Interest Rs. '000	Rs. '000
Term Loans						
Commercial Bank PLC	3,578,549	7,294,950	550,275	(5,122,250)	(537,354)	5,764,170
DFCC Bank PLC	870,392	-	118,195	(371,429)	(131,335)	485,823
Sampath Bank PLC	4,761,899	4,992,500	700,771	(1,750,092)	(704,059)	8,001,019
Hatton National Bank PLC	5,391,872	4,150,000	494,425	(5,441,680)	(498,055)	4,096,562
National Development Bank PLC	749,504	-	18,260	(749,300)	(18,464)	-
Seylan Bank PLC	1,208,975	-	78,539	(500,400)	(78,670)	708,444
Pan Asia Bank PLC	1,063,605	-	60,649	(425,000)	(60,924)	638,330
Peoples Bank	822,620	-	31,594	(800,000)	(54,214)	-
Habib Bank	431,506	-	57,975	(166,667)	(68,626)	254,188
MCB Bank Ltd	-	748,375	16,714	(34,722)	(12,441)	717,926
Total Debt Funding from Banks - Company	18,878,922	17,185,825	2,127,397	(15,361,540)	(2,164,142)	20,666,462
Term Loan						
UAB Bank	21,595	272,460	20,199	(40,964)	(22,340)	250,950
	21,595	272,460	20,199	(40,964)	(22,340)	250,950
Total Debt Funding from Banks - Group	18,900,517	17,458,285	2,147,596	(15,402,504)	(2,186,482)	20,917,412

*Net of transaction cost

The Group has unutilised borrowing facilities of Rs. 3,028,000,000/- as at 31 March 2024 (2023 - Rs. 5,528,000,000/-).

Details of the assets pledged as security for liabilities are disclosed in Note 3.7 to these Financial Statements.

2.27.2 Contractual Maturity Analysis of Debt Funding from Banks - Company

As at 31 March 2024	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Term Loans	9,398,269	11,268,193	-	20,666,462
As at 31 March 2023	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Term Loans	8,716,397	10,162,525	-	18,878,922

2.27.3 Contractual Maturity Analysis of Debt Funding from Banks - Group

As at 31 March 2024	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Term Loans	9,649,219	11,268,193	-	20,917,412
As at 31 March 2023	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Term Loans	8,737,992	10,162,525	-	18,900,517

2.28 Financial Liabilities at Amortised Cost - Due to Depositors

Accounting Policy

Due to depositors comprise of interest bearing savings deposits and term deposits. Customer deposits are initially recognised at fair value net of transactions cost. Subsequent to the initial recognition they are measured at their amortised cost using the effective interest rate method. Interest expense on these deposits is recognised to the Income Statement.

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
As at 31 March				
Fixed Deposits	119,056,412	111,466,149	119,146,443	111,616,979
Savings Deposits	3,751,712	2,545,550	3,888,104	2,631,274
	122,808,124	114,011,699	123,034,547	114,248,253
Fair Value	125,962,340	111,849,395	126,339,593	112,236,779

2.28.1 Sri Lanka Deposit Insurance Scheme - Company

Under the Direction No. 1 of 2021 [Finance Companies (Insurance of Deposit Liabilities)] issued by the Central Bank of Sri Lanka and subsequent amendments thereto, all the eligible deposit liabilities have been insured with the Sri Lanka Deposit Insurance Scheme implemented by the Monetary Board for compensation up to a maximum of Rs. 1,100,000/- for each depositor. The Company has paid Rs. 171,352,671/- as the premium of the said insurance scheme during the current financial year (2023 - Rs. 149,090,767/-).

2.28.2 Contractual Maturity Analysis of Customer Deposits - Company

As at 31 March 2024	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Fixed Deposits	99,123,112	19,933,300	-	119,056,412
Savings Deposits	3,751,712	-	-	3,751,712
	102,874,824	19,933,300	-	122,808,124
As at 31 March 2023	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Fixed Deposits	97,070,726	14,395,423	-	111,466,149
Savings Deposits	2,545,550	-	-	2,545,550
	99,616,276	14,395,423	-	114,011,699

We have raised fixed deposits with a pre-termination option to the customers, so fixed deposit pre-terminations may cause actual maturities to differ from contractual maturities.

2.28.3 Contractual Maturity Analysis of Customer Deposits - Group

As at 31 March 2024	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Fixed Deposits	99,193,187	19,953,256	-	119,146,443
Savings Deposits	3,888,104	-	-	3,888,104
	103,081,291	19,953,256	-	123,034,547

As at 31 March 2023	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Fixed Deposits	97,207,565	14,409,414	-	111,616,979
Savings Deposits	2,631,274	-	-	2,631,274
	99,838,839	14,409,414	-	114,248,253

We have raised fixed deposits with a pre-termination option to the customers, so fixed deposit pre-terminations may cause actual maturities to differ from contractual maturities.

2.29 Debt Instruments Issued and Other Borrowed Funds

Accounting Policy

Debt instruments and other borrowings are initially recognised at fair value net of the transactions cost. Subsequently, they are stated at amortised cost; any difference between the proceeds (net of transaction cost) and the repayable amount (including interest) is recognised in the Income Statement over the period of the loan instrument using the effective interest rate method.

As at 31 March	Company & Group	
	2024 Rs. '000	2023 Rs. '000
Borrowings from International Financial Institutions (Note 2.29.1)	1,539,282	3,882,024
Securitised Borrowings	3,952,119	-
	5,491,401	3,882,024
Fair Value	5,703,189	3,775,257

2.29.1 Borrowings from International Financial Institutions

International Financial Institution	Interest Payable	Loan Granted Date	Maturity Date	Company & Group	
				2024 Rs. '000	2023 Rs. '000
Nederlandse Financierings-Maatschappij Voor Ontwikkelingslanden N.V. (FMO)	Biannually	3 May 2021	21 April 2025	1,539,282	2,557,117
responsAbility Global Micro and SME Finance Fund (ResponsAbility)	Biannually	20 December 2021	20 December 2023	-	1,324,907
				1,539,282	3,882,024

2.29.2 Contractual Maturity Analysis of Debt Instruments Issued and Other Borrowed Funds - Company & Group

As at 31 March 2024	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Borrowings from International Financial Institutions	1,040,319	498,963	-	1,539,282
Securitised Borrowings	389,534	3,562,585	-	3,952,119
	1,429,853	4,061,548	-	5,491,401
As at 31 March 2023	Within One Year Rs. '000	1 - 5 Years Rs. '000	Over 5 Years Rs. '000	Total Rs. '000
Borrowings from International Financial Institutions	2,392,049	1,489,975	-	3,882,024

2.30 Other Financial Liabilities

Accounting Policy

Other financial liabilities are recognised initially at fair value and subsequently measured at amortised cost using the effective interest rate method. Trade payables are obligations to pay for vehicle suppliers in the ordinary course of business.

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Trade Payables	595,307	153,069	595,307	153,069
Insurance Premium Payables	288,890	550,235	288,890	550,235
Unclaimed Balances	862,401	879,899	863,909	881,333
Lease Liability (Note 2.30.1)	1,674,659	1,525,253	1,698,338	1,544,548
Other Payables	336,519	147,406	369,453	153,874
	3,757,776	3,255,862	3,815,897	3,283,059
Fair Value	3,757,776	3,255,862	3,815,897	3,283,059

2.30.1 Lease Liability

Accounting Policy

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the Group's incremental borrowing rate.

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Balance as at the Beginning of the Year	1,525,253	1,494,604	1,544,548	1,509,136
Additions	369,262	219,345	381,865	231,427
Accretion of Interest	235,309	197,528	239,111	200,481
Terminations	(28,635)	(16,783)	(28,635)	(16,783)
Payments	(426,530)	(369,441)	(438,551)	(379,713)
Balance as at the End of the Year	1,674,659	1,525,253	1,698,338	1,544,548

2.30.2 Sensitivity Analysis of Lease Liability

The following table illustrates the impact arising from the possible changes in the incremental borrowing rate on the lease liability of the Company and Group.

Increase/(Decrease) in Incremental Borrowing Rate	Company				Group			
	2024		2023		2024		2023	
	Sensitivity Effect on Lease Liability	Sensitivity Effect on Interest	Sensitivity Effect on Lease Liability	Sensitivity Effect on Interest	Sensitivity Effect on Lease Liability	Sensitivity Effect on Interest	Sensitivity Effect on Lease Liability	Sensitivity Effect on Interest
	Increase/ (Reduction) in the Liability	Expense Increase/ (Reduction) in Profits for the Year	Increase/ (Reduction) in the Liability	Expense Increase/ (Reduction) in Profits for the Year	Increase/ (Reduction) in the Liability	Expense Increase/ (Reduction) in Profits for the Year	Increase/ (Reduction) in the Liability	Expense Increase/ (Reduction) in Profits for the Year
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
1bp Up	(34,062)	10,411	(32,879)	10,343	(34,175)	10,524	(33,110)	10,574
1bp Down	35,694	(10,869)	33,518	(10,872)	35,813	(10,988)	33,756	(11,110)

2.30.3 Contractual Maturity Analysis of Lease Liability

As at 31 March	2024				2023			
	Within One Year	1 - 5 Years	Over 5 Years	Total	Within One Year	1 - 5 Years	Over 5 Years	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Company								
Lease Liability	227,302	980,112	467,245	1,674,659	181,387	915,465	428,401	1,525,253
Group								
Lease Liability	230,619	990,346	477,373	1,698,338	188,984	927,163	428,401	1,544,548

2.30.4 Undiscounted Maturity Analysis of Lease Liability

As at 31 March	2024				2023			
	Within One Year	1 - 5 Years	Over 5 Years	Total	Within One Year	1 - 5 Years	Over 5 Years	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Company								
Lease Liability	466,714	1,602,533	622,931	2,692,178	379,672	1,440,688	556,437	2,376,797
Group								
Lease Liability	474,257	1,623,717	633,653	2,731,627	389,743	1,455,719	556,437	2,401,899

2.31 Other Non Financial Liabilities

Accounting Policy

Group classifies all non financial liabilities other than post employment benefit liability and current tax liabilities under other non financial liabilities. Other non financial liabilities include accruals, advances and provisions. These liabilities are non-interest bearing and recorded at the amounts that are expected to be paid.

Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the Income Statement net of any reimbursement.

As at 31 March	Company		Group	
	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Accrued Expenses	1,070,517	879,144	1,091,195	898,480
Stamp Duty Payable	56,446	34,633	56,569	34,775
EPF/ETF/APIT Payable	62,565	54,899	62,565	55,320
Crop Insurance Levy Payable	27,191	26,314	27,191	26,314
Other Payables	66,728	20,818	89,567	65,283
Withholding Tax Payable	249,854	61,505	250,026	61,779
Impairment Provision in Respect of Off-Balance Sheet Credit Exposures	14,269	12,778	14,269	12,778
	1,547,570	1,090,091	1,591,382	1,154,729

2.32 Current Tax Liabilities

As at 31 March	Company		Group	
	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Income Tax	2,330,364	1,850,323	2,335,548	1,855,820
Value Added Tax (VAT)	386,425	361,720	386,425	362,233
Social Security Contribution Levy (SSCL)	53,707	43,787	53,727	43,943
	2,770,496	2,255,830	2,775,700	2,261,996

2.33 Post Employment Benefit Liability

Accounting Estimates

Our end of service benefit obligations are measured based on the present value of projected future benefit payments for all participants for services rendered to date. The measurement of projected future benefits is dependent on the stipulated formula, salary assumptions, demographics of the Group covered by the plan, and other key measurement assumptions. The net periodic benefit costs associated with the Group defined benefit plans are determined using assumptions regarding the benefit obligations. Due to the long-term nature of these plans, such estimates are subjected to significant uncertainty. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government Bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Group.

Provision has been made for retirement gratuities from the beginning of service for all employees, in conformity with Sri Lanka Accounting Standard LKAS 19 on 'Employee Benefit'. However, under the Payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service.

Recognition of Actuarial Gains and Losses

The Group recognises the total actuarial gains and losses that arise in calculating the Group obligation in respect of the plan in Other Comprehensive Income during the period in which it occurs.

Expected Return on Assets

Expected return on assets is zero as the plan is not pre-funded.

Funding Arrangements

The gratuity liability is not externally funded.

2.33.1 Post Employment Benefit Liability

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Balance as at the Beginning of the Year	365,557	316,973	367,504	323,833
Amount Charged/(Reversed) for the Year	171,991	95,235	173,431	96,761
Payments Made During the Year	(64,490)	(46,651)	(65,826)	(53,090)
Balance as at the End of the Year	473,058	365,557	475,109	367,504

2.33.2 Amounts Recognised in the Income Statement

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Current Service Cost for the Year	56,141	55,228	56,604	56,352
Interest Cost on the Net Defined Benefit Liability for the Year	62,144	47,546	62,494	48,575
	118,285	102,774	119,098	104,927

2.33.3 Amounts Recognised in the Other Comprehensive Income

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Liability (Gains)/Losses due to Changes in Assumptions	46,303	740	46,930	484
Liability Experience (Gains)/Losses Arising During the Year	7,403	(8,279)	7,403	(8,650)
	53,706	(7,539)	54,333	(8,166)

2.33.4 Defined Benefit Obligation Reconciliation

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Benefit Obligation at the End of Prior Year	365,557	316,973	367,504	323,833
Current Service Cost for the Year	56,141	55,228	56,604	56,352
Interest Cost on the Net Defined Benefit Liability for the Year	62,144	47,546	62,494	48,575
Liability (Gains)/Losses due to Changes in Assumptions	46,303	740	46,930	484
Liability Experience (Gains)/Losses Arising During the Year	7,403	(8,279)	7,403	(8,650)
Payments Made During the Year	(64,490)	(46,651)	(65,826)	(53,090)
	473,058	365,557	475,109	367,504

2.33.5 Assumptions

	Company		Group	
	2024	2023	2024	2023
Discount Rate	12.5%	17%	12% - 12.5%	17% - 18%
Salary Increment	10.5%	14%	10% - 10.5%	10% - 14%
Staff Turnover				
20 - 40 Years	25%	25%	25% - 83%	25% - 83%
41 - 50 Years	2%	2%	2% - 17%	2% - 15%
51 Years or Above	2%	2%	2%	2%
Retirement Age - Years	60	60	60	60
Average Duration of the Weighted Defined Benefit Obligation - Years	12.9	12.3	8.2 - 12.9	6.5 - 12.3

Mortality - GA 1983 Mortality Table
 Disability - Long Term Disability 1987 Soc. Sec. Table
 Retirement Age - Normal Retirement Age, or Age on Valuation Date, if greater

Actuarial valuations of the gratuity of LB Finance PLC and Multi Finance PLC were carried out as at 31 March 2024 by Piyal S. Goonetilleke & Associates, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the 'Projected Unit Credit Method', required by the Sri Lanka Accounting Standard - LKAS 19 (Employee Benefits).

2.33.6 Sensitivity of Assumptions Employed in Actuarial Valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the retirement benefit liability measurement.

The sensitivity of the Statement of Comprehensive Income and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment on the profit or loss and retirement benefit obligation for the year.

Year Ended 31 March		2024		2023	
Assumption	Rate Changed	Sensitivity Effect on Statement of Comprehensive Income - Increase/ (Reduction) in Results for the Year Rs. '000	Sensitivity Effect on Retirement Benefit Obligation - Increase/ (Reduction) in the Liability Rs. '000	Sensitivity Effect on Statement of Comprehensive Income - Increase/ (Reduction) in Results for the Year Rs. '000	Sensitivity Effect on Retirement Benefit Obligation - Increase/ (Reduction) in the Liability Rs. '000
Company					
Increase/(Decrease) in Discount Rate	1% -1%	47,769 (57,497)	(47,769) 57,497	34,341 (40,858)	(34,341) 40,858
Increase/(Decrease) in Salary Increment	1% -1%	(57,028) 48,207	57,028 (48,207)	(40,910) 34,920	40,910 (34,920)
Group					
Increase/(Decrease) in Discount Rate	1% -1%	47,906 (57,653)	(47,906) 57,653	38,892 (46,172)	(38,892) 46,172
Increase/(Decrease) in Salary Increment	1% -1%	(57,182) 48,345	57,182 (48,345)	(46,237) 39,454	46,237 (39,454)

2.33.7 The Expected Benefit Payout in the Future Years for Retirement Gratuity

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Within the Next 12 Months	15,885	15,207	16,114	15,422
Between 2 - 5 Years	172,685	156,960	173,866	160,249
Beyond 5 Years	410,906	455,856	413,570	455,856
	599,476	628,023	603,550	631,527

The expected benefits are estimated based on the same assumptions used to measure the benefit obligation at the end of the financial year and include benefits attributable to estimated future employee service.

2.34 Stated Capital

2.34.1 Issued and Fully Paid Ordinary Shares

	Company & Group 2024		Company & Group 2023	
	No. of Shares	Rs. '000	No. of Shares	Rs. '000
At the Beginning of the Year	554,057,136	838,282	554,057,136	838,282
At the End of the Year	554,057,136	838,282	554,057,136	838,282

2.34.2 Rights of Shareholders

The holders of ordinary shares have the right to receive dividends as declared from time to time and are entitled to one vote per share at meetings. All shares rank equally with regard to the Company's residual assets.

2.35 Reserves

	Company			Group		
	As at 1 April 2023 Rs. '000	Movement/ Transfers Rs. '000	As at 31 March 2024 Rs. '000	As at 1 April 2023 Rs. '000	Movement/ Transfers Rs. '000	As at 31 March 2024 Rs. '000
Statutory Reserve	8,539,799	478,182	9,017,981	8,539,799	478,182	9,017,981
Fair Value Reserve	(46,750)	1,199	(45,551)	(46,750)	1,199	(45,551)
Foreign Currency Translation Reserve	-	-	-	198,051	(73,048)	125,003
	8,493,049	479,381	8,972,430	8,691,100	406,333	9,097,433

2.35.1 Statutory Reserve

	Company & Group	
	2024 Rs. '000	2023 Rs. '000
Balance as at the Beginning of the Year	8,539,799	8,116,782
Transfers Made During the Year	478,182	423,017
Balance as at the End of the Year	9,017,981	8,539,799

Statutory reserve is a capital reserve which contains profits transferred as required by Section 3(b)(ii) of Central Bank Direction No. 1 of 2003.

2.35.2 Fair Value Reserve

	Company & Group	
	2024 Rs. '000	2023 Rs. '000
Balance as at the Beginning of the Year	(46,750)	(78,124)
Net Gains/(Losses) on Investment in Equity Instruments - Fair Value Through Other Comprehensive Income	1,199	31,364
Transfers to Retained Earnings	-	10
Balance as at the End of the Year	(45,551)	(46,750)

The fair value through other comprehensive income reserve comprises the cumulative net change in the fair value of financial assets measured at fair value through other comprehensive income until they are derecognised or impaired.

2.35.3 Foreign Currency Translation Reserve

	Group	
	2024 Rs. '000	2023 Rs. '000
Balance as at the Beginning of the Year	198,051	268,638
Net Gains/(Losses) from Translating the Financial Statements of the Foreign Operations	(73,048)	(70,587)
Balance as at the End of the Year	125,003	198,051

The foreign currency translation reserve comprises of all foreign currency differences arising from the translation of the Financial Statements of foreign operations. As at the reporting date, the assets and liabilities of LB Microfinance Myanmar Company Limited, a subsidiary of the Company were translated into the presentation currency (Sri Lankan Rupee) at the exchange rate ruling at the reporting date and the Income Statement and Comprehensive Income was translated at the average exchange rate for the period. The exchange differences arising on the translation are taken to foreign currency translation reserve through other comprehensive income.

2.36 Retained Earnings

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Balance as at the Beginning of the Year	28,784,409	24,170,152	28,794,719	24,085,844
Adjustments for Surcharge Tax Levied under the Surcharge Tax Act No. 14 of 2022 (Note 2.36.1)	-	(2,320,210)	-	(2,320,210)
Adjusted Balance as at 1 April	28,784,409	21,849,942	28,794,719	21,765,634
Profit for the Year	9,563,638	8,460,331	9,713,917	8,554,543
Other Comprehensive Income, Net of Tax	(37,594)	5,277	(38,000)	5,683
Transfers During the Year	(478,182)	(423,027)	(478,182)	(423,027)
Dividend Paid	(4,016,914)	(1,108,114)	(4,016,914)	(1,108,114)
Balance as at the End of the Year	33,815,357	28,784,409	33,975,540	28,794,719

Retained earnings represents the undistributed earnings held to be used in its operations. This could be used to absorb future losses or dividends payable.

2.36.1 Imposition of a Tax Surcharge

The Government of Sri Lanka in its Budget for 2022 proposed a one-time tax, referred to as a surcharge tax, at the rate of 25% to be imposed on any Company that have earned a taxable income in excess of Rs. 2,000 Mn for the year of assessment 2020/2021. The tax was imposed by the Surcharge Tax Act No. 14 of 2022.

Total surcharge tax liability of Rs. 2,320,209,912/- has been recognised as an adjustment to the retained earnings as at 1 April 2022 in the Statement of Changes in Equity.

2.37 Non-Controlling Interest

Accounting Policy

Non-Controlling Interest (NCI) is measured at its proportionate share of the acquiree's identifiable net assets at the date of acquisition. Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

The Company owns 100% shares of LB Microfinance Myanmar Company Limited as at the reporting date. Therefore, the Company has 100% controlling interest in LB Microfinance Myanmar Company Limited. The Company has non-controlling interest of 35.24% in Multi Finance PLC as at the reporting date as follows;

	Group	
	2024 Rs. '000	2023 Rs. '000
At the Beginning of the Year	103,865	105,689
Acquisition of Subsidiaries	-	-
Profit for the Year	(6,906)	(1,657)
Other Comprehensive Income, Net of Tax	(221)	221
Disposal of Shares	-	(388)
At the End of the Year	96,738	103,865

3 OTHER DISCLOSURES

3.1 Related Party Disclosures

The Group carried out transactions with key management and their related concerns and other related entities in the ordinary course of its business on an arms length basis at commercial rates except that the key management have availed facilities under the loan schemes uniformly applicable to all the staff.

The Company's parent undertaking and The Company's ultimate parent undertaking is Vallibel One PLC, which is incorporated in Sri Lanka. The Company's ultimate controlling party is Mr. Dhammika Perera.

Details of related party transactions during the year are as follows;

3.1.1 Transactions with Key Management Personnel (KMPs)

Related party includes KMPs defined as those persons having authority and responsibility for planning, directing and controlling the activities of the entity directly or indirectly. Such KMPs include the Board of Directors of the Company (inclusive of executive and non-executive directors) and the parent Company.

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
As at 31 March				
Short-Term Employment Benefits	663,118	635,077	663,118	644,933
Directors' Fees and Expenses	25,774	18,162	25,774	21,162
Post Employment Benefit Liability	97,789	80,894	97,789	80,894
	786,681	734,133	786,681	746,989

In addition to the above, the Company has also paid non-cash benefits such as vehicles and fuel to Key Management Personnel in line with the approved employment benefits of the Company.

3.1.2 Transactions, Arrangements and Agreements Involving KMPs and Their Close Members of the Family (CMFs)

CMFs of KMPs are those family members who may be expected to influence, or be influenced by, those KMPs in their dealing with the entity.

Reported Under		Company		Group	
		2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Statement of Financial Position					
Assets					
Loans against Deposits	Loans and Receivables	-	10,279	-	10,279
		-	10,279	-	10,279
Liabilities					
Fixed Deposits	Financial Liabilities at Amortised Cost - Due to Depositors	614,459	571,462	614,488	571,491
Savings Deposits	Financial Liabilities at Amortised Cost - Due to Depositors	36,497	12,171	36,497	12,171
		650,956	583,633	650,985	583,662
Income Statement					
Interest Income on Loans and Receivables	Interest Income	299	424	299	424
Interest Expense on Customer Deposits	Interest Expenses	92,973	75,416	92,973	75,416
Other Operating Expenses	Other Operating Expenses	5,054	-	5,054	-
		98,326	75,840	98,326	75,840
Other Transactions					
Deposits Accepted During the Year		215,879	577,384	215,879	577,384
Dividend Paid on Shareholdings		30,821	6,413	30,821	6,413
		246,700	583,797	246,700	583,797

3.1.3 Transactions, Arrangements and Agreements Involving Persons has Control or Joint Control and Their Close Members of the Family (CMFs)

Reported Under		Company		Group	
		2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Statement of Financial Position					
Liabilities					
Fixed Deposits	Financial Liabilities at Amortised Cost - Due to Depositors	503,259	-	503,259	-
		503,259	-	503,259	-
Income Statement					
Interest Expense on Customer Deposits	Interest Expenses	72,103	-	72,103	-
		72,103	-	72,103	-

3.1.4 Transaction, Arrangements and Agreements Involving Entities which are Controlled, and/or Jointly Controlled by the KMPs and Their CMFs

Reported Under		Company		Group	
		2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Statement of Financial Position					
Assets					
Investment in Equity Securities	Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	1,368	880	1,368	880
Leasehold Improvements	Property, Plant and Equipment	39,537	84,808	39,537	84,808
		40,905	85,688	40,905	85,688
Liabilities					
Fixed Deposits	Financial Liabilities at Amortised Cost - Due to Depositors	5,539	12,152	5,539	12,152
		5,539	12,152	5,539	12,152
Income Statement					
Dividend Income	Other Operating Income	693	353	693	353
Income on Operating Lease	Other Operating Income	2,378	8,842	2,378	8,842
Interest Expense on Customer Deposits	Interest Expenses	2,196	570	2,196	570
Administration and Establishment Expenses	Other Operating Expenses	19,316	9,298	19,316	9,298
Investment in Fair Value Adjustment	Net Trading Income	488	60	488	60
		25,071	19,123	25,071	19,123
Other Transactions					
Deposits Accepted During the Year		-	7,000	-	7,000
Operating Lease Facilities		-	2,271	-	2,271
		-	9,271	-	9,271

3.1.5 Transactions with Group Entities

The Group entities include the Parent, Fellow Subsidiaries and Associate companies of the parent.

Transactions with Parent Company

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Other Transactions				
Dividend Paid on Shareholdings	2,078,790	573,459	2,078,790	573,459
	2,078,790	573,459	2,078,790	573,459

Transactions with Subsidiaries

Reported Under		Company		Group	
		2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Statement of Financial Position					
Assets					
Investment in Equity Securities	Investment in Subsidiaries	921,998	921,998	-	-
Due from Subsidiaries	Other Financial Assets	1,150	25,839	-	-
		923,148	947,837	-	-
Income Statement					
Interest on Receivables	Interest Income	598	2,570	598	2,570
Other Operating Income	Other Income	11,673	-	11,673	-
Professional Fees	Professional and Legal Expenses	-	425	-	425
		12,271	2,995	12,271	2,995
Other Transactions					
Counter Indemnity Issued to Banks for Guarantees	Contingent Liabilities	298,370	324,000	298,370	324,000
		298,370	324,000	298,370	324,000

3.1.6 Transactions with Fellow Subsidiaries and Associate Companies of the Parent

Reported Under		Company		Group	
		2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Statement of Financial Position					
Assets					
Leasehold Improvements	Property, Plant and Equipment	1,668	22,445	1,668	22,445
Investment in Equity Securities	Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	9,741	4,747	9,741	4,747
Investment in Equity Securities	Financial Assets Measured at Fair Value Through Other Comprehensive Income	93,175	97,769	93,175	97,769
		104,584	124,961	104,584	124,961
Liabilities					
Fixed Deposits	Financial Liabilities at Amortised Cost - Due to Depositors	374,480	126,357	374,480	126,357
		374,480	126,357	374,480	126,357
Income Statement					
Dividend Income	Other Operating Income	970	235	970	235
Interest Expense on Customer Deposits	Interest Expenses	36,000	18,998	36,000	18,998
Investment in Fair Value Adjustment	M2M adjustment (PL) on Equity Securities	276	2,132	276	2,132
Investment in Fair Value Adjustment	Other Comprehensive Income	5,147	34,383	5,147	34,383
Operating Expenses	Other Operating Expenses	807	525	807	525
		43,200	56,273	43,200	56,273
Other Transactions					
Deposits Accepted During the Year		250,600	119,000	250,600	119,000
Dividend Paid on Shareholdings		1,047,574	288,986	1,047,574	288,986
		1,298,174	407,986	1,298,174	407,986

3.2 Capital

The Company maintains capital in order to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the Company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

Details of the regulatory capital requirements and compliance level are disclosed in Note 4.6 to these Financial Statements.

3.2.1 Capital Management

Objective

The primary objective of Company's capital management policy is to ensure that the Company complies with externally imposed capital requirements and maintain healthy capital ratios in order to support its business and to maximise shareholders' value.

Current and Non Current Analysis of Assets and Liabilities

The table below shows an analysis of assets and liabilities analysed according to when they are expected to be recovered or settled.

The table below shows an analysis of assets and liabilities analysed according to when they are expected to be recovered or settled.

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3.4 Segmental Information

Accounting Policy

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

For management purposes, the Group is organised into four operating segments based on services offered and geographical operations as presented in the table below. Management monitors the operating results of its segments separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses. Income taxes are managed separately for the Company and its international operation and are allocated to operating segments.

No revenue from transactions with a single external customer or counterparty amounted to 10% or more of the Company's total revenue in 2024 or 2023.

There were no transactions between reportable segments in 2024 or 2023.

	Leases			Loans and Receivables			Others			International Operation (Myanmar)			Total	
	2024	2023		2024	2023		2024	2023		2024	2023		2024	2023
	Rs. '000	Rs. '000		Rs. '000	Rs. '000		Rs. '000	Rs. '000		Rs. '000	Rs. '000		Rs. '000	Rs. '000
Interest Income	9,644,208	9,395,408		32,453,545	26,877,211		3,868,628	3,483,857		272,806	217,079		46,239,187	39,973,555
Less: Interest Expenses	3,895,742	4,569,051		14,159,720	12,786,012		3,346,124	3,296,192		59,045	12,701		21,460,631	20,663,956
Net Interest Income	5,748,466	4,826,357		18,293,825	14,091,199		522,504	187,665		213,761	204,378		24,778,556	19,309,599
Fee and Commission Income	631,778	549,700		2,555,834	2,408,464		1,157	7,078		28,691	21,160		3,217,460	2,986,402
Net Trading Income and Other Operating Income	5,522	4,782		105,645	113,040		68,063	55,288		(106)	376		179,124	173,486
Total Operating Income	6,385,766	5,380,839		20,955,304	16,612,703		591,724	250,031		242,346	225,914		28,175,140	22,469,487
Less: Impairment Charges	(390,545)	(137,134)		591,078	661,804		61,137	22,596		8,423	(28,133)		270,093	519,133
Net Operating Income	6,776,311	5,517,973		20,364,226	15,950,899		530,587	227,435		233,923	254,047		27,905,047	21,950,354
Less: Other Costs	1,751,379	1,727,877		6,082,942	4,676,015		43,424	32,541		168,873	145,812		8,046,618	6,582,245
Less: Depreciation	164,983	199,311		719,464	640,926		2,817	2,833		6,497	4,369		893,761	847,439
Operating Profits Before Taxes	4,859,949	3,590,785		13,561,820	10,633,958		484,346	192,061		58,553	103,866		18,964,668	14,520,670
Less: Taxes	2,376,957	1,485,407		6,632,965	4,398,971		236,890	79,449		10,845	3,957		9,257,657	5,967,784
Profits for the Year	2,482,992	2,105,378		6,928,855	6,234,987		247,456	112,612		47,708	99,909		9,707,011	8,552,886
Less: Non-Controlling Interest													(6,906)	(1,657)
Profit Attributable to Equity Holders of the Company													9,713,917	8,554,543
Segmental Assets	31,422,342	35,988,682		138,273,646	117,445,066		32,922,858	29,536,851		1,229,125	995,305		203,847,971	183,965,904
Elimination	-	-		-	-		(700,085)	(947,837)		-	-		(700,085)	(947,837)
Total Segmental Assets	31,422,342	35,988,682		138,273,646	117,445,066		32,222,773	28,589,014		1,229,125	995,305		203,147,886	183,018,067
Segmental Liabilities	24,811,494	28,714,164		109,164,548	93,591,570		24,741,068	22,146,583		423,933	163,623		159,141,043	144,615,940
Elimination	-	-		-	-		-	-		(1,150)	(25,839)		(1,150)	(25,839)
Total Segmental Liabilities	24,811,494	28,714,164		109,164,548	93,591,570		24,741,068	22,146,583		422,783	137,784		159,139,893	144,590,101
Cash Flows from Operating Activities	879,834	784,705		3,871,697	2,560,798		902,246	623,361		(122,274)	(54,670)		5,551,503	3,914,195
Cash Flows from Investing Activities	(126,542)	(117,471)		(556,848)	(383,353)		(129,766)	(93,317)		(20,559)	(13,121)		(833,716)	(607,262)
Cash Flows from Financing Activities	(92,580)	(2,378,841)		(407,398)	(7,763,083)		(94,938)	(1,889,725)		229,351	31,867		(365,566)	(11,999,782)
Capital Expenditure														
Property, Plant and Equipment	(137,656)	(133,706)		(605,752)	(436,336)		(141,162)	(106,215)		(20,560)	(13,445)		(905,130)	(689,702)
Intangible Assets	(1,009)	(3,382)		(4,442)	(11,037)		(1,035)	(2,687)		-	(451)		(6,487)	(17,558)

3.5 Commitments and Contingencies

Accounting Policy

All discernible risks are accounted for in determining the amount of all known liabilities.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

3.5.1 Contingent Liabilities

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
As at 31 March				
Guarantees Issued to Banks and Other Institutions	5,500	6,275	5,500	6,275
Counter Indemnity Issued to Banks for Guarantees*	298,370	324,000	47,420	324,000
Import LC and Ordinary Guarantees	-	51,558	-	51,558
Total Contingent Liabilities	303,870	381,833	52,920	381,833

*Contingent liability as at 31 March 2024, on counter indemnity for letter of guarantee issued by Sampath Bank PLC on behalf of LB Microfinance Myanmar Company Limited favouring UAB Bank, Myanmar. Total of this sum relates to the term loan facility obtained by LB Microfinance Myanmar Company Limited.

3.5.2 Commitments

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
As at 31 March				
Commitment for Unutilised Facilities	1,978,020	2,022,115	1,978,020	2,022,115
Total Commitments	1,978,020	2,022,115	1,978,020	2,022,115

3.5.3 Commitments and Contingencies

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
As at 31 March				
Contingent Liabilities	303,870	381,833	52,920	381,833
Commitments	1,978,020	2,022,115	1,978,020	2,022,115
Total Commitments and Contingencies	2,281,890	2,403,948	2,030,940	2,403,948
Allowance for Impairment Losses	(14,269)	(12,778)	(14,269)	(12,778)
Net of Impairment	2,267,621	2,391,170	2,016,671	2,391,170

3.5.4 Litigation Against the Company and Group

The Company has contingent liabilities in respect of legal claims arising in the ordinary course of business. Based on the information currently available, the Board of Directors is of the opinion that the ultimate resolution of the litigations would not likely to have a material impact on the Group.

	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
As at 31 March				
Cases Pending Against the Company and Group (Values Claimed)	134,869	186,532	134,869	186,532

3.5.5 Tax Assessments against the Company

During the year an assessment to the value of Rs. 731 Mn on Surcharge tax for 2020/21 was received by the Company. The Company has appealed against the assessment and the management is of the view that the Company is not liable for the tax.

3.6 Net Asset Value per Share

As at 31 March	Company		Group	
	2024	2023	2024	2023
Amounts Used as the Numerators:				
Total Equity Attributable to Equity Holders (Rs. '000)	43,626,069	38,115,740	43,911,255	38,324,101
Number of Ordinary Shares Used as Denominators:				
Total Number of Ordinary Shares in Issue	554,057,136	554,057,136	554,057,136	554,057,136
Net Asset Value per Share (Rs.)	78.74	68.79	79.25	69.17

3.7 Assets Pledged

The following assets have been pledged as security for liabilities.

Carrying Amount Pledged			Company		Group	
Nature of Assets	Nature of Liability	Included Under	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Loans and Receivables*	Debt Funding from Banks	Loans and Receivables	42,172,635	37,150,380	42,172,635	37,150,380
Securities under Reverse Repurchase Agreements	Debt Funding from Banks	Other Financial Assets	123,606	133,207	123,606	133,207
Investment in Fixed Deposits	Debt Funding from Banks	Other Financial Assets	295,382	1,603,729	315,382	1,646,315
Freehold Land and Building	Debt Funding from Banks	Property, Plant and Equipment	831,678	844,230	831,678	844,230
			43,423,301	39,731,546	43,443,301	39,774,132

*The receivables and cash flows that have been included in bank loans, overdrafts, term loans and securitisation loans are only available for payment of the debt and other obligations issued or arising in such transactions. However, the Group hold the right to the excess cash flows not needed to pay the debt and other obligations issued or arising in each of such transactions.

3.8 Comparative Information

Comparative information is reclassified wherever necessary to conform with the current year's classification in order to provide better presentation.

3.8.1 Income Statement

There were no reclassifications during the financial year.

3.8.2 Statement of Financial Position

During the current financial year, the Group reclassified prior year figures of the lending portfolio in the Statement of Financial Position as reported below;

Company

As at 31 March 2023	Prior Classification Rs. '000	Re-classification Rs. '000	Re-classified Rs. '000
Financial Assets at Amortised Cost - Loans and Receivables	111,093,620	34,095,554	145,189,174
Financial Assets at Amortised Cost - Lease Rentals Receivable and Stock out on Hire	34,095,554	(34,095,554)	-
Total	145,189,174	-	145,189,174

Group

As at 31 March 2023	Prior Classification Rs. '000	Re-classification Rs. '000	Re-classified Rs. '000
Financial Assets at Amortised Cost - Loans and Receivables	112,231,789	34,139,808	146,371,597
Financial Assets at Amortised Cost - Lease Rentals Receivable and Stock out on Hire	34,139,808	(34,139,808)	-
Total	146,371,597	-	146,371,597

The reported reclassification was made to reflect the meaningful presentation of Financial Position, where the Loans and Receivables, Lease Rentals Receivable and Stock out on Hire were shown together in the Statement of Financial Position.

3.8.3 Statement of Cash Flows

During the current financial year, the Group reclassified prior year figures of the cash flows from/(used in) operating activities in the Statement of Cash Flows as reported below;

Company

As at 31 March 2023	Prior Classification Rs. '000	Re-classification Rs. '000	Re-classified Rs. '000
(Increase)/Decrease in Operating Assets			
(Increase)/Decrease in Financial Assets at Amortised Cost - Loans and Receivables	(18,943,800)	7,604,485	(11,339,315)
(Increase)/Decrease in Financial Assets at Amortised Cost - Lease Rentals Receivable and Stock out on Hire	7,604,485	(7,604,485)	-
Total	(11,339,315)	-	(11,339,315)

Group

As at 31 March 2023	Prior Classification Rs. '000	Re-classification Rs. '000	Re-classified Rs. '000
(Increase)/Decrease in Operating Assets			
(Increase)/Decrease in Financial Assets at Amortised Cost - Loans and Receivables	(18,995,754)	7,642,426	(11,353,328)
(Increase)/Decrease in Financial Assets at Amortised Cost - Lease Rentals Receivable and Stock out on Hire	7,642,426	(7,642,426)	-
Total	(11,353,328)	-	(11,353,328)

The reported reclassification was made to reflect the meaningful presentation of Cash Flows, where the Loans and Receivables, Lease Rentals Receivable and Stock out on Hire were shown together in the Statement of Cash Flows.

3.8.4 Notes to the Financial Statements

Comparative information was reclassified in note 2.1, 2.5, 2.14, 2.17, 2.18, 3.3, 4.2, 4.3 and 4.4 of these Financial Statements to conform with the current year's classification where the Loans and Receivables, Lease Rentals Receivable and Stock out on Hire were shown together in order to provide better presentation.

3.9 Changes in Liabilities Arising from Financing Activities

Accounting Policy

Sri Lanka Accounting Standard - LKAS 07 (Statement of Cash Flows), requires an entity to disclose information that enables users of Financial Statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes. Accordingly, changes in liabilities arising from financing activities for the year ended are disclosed below.

The funds borrowed by the Company and the Group are given in Note 2.27.1 and Note 2.29.

Year ended 31 March	Company			
	Debt Funding from Banks		Debt Instruments Issued and Other Borrowed Funds	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Balance as at the Beginning of the Year	18,878,922	25,109,593	3,882,024	8,564,617
Net Cash Flows from Financing Activities	1,824,285	(6,266,627)	1,641,484	(4,552,221)
Non Cash Changes				
Net Accrual for Interest Expense	(36,745)	35,956	(32,107)	(130,372)
Balance as at the End of the Year	20,666,462	18,878,922	5,491,401	3,882,024
Within 12 Months	9,398,269	8,716,397	1,429,853	2,392,049
After 12 Months	11,268,193	10,162,525	4,061,548	1,489,975
Total	20,666,462	18,878,922	5,491,401	3,882,024

Year ended 31 March	Group			
	Debt Funding from Banks		Debt Instruments Issued and Other Borrowed Funds	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Balance as at the Beginning of the Year	18,900,517	25,109,593	3,882,024	8,564,617
Net Cash Flows from Financing Activities	2,055,781	(6,245,478)	1,641,484	(4,552,221)
Non Cash Changes				
Net Accrual for Interest Expense	(38,886)	36,402	(32,107)	(130,372)
Balance as at the End of the Year	20,917,412	18,900,517	5,491,401	3,882,024
Within 12 Months	9,649,219	8,737,992	1,429,853	2,392,049
After 12 Months	11,268,193	10,162,525	4,061,548	1,489,975
Total	20,917,412	18,900,517	5,491,401	3,882,024

3.10 Events Occurring after the Reporting Date

3.10.1 Final Dividend

Subsequent to the reporting date, the Board of Directors of the Company recommended the payment of a final dividend of Rs. 3.50 per share for the year ended 31 March 2024. As required by section 56 (2) of the Companies Act No. 07 of 2007, the Board of Directors has confirmed that the Company satisfies the solvency test in accordance with section 57 of the Companies Act No.07 of 2007, and has obtained a certificate from auditors for the final dividend which is to be approved at the Annual General Meeting to be held on 28 June 2024.

In accordance with the Sri Lanka Accounting Standard – LKAS 10 (Events After the Reporting Period), this proposed final dividend has not been recognised as a liability as at 31 March 2024.

3.10.2 Amalgamation of Multi Finance PLC

In furtherance of the Financial Sector Consolidation Plan of the Central Bank of Sri Lanka, the Boards of Directors of LB Finance PLC and its subsidiary, Multi Finance PLC, have resolved to amalgamate Multi Finance PLC with LB Finance PLC under Section 239 of the companies Act No. 07 of 2007, whereby LB Finance PLC will be the Amalgamated Company, subject however to the regulatory approvals and the approval of the shareholders of both Multi Finance PLC and LB Finance PLC, by way of Special Resolutions at Extraordinary General Meetings of the respective companies.

The in-principle approval of the Central Bank of Sri Lanka has been received for the amalgamation. The shares of Multi Finance PLC will not be converted to shares of LB Finance PLC. Instead, the shareholders of Multi Finance PLC except LB Finance PLC will be paid a cash consideration of Rs. 4.50 for each share held by the said shareholders in Multi Finance PLC.

The cash consideration was determined pursuant to a valuation of the shares of Multi Finance PLC carried out by its Auditors, Messrs KPMG, Chartered Accountants, based on the net book value of Multi Finance PLC as of 30 September 2023.

No circumstances have arisen subsequent to the reporting date which would require adjustment to or disclosure in the Financial Statements.

4 FINANCIAL RISK REVIEW

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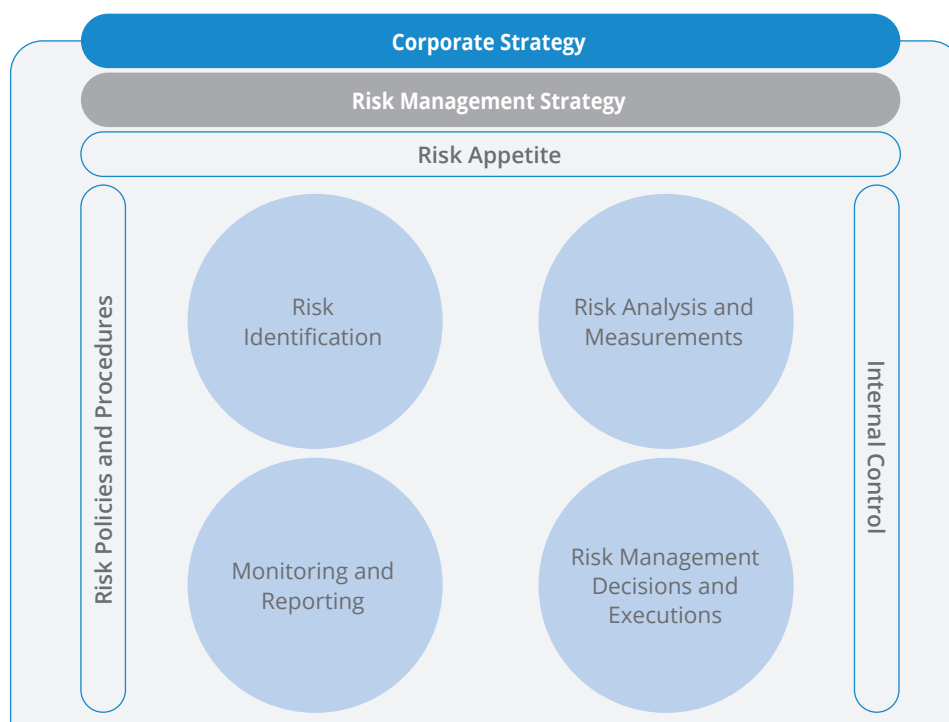
4.1 Introduction

As a financial institution engaged in a varied offerings of financial services, the Group is exposed to following key risks which are inherent in its operations.

- ◆ Credit Risk
- ◆ Liquidity Risk
- ◆ Market Risk
- ◆ Operational Risk

Proper management of these risks is essential for the Group's sustainability and is crucial to all of its activities. To achieve this, the risk management function aims to proactively identify potential risks, analyse them, and take preventive measures to manage the risks on continuous basis, while maximising risk-adjusted returns within the Group's risk appetite.

Risk Management Framework



The Risk Management Framework of the Group has been optimised through the application and the embedment of the risk management process which includes risk identification, risk analysis, risk measurement, risk management decision and execution, risk monitoring and reporting.

The overall responsibility of establishment and oversight of the Risk Management Framework of the Group is vested with the Board of Directors. The Board Integrated Risk Management Committee (BIRMC), a sub committee appointed by the Board, ensures that risk management strategies, policies and processes are in place to manage events/outcomes that could potentially impact earnings, performance, reputation and capital.

The Management Committees, namely, Credit Committee, IT Steering and Security Committee, Sustainability Committee, Business Continuity Management Committee, each with a defined responsibility, facilitate the effective functioning of risk management framework by executing their respective risk management mandates. The adequacy and effectiveness of the management committees is reviewed by the BIRMC annually.

Risk management policies, procedures and risk appetite statement are reviewed regularly to be inline with the risk management capacities, business opportunities, Group's business strategy and regulatory requirements. Internal controls are a key element in the risk management framework. They ensure the integrity of financial and accounting information, promote compliance and operational efficiency, and prevent fraud. Clearly defined procurers, continuous trainings and code of conduct contribute to inculcate strong risk culture.

The Internal Audit department periodically carries out an independent review of the implementation of the risk management framework and risk policies covering different risk categories.

Risk Management Department (RMD)

Whilst the business units bear primary responsibility for risk management, the Risk Management Department (RMD) acts as the second line of defence, providing independent oversight. The Head of Risk Management leads the RMD, reporting directly to the BIRMC. The RMD works in harmony with other control functions in the Group, such as Internal Audit, Compliance, and Finance, which may uncover risk management issues. Each of these control functions has a unique focus, and overlap is minimised to ensure that their approaches are complementary and lead to consistent, effective, and timely escalation of risks.

4.2 Credit Risk

Credit risk is the risk of financial loss to the Group if a borrower or counterparty to a financial instrument, fails to meet its contractual obligations, and arises principally from the Group's loans and advances to customers/other companies and investments in debt securities. Credit risk constitutes the Group's largest risk exposure category. This can be broadly categorised into three types; default, concentration and settlement risk.

Default risk is the risk of the potential financial loss resulting from the failure of customer or counterparty to meet its debt or contractual obligations and arises principally from the Group's loans and advances to customers.

Concentration risk is the credit exposure being concentrated as a result of excessive build-up of exposure to a single counterparty, industry, product, geographical location or insufficient diversification.

Settlement risk is the risk of loss arising from trading/investment activities when there is a mutual undertaking to deliver on a progressive basis.

Managing Credit Risk

Group manages credit risk by focusing on following steps;

- ◆ The credit risk management initiates at the beginning of the loan origination stage which includes the preliminary screening of the customer and credit appraisal of the particular facility. The objective of this process is to assess the borrower's ability to meet its obligations in an objective manner. Credit appraisal process is further strengthened by the credit risk scoring model which assigns each individual facility a score based on the payment history, strength of the collaterals and guarantors.
- ◆ The Group has clearly defined guidelines for credit approvals where the approval limits have been delegated taking into consideration the factors such as maximum counterparty exposures, loan to value ratio and forced sale value.
- ◆ The Group uses collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, vehicles, gold, securities, letters of guarantees, receivables, inventories and other non financial assets. The fair value of collateral is generally assessed at the inception based on the guidelines issued by the Central Bank of Sri Lanka and the Central Bank of Myanmar.

- ◆ A comprehensive set of credit risk indicators are monitored monthly to review the credit quality of the portfolio, to avoid undue concentration to products, regions and stress industry sectors and to ensure the compliance with regulatory and prudent exposure limits that defines the risk appetite of the Group.
- ◆ Post disbursement monitoring and review is initially performed by the the Credit Department. Early warnings system on problem loans is mainly based on the arrears position of the facilities. To address delinquencies, early and effective follow-ups and reminders are implemented. For critical exposures, swift recovery actions are taken. If a loan becomes overdue for a period that exceeds the tolerance period, responsibility for recovery and collections is transferred to the Recoveries Department.
- ◆ Impairment assessment is based on a Expected Credit Loss (ECL) approach where the assessment models are validated by independent external expertise. The methodology of the impairment assessment has been explained in the Note 2.18 to these Financial Statements.

Management of Large Exposures

The Credit Committee is primarily responsible for implementing the overall credit policy set out by the Board of Directors. This includes setting lending guidelines in conformity with the credit risk appetite set by the Board of Directors. Sanctioning of large exposures are primarily handled by the Credit Committee. Further, it is responsible for managing credit default risk and concentration risk. The Credit Committee consists of the Managing Director, Deputy Managing Director, Executive Directors, Deputy General Manager-Credit, Chief Financial Officer and Chief Risk Officer.

Impact Assessment of Stressed Economic Conditions

The Group's Integrated Risk Management Framework aims to proactively manage the impact of unfavourable economic and market conditions while achieving the Company's risk-return objectives. This has been demonstrated by the Group's ability to maintain a lower level of non-performing loans (NPLs) compared to the industry average (LFCs and SLCs). The Group has always acted with due diligence and taken prudent measures to ensure effective and efficient repayment behaviour from credit customers, while also safeguarding the interests of stakeholders.

4.2.1 Analysis of Credit Risk Exposure

The fair value of collateral for finance receivables is calculated based on the number of contracts multiplied by the loss severity and the Probability of Default (PD) percentage or the outstanding receivable balances multiplied by the Average Recovery Value (ARV) percentage to determine the fair value adjustment.

The following tables show the maximum exposure to credit risk by class of financial asset. It further shows the net exposure to credit risk.

4.2.1 (a) Company

As at 31 March	2024		2023	
	Maximum Exposure to Credit Risk	Net Exposure	Maximum Exposure to Credit Risk	Net Exposure
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cash and Cash Equivalents	9,314,425	1,908,342	4,524,032	543,656
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	14,674	14,674	10,653	10,653
Financial Assets at Amortised Cost - Loans and Receivables (Gross)	168,600,738	9,636,514	153,047,894	10,214,804
Financial Assets Measured at Fair Value Through Other Comprehensive Income	118,587	118,587	117,388	117,388
Other Financial Assets*	20,374,770	4,811,557	21,685,834	9,495,348
Total Financial Assets	198,423,194	16,489,674	179,385,801	20,381,849

*Net exposure of the Other Financial Assets mainly includes investment in fixed deposits in banks and other financial institutions. As at 31 March 2024, the net carrying value amount of those investments was Rs. 4,202,401,264/- (2023 - Rs. 8,880,296,915/-).

4.2.1 (b) Group

As at 31 March	2024		2023	
	Maximum Exposure to Credit Risk Rs. '000	Net Exposure Rs. '000	Maximum Exposure to Credit Risk Rs. '000	Net Exposure Rs. '000
Cash and Cash Equivalents	9,559,602	1,908,342	4,680,955	543,656
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	14,674	14,674	10,653	10,653
Financial Assets at Amortised Cost - Loans and Receivables (Gross)	170,174,755	11,210,531	154,566,999	11,733,911
Financial Assets Measured at Fair Value Through Other Comprehensive Income	118,589	118,589	117,390	117,390
Other Financial Assets*	20,443,404	4,831,810	21,710,810	9,520,324
Total Financial Assets	200,311,024	18,083,946	181,086,807	21,925,934

*Net exposure of the Other Financial Assets mainly includes investment in fixed deposits in banks and other financial institutions. As at 31 March 2024, the net carrying value amount of those investments was Rs. 4,222,541,264/- (2023 - Rs.8,922,882,170/-).

4.2.2 Collateral and Other Credit Enhancements - Loans and Receivables

The below tables provide an analysis of the values of collateral held and credit enhancements for Stage 03 assets. The values in the tables represent the expected market value on an open market basis. No adjustment has been made to the collateral for any expected costs of recovery.

As at 31 March	Company		Group	
	2024 Rs. '000	2023 Rs. '000	2024 Rs. '000	2023 Rs. '000
Maximum Exposure to Credit Risk	6,463,856	12,723,824	7,023,093	13,350,152
Less - Collateral				
Movable Securities	15,566,045	26,635,020	15,660,331	26,761,660
Immovable Securities	7,060,031	9,616,518	7,252,543	9,809,030
Total Collateral	22,626,076	36,251,538	22,912,874	36,570,690
Net Exposure	(16,162,220)	(23,527,714)	(15,889,781)	(23,220,538)
Associated ECL	3,803,434	4,796,796	4,117,328	5,113,330

4.2.3 Credit Quality By Class of Financial Assets

4.2.3 (a) Company

As at 31 March 2024	Not subject to ECL Rs. '000	Subject to ECL			ECL Rs. '000	Carrying Amount Rs. '000
		Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000		
Assets						
Cash and Cash Equivalents	9,314,425	-	-	-	-	9,314,425
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	14,674	-	-	-	-	14,674
Financial Assets at Amortised Cost - Loans and Receivables	-	141,430,755	20,706,127	6,463,856	7,309,252	161,291,486
Financial Assets Measured at Fair Value Through Other Comprehensive Income	118,587	-	-	-	-	118,587
Other Financial Assets	16,172,369	4,204,260	-	-	1,859	20,374,770
Total Financial Assets	25,620,055	145,635,015	20,706,127	6,463,856	7,311,111	191,113,942

Notes to the Financial Statements

Age Analysis of Loans and Receivables

As at 31 March 2024	Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000	Total Rs. '000	
Current	115,552,938	144,085	190,259	115,887,282	68.73%
Overdue < 30 days	25,877,817	708,169	266,063	26,852,049	15.93%
Overdue 30 to 90 days	-	19,853,873	1,184,866	21,038,739	12.48%
Overdue > 90 days	-	-	4,822,668	4,822,668	2.86%
Total	141,430,755	20,706,127	6,463,856	168,600,738	100.00%
	83.89%	12.28%	3.83%	100.00%	

As at 31 March 2023	Not subject to ECL Rs. '000	Subject to ECL			ECL Rs. '000	Carrying Amount Rs. '000
		Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000		
Assets						
Cash and Cash Equivalents	4,524,032	-	-	-	-	4,524,032
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	10,653	-	-	-	-	10,653
Financial Assets at Amortised Cost - Loans and Receivables	-	117,353,429	22,970,641	12,723,824	7,858,720	145,189,174
Financial Assets Measured at Fair Value Through Other Comprehensive Income	117,388	-	-	-	-	117,388
Other Financial Assets	12,805,537	8,929,897	-	-	49,600	21,685,834
Total Financial Assets	17,457,610	126,283,326	22,970,641	12,723,824	7,908,320	171,527,081

Age Analysis of Loans and Receivables

As at 31 March 2023	Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000	Total Rs. '000	
Current	94,240,074	235,121	220,512	94,695,707	61.88%
Overdue < 30 days	23,113,355	921,141	352,775	24,387,271	15.93%
Overdue 30 to 90 days	-	21,814,379	2,291,654	24,106,033	15.75%
Overdue > 90 days	-	-	9,858,883	9,858,883	6.44%
Total	117,353,429	22,970,641	12,723,824	153,047,894	100.00%
	76.68%	15.01%	8.31%	100.00%	

4.2.3 (b) Group

As at 31 March 2024	Not subject to ECL Rs. '000	Subject to ECL			ECL Rs. '000	Carrying Amount Rs. '000
		Stage 01 Rs. '000	Stage 02 Rs. '000	Stage 03 Rs. '000		
Assets						
Cash and Cash Equivalents	9,559,602	-	-	-	-	9,559,602
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	14,674	-	-	-	-	14,674
Financial Assets at Amortised Cost - Loans and Receivables	-	142,440,448	20,711,214	7,023,093	7,653,022	162,521,733
Financial Assets Measured at Fair Value Through Other Comprehensive Income	118,589	-	-	-	-	118,589
Other Financial Assets	16,220,863	4,224,400	-	-	1,859	20,443,404
Total Financial Assets	25,913,728	146,664,848	20,711,214	7,023,093	7,654,881	192,658,002

Age Analysis of Loans and Receivables

As at 31 March 2024	Stage 01	Stage 02	Stage 03	Total	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Current	116,671,286	144,085	190,538	117,005,909	68.76%
Overdue < 30 days	25,769,162	696,267	403,634	26,869,063	15.79%
Overdue 30 to 90 days	-	19,870,862	1,187,869	21,058,731	12.37%
Overdue > 90 days	-	-	5,241,052	5,241,052	3.08%
Total	142,440,448	20,711,214	7,023,093	170,174,755	100.00%
	83.70%	12.17%	4.13%	100.00%	

As at 31 March 2023	Not subject to ECL	Subject to ECL			ECL	Carrying Amount
		Stage 01	Stage 02	Stage 03		
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets						
Cash and Cash Equivalents	4,680,955	-	-	-	-	4,680,955
Financial Assets Recognised Through Profit or Loss						
- Measured at Fair Value	10,653	-	-	-	-	10,653
Financial Assets at Amortised Cost						
- Loans and Receivables	-	118,243,460	22,973,387	13,350,152	8,195,402	146,371,597
Financial Assets Measured at Fair Value Through Other Comprehensive Income	117,390	-	-	-	-	117,390
Other Financial Assets	12,787,928	8,972,482	-	-	49,600	21,710,810
Total Financial Assets	17,596,926	127,215,942	22,973,387	13,350,152	8,245,002	172,891,405

Age Analysis of Loans and Receivables

As at 31 March 2023	Stage 01	Stage 02	Stage 03	Total	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Current	95,196,654	235,121	220,789	95,652,564	61.88%
Overdue < 30 days	23,046,806	883,528	500,779	24,431,113	15.81%
Overdue 30 to 90 days	-	21,854,738	2,307,736	24,162,474	15.63%
Overdue > 90 days	-	-	10,320,848	10,320,848	6.68%
Total	118,243,460	22,973,387	13,350,152	154,566,999	100.00%
	76.50%	14.86%	8.64%	100.00%	

4.2.4 Concentration of Credit Risk

By setting prudential concentration limits under different criteria within the established risk appetite framework, the Group ensures that an acceptable level of risk diversification is maintained. These limits are monitored and reviewed by the Risk Management Departments, Credit Committee, and BIRMC on a regular basis to capture the developments in market, regulatory and economic environment to strengthen the dynamic portfolio management practices and to provide an early warning on possible credit concentrations.

An analysis of risk concentration of financial assets based on industry sector and geographical location is given below.

Notes to the Financial Statements

4.2.4 (a) Industry-wise Concentration - Company

Economic crisis and other dynamics in the operating environment has created stress circumstances for certain industries. LB Finance has set prudential limits to avoid undue concentration for such stressed industries.

The following table shows the risk concentration by industry for the components of the Statement of Financial Position.

As at 31 March 2024

Sector-wise Breakdown	Cash and Cash Equivalents	Financial Assets Recognised Through Profit or Loss	Financial Assets at Amortised Cost - Loans and Receivables	Financial Assets Measured at Fair Value Through OCI	Other Financial Assets	Total Financial Assets
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Agriculture, Forestry and Fishing	-	3,348	27,949,448	-	-	27,952,796
Manufacturing	-	6,392	17,813,502	13,189	-	17,833,083
Tourism	-	-	4,034,785	93,175	-	4,127,960
Transportation and Storage	-	-	7,832,436	-	-	7,832,436
Construction and Infrastructure Development	-	-	6,886,875	-	-	6,886,875
Wholesale and Retail Trade	-	-	22,350,610	-	-	22,350,610
Information Technology and Communication	-	-	3,108,595	-	-	3,108,595
Financial Services	9,314,425	4,934	4,632,338	12,223	20,374,770	34,338,690
Professional, Scientific and Technical Activities	-	-	6,998,590	-	-	6,998,590
Arts, Entertainment and Recreation	-	-	15,184,197	-	-	15,184,197
Education	-	-	4,242,066	-	-	4,242,066
Health Care, Social Services and Support Services	-	-	12,225,717	-	-	12,225,717
Consumption	-	-	28,032,327	-	-	28,032,327
Total	9,314,425	14,674	161,291,486	118,587	20,374,770	191,113,942

As at 31 March 2023

Sector-wise Breakdown	Cash and Cash Equivalents	Financial Assets Recognised Through Profit or Loss	Financial Assets at Amortised Cost - Loans and Receivables	Financial Assets Measured at Fair Value Through OCI	Other Financial Assets	Total Financial Assets
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Agriculture, Forestry and Fishing	-	2,550	27,648,560	-	-	27,651,110
Manufacturing	-	5,627	16,093,714	11,657	-	16,110,998
Tourism	-	-	2,525,571	89,124	-	2,614,695
Transportation and Storage	-	-	5,267,886	-	-	5,267,886
Construction and Infrastructure Development	-	-	6,452,039	-	-	6,452,039
Wholesale and Retail Trade	-	-	17,763,278	-	-	17,763,278
Information Technology And Communication	-	-	2,329,709	-	-	2,329,709
Financial Services	4,524,032	2,476	4,234,471	16,607	21,685,834	30,463,420
Professional, Scientific and Technical Activities	-	-	5,331,135	-	-	5,331,135
Arts, Entertainment and Recreation	-	-	14,001,601	-	-	14,001,601
Education	-	-	2,523,813	-	-	2,523,813
Health Care, Social Services and Support Services	-	-	7,065,158	-	-	7,065,158
Consumption	-	-	33,952,239	-	-	33,952,239
Total	4,524,032	10,653	145,189,174	117,388	21,685,834	171,527,081

4.2.4 (b) Industry-wise Concentration - Group

The following table shows the risk concentration by industry for the components of the Statement of Financial Position.

As at 31 March 2024

Sector-wise Breakdown	Cash and Cash Equivalents	Financial Assets Recognised Through Profit or Loss	Financial Assets at Amortised Cost - Loans and Receivables	Financial Assets Measured at Fair Value Through OCI	Other Financial Assets	Total Financial Assets
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Agriculture, Forestry and Fishing	-	3,348	27,951,717	-	-	27,955,065
Manufacturing	-	6,392	17,820,679	13,189	-	17,840,260
Tourism	-	-	4,034,785	93,175	-	4,127,960
Transportation and Storage	-	-	7,834,138	-	-	7,834,138
Construction and Infrastructure Development	-	-	6,888,222	-	-	6,888,222
Wholesale and Retail Trade	-	-	22,357,920	-	-	22,357,920
Information Technology and Communication	-	-	3,108,595	-	-	3,108,595
Financial Services	9,559,602	4,934	4,633,104	12,225	20,443,404	34,653,269
Professional, Scientific and Technical Activities	-	-	7,001,137	-	-	7,001,137
Arts, Entertainment and Recreation	-	-	15,184,197	-	-	15,184,197
Education	-	-	4,244,138	-	-	4,244,138
Health Care, Social Services and Support Services	-	-	12,231,182	-	-	12,231,182
Consumption	-	-	28,092,276	-	-	28,092,276
Myanmar	-	-	1,139,643	-	-	1,139,643
Total	9,559,602	14,674	162,521,733	118,589	20,443,404	192,658,002

As at 31 March 2023 - Group

Sector-wise Breakdown	Cash and Cash Equivalents	Financial Assets Recognised Through Profit or Loss	Financial Assets at Amortised Cost - Loans and Receivables	Financial Assets Measured at Fair Value Through OCI	Other Financial Assets	Total Financial Assets
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Agriculture, Forestry and Fishing	-	2,550	27,648,560	-	-	27,651,110
Manufacturing	-	5,627	16,096,312	11,657	-	16,113,596
Tourism	-	-	2,529,916	89,124	-	2,619,040
Transportation and Storage	-	-	5,267,886	-	-	5,267,886
Construction and Infrastructure Development	-	-	6,466,640	-	-	6,466,640
Wholesale and Retail Trade	-	-	17,768,068	-	-	17,768,068
Information Technology and Communication	-	-	2,329,709	-	-	2,329,709
Financial Services	4,680,955	2,476	4,234,471	16,609	21,710,810	30,645,321
Professional, Scientific and Technical Activities	-	-	5,332,650	-	-	5,332,650
Arts, Entertainment and Recreation	-	-	14,003,151	-	-	14,003,151
Education	-	-	2,525,161	-	-	2,525,161
Health Care, Social Services and Support Services	-	-	7,079,478	-	-	7,079,478
Consumption	-	-	34,199,174	-	-	34,199,174
Myanmar	-	-	890,421	-	-	890,421
Total	4,680,955	10,653	146,371,597	117,390	21,710,810	172,891,405

4.2.4 (c) Geographical Concentration - Loans and Receivables

As at 31 March	Company		Group	
	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Province/Country-wise Breakdown				
Sri Lanka				
Central	14,013,131	12,069,841	14,023,319	12,089,572
Eastern	12,526,112	9,773,931	12,526,112	9,773,931
North Central	6,285,001	5,868,420	6,292,173	5,881,603
North Western	13,796,664	12,239,591	13,805,020	12,257,114
Northern	10,259,033	9,376,436	10,259,033	9,376,436
Sabaragamuwa	7,791,094	6,374,723	7,807,565	6,425,431
Southern	15,243,241	13,398,982	15,257,182	13,426,842
Uva	6,130,573	5,428,252	6,130,573	5,428,252
Western	75,246,637	70,658,998	75,281,113	70,821,995
	161,291,486	145,189,174	161,382,090	145,481,176
Overseas				
Myanmar	-	-	1,139,643	890,421
Total	161,291,486	145,189,174	162,521,733	146,371,597

4.3 Liquidity Risk and Funding Management

In the context of a financial institution, liquidity risk arises primarily due to mismatches in the maturity profile of assets and liabilities. Liquidity risk for a financial institution can take two forms; market liquidity risk and funding liquidity risk.

Market liquidity risk is the inability to easily exit a position. Group's market liquidity risk is low if assets can be liquidated without moving the price too much.

Funding liquidity risk means the Group's inability to finance assets continuously at an acceptable borrowing rate. Funding liquidity risk generally arises when creditors either withdraw credit or change the terms on which it is granted in such a way they are no longer profitable. Funding liquidity risk would increase if the Group's credit quality is, or at least perceived to be, deteriorating, but also because financial conditions as a whole are deteriorating.

Managing Liquidity Risk

The Group's primary objective in liquidity risk management is to ensure adequate funding for its businesses throughout market cycles, including periods of financial stress. To achieve this objective the Group regularly monitors liquidity position and maintain an adequate buffer of liquid assets. Monitoring maturity mismatches of assets and liabilities and cashflow forecast under normal and stress scenarios are two key tools used in the liquidity risk management process. All statutory and prudent liquidity ratios are monitored against tolerance limits and stress testing is carried out regularly to assess the effectiveness of liquidity management. The Group has taken prudent measures to increase its liquidity buffers and maintained a strong excess liquidity position throughout the year under review. The Group is comfortable with its existing buffer of liquid assets. Contingency funding planning serves as an action plan detailing the steps to take during liquidity shortfalls. Group maintains access to diverse funding sources to meet unforeseen liquidity requirements.

ALCO is primarily responsible for the effective management of assets and liabilities to minimise the maturity mismatch, there by manage the liquidity risk of the Group. ALCO is chaired by the Managing Director and comprises of Deputy Managing Director, Executive Directors, representatives from Treasury Department, Fixed Deposits, the Chief Financial Officer and Chief Risk Officer. The Committee meets regularly and make all policy decisions with regard to funding matters, duration management of assets and liabilities and investments, to keep the liquidity at healthy levels, whilst satisfying regulatory requirements.

4.3.1 Analysis of Liquidity Risk Exposure

- 4.3.1 (a) The table below summarises the remaining contractual maturity profile of the undiscounted cash flows of the Company's financial assets and liabilities as at 31 March 2024.

The table does not reflect the expected cash flows indicated by its deposit retention history and loan recovery patterns. The estimated maturity profiles of undiscounted cash flows may also differ, due to rollover of loans and receivables and renewal of fixed deposits.

As at 31 March 2024 - Company	On Demand	Less than 3 Months	3 - 12 Months	1 - 5 Years	Over 5 Years	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets						
Cash and Cash Equivalents	5,807,831	3,515,209	-	-	-	9,323,040
Financial Assets Recognised Through Profit or Loss	14,674	-	-	-	-	14,674
Financial Assets at Amortised Cost						
- Loans and Receivables	15,525,996	47,804,783	65,968,762	70,661,133	4,858,581	204,819,255
Financial Assets Measured at Fair Value Through Other Comprehensive Income	118,587	-	-	-	-	118,587
Other Financial Assets	-	10,787,026	10,138,369	-	-	20,925,395
Total Financial Assets	21,467,088	62,107,018	76,107,131	70,661,133	4,858,581	235,200,951
Financial Liabilities						
Due to Banks	1,035,550	3,836,127	7,252,918	12,690,771	-	24,815,366
Due to Depositors	3,751,712	62,538,259	41,771,384	25,356,639	-	133,417,994
Debt Instruments Issued and Other Borrowed Funds	-	554,732	994,608	5,125,368	-	6,674,708
Other Financial Liabilities	-	2,199,928	349,903	1,602,533	-	4,152,364
Total Financial Liabilities	4,787,262	69,129,046	50,368,813	44,775,311	-	169,060,432
Total Net Financial Assets/(Liabilities)	16,679,826	(7,022,028)	25,738,318	25,885,822	4,858,581	66,140,519
Cumulative Net Financial Assets/(Liabilities)	16,679,826	9,657,798	35,396,116	61,281,938	66,140,519	-

- 4.3.1 (b) The table below summarises the maturity profile of the undiscounted cash flows of the Company's financial assets and liabilities as at 31 March 2023.

The table does not reflect the expected cash flows indicated by its deposit retention history and loan recovery patterns.

As at 31 March 2023 - Company	On Demand	Less than 3 Months	3 - 12 Months	1 - 5 Years	Over 5 Years	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets						
Cash and Cash Equivalents	3,693,153	858,056	-	-	-	4,551,209
Financial Assets Recognised Through Profit or Loss	10,653	-	-	-	-	10,653
Financial Assets at Amortised Cost						
- Loans and Receivables	22,573,179	64,586,312	38,803,800	59,264,293	4,452,911	189,680,495
Financial Assets Measured at Fair Value Through Other Comprehensive Income	117,388	-	-	-	-	117,388
Other Financial Assets	615,052	9,704,545	14,075,757	-	-	24,395,354
Total Financial Assets	27,009,425	75,148,913	52,879,557	59,264,293	4,452,911	218,755,099
Financial Liabilities						
Due to Banks	490,862	3,420,271	7,383,347	11,720,737	-	23,015,217
Due to Depositors	2,545,550	57,308,381	47,479,036	20,278,435	-	127,611,402
Debt Instruments Issued and Other Borrowed Funds	-	1,297,852	1,250,544	1,628,457	-	4,176,853
Other Financial Liabilities	1,520,142	304,139	286,000	1,440,688	556,437	4,107,406
Total Financial Liabilities	4,556,554	62,330,643	56,398,927	35,068,317	556,437	158,910,878
Total Net Financial Assets/(Liabilities)	22,452,871	12,818,270	(3,519,370)	24,195,976	3,896,474	59,844,221
Cumulative Net Financial Assets/(Liabilities)	22,452,871	35,271,141	31,751,771	55,947,747	59,844,221	-

Notes to the Financial Statements

4.3.1 (c) The table below summarises the maturity profile of the undiscounted cash flows of the Group's financial assets and liabilities as at 31 March 2024.

The table does not reflect the expected cash flows indicated by its deposit retention history and loan recovery patterns. The estimated maturity profiles of undiscounted cash flows may also differ, due to rollover of loans and receivables related events.

As at 31 March 2024 - Group	On Demand	Less than 3 Months	3 - 12 Months	1 - 5 Years	Over 5 Years	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets						
Cash and Cash Equivalents	5,911,880	3,656,338	-	-	-	9,568,218
Financial Assets Recognised Through Profit or Loss	14,674	-	-	-	-	14,674
Financial Assets at Amortised Cost						
- Loans and Receivables	15,990,681	48,279,958	66,744,395	70,759,106	4,858,581	206,632,721
Financial Assets Measured at Fair Value Through						
Other Comprehensive Income	118,589	-	-	-	-	118,589
Other Financial Assets	68,634	10,787,026	10,138,369	-	-	20,994,029
Total Financial Assets	22,104,458	62,723,322	76,882,764	70,759,106	4,858,581	237,328,231
Financial Liabilities						
Due to Banks	1,038,446	3,836,127	7,503,868	12,690,771	-	25,069,212
Due to Depositors	3,978,135	62,538,259	41,771,384	25,356,639	-	133,644,417
Debt Instruments Issued and Other Borrowed Funds	-	554,732	994,608	5,125,368	-	6,674,708
Other Financial Liabilities	58,120	2,199,928	349,903	1,602,533	-	4,210,484
Total Financial Liabilities	5,074,701	69,129,046	50,619,763	44,775,311	-	169,598,821
Total Net Financial Assets/(Liabilities)	17,029,757	(6,405,724)	26,263,001	25,983,795	4,858,581	67,729,410
Cumulative Net Financial Assets/(Liabilities)	17,029,757	10,624,033	36,887,034	62,870,829	67,729,410	-

4.3.1 (d) The table below summarises the maturity profile of the undiscounted cash flows of the Group's financial assets and liabilities as at 31 March 2023.

The table does not reflect the expected cash flows indicated by its deposit retention history and loan recovery patterns.

As at 31 March 2023 - Group	On Demand	Less than 3 Months	3 - 12 Months	1 - 5 Years	Over 5 Years	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets						
Cash and Cash Equivalents	3,731,146	976,985	-	-	-	4,708,131
Financial Assets Recognised Through Profit or Loss	10,653	-	-	-	-	10,653
Financial Assets at Amortised Cost						
- Loans and Receivables	22,976,697	64,643,231	38,848,453	59,314,855	4,452,911	190,236,147
Financial Assets Measured at Fair Value Through						
Other Comprehensive Income	117,390	-	-	-	-	117,390
Other Financial Assets	640,028	9,704,545	14,075,757	-	-	24,420,330
Total Financial Assets	27,475,914	75,324,761	52,924,210	59,314,855	4,452,911	219,492,651
Financial Liabilities						
Due to Banks	512,456	3,420,271	7,383,347	11,720,737	-	23,036,811
Due to Depositors	2,782,104	57,308,381	47,479,036	20,278,435	-	127,847,956
Debt Instruments Issued and Other Borrowed Funds	-	1,297,852	1,250,544	1,628,457	-	4,176,853
Other Financial Liabilities	1,547,339	304,139	286,000	1,440,688	556,437	4,134,603
Total Financial Liabilities	4,841,899	62,330,643	56,398,927	35,068,317	556,437	159,196,223
Total Net Financial Assets/(Liabilities)	22,634,015	12,994,118	(3,474,717)	24,246,538	3,896,474	60,296,428
Cumulative Net Financial Assets/(Liabilities)	22,634,015	35,628,133	32,153,416	56,399,954	60,296,428	-

4.3.2 Contractual Maturities of Commitments and Contingencies

The table below shows the contractual expiry by remaining maturity of the Company/Group's contingent liabilities and commitments. Each undrawn loan commitment is included in the time band containing the earliest date it can be drawn down. For issued financial guarantee contracts, the maximum amount of the guarantee is allocated to the earliest period in which the guarantee could be called.

As at 31 March 2024 - Company	On Demand	Less than 3 Months	3 - 12 Months	1 - 5 Years	Over 5 Years	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Contingent Liabilities						
Guarantees Issued to Banks and Other Institutions	-	1,000	3,000	1,500	-	5,500
Counter Indemnity Issued to Banks for Guarantees	-	-	-	298,370	-	298,370
Total Contingent Liabilities	-	1,000	3,000	299,870	-	303,870
Commitments						
Commitment for Unutilised Facilities	1,978,020	-	-	-	-	1,978,020
Total Commitments	1,978,020	-	-	-	-	1,978,020
Total Commitments and Contingencies	1,978,020	1,000	3,000	299,870	-	2,281,890

As at 31 March 2023 - Company	On Demand	Less than 3 Months	3 - 12 Months	1 - 5 Years	Over 5 Years	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Contingent Liabilities						
Guarantees Issued to Banks and Other Institutions	-	2,000	4,275	-	-	6,275
Counter Indemnity Issued to Banks for Guarantees	-	-	-	324,000	-	324,000
Import LC and Ordinary Guarantees	51,558	-	-	-	-	51,558
Total Contingent Liabilities	51,558	2,000	4,275	324,000	-	381,833
Commitments						
Commitment for Unutilised Facilities	2,022,115	-	-	-	-	2,022,115
Total Commitments	2,022,115	-	-	-	-	2,022,115
Total Commitments and Contingencies	2,073,673	2,000	4,275	324,000	-	2,403,948

As at 31 March 2024 - Group	On Demand	Less than 3 Months	3 - 12 Months	1 - 5 Years	Over 5 Years	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Contingent Liabilities						
Guarantees Issued to Banks and Other Institutions	-	1,000	3,000	1,500	-	5,500
Counter Indemnity Issued to Banks for Guarantees	-	-	-	47,420	-	47,420
Total Contingent Liabilities	-	1,000	3,000	48,920	-	52,920
Commitments						
Commitment for Unutilised Facilities	1,978,020	-	-	-	-	1,978,020
Total Commitments	1,978,020	-	-	-	-	1,978,020
Total Commitments and Contingencies	1,978,020	1,000	3,000	48,920	-	2,030,940

Notes to the Financial Statements

As at 31 March 2023 - Group	On Demand	Less than 3 Months	3 - 12 Months	1 - 5 Years	Over 5 Years	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Contingent Liabilities						
Guarantees Issued to Banks and Other Institutions	-	2,000	4,275	-	-	6,275
Counter Indemnity Issued to Banks for Guarantees	-	-	-	324,000	-	324,000
Import LC and Ordinary Guarantees	51,558	-	-	-	-	51,558
Total Contingent Liabilities	51,558	2,000	4,275	324,000	-	381,833
Commitments						
Commitment for Unutilised Facilities	2,022,115	-	-	-	-	2,022,115
Total Commitments	2,022,115	-	-	-	-	2,022,115
Total Commitments and Contingencies	2,073,673	2,000	4,275	324,000	-	2,403,948

4.3.3 Liquidity Reserves

The table below sets out the components of the Company's liquidity reserves;

As at 31 March	2024		2023	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Notes and Coins Held	1,965,160	1,965,160	1,810,836	1,810,836
Balances with Banks	1,934,329	1,934,329	1,338,660	1,338,660
Securities under Reverse Repurchase Agreements (Less than 03 Months)	3,506,594	3,506,594	830,880	830,880
Investment in Unit Trust	1,908,342	1,908,342	543,656	543,656
Securities under Reverse Repurchase Agreements (More than 03 Months)	4,568,918	4,568,918	4,651,908	4,651,908
Investment in Treasury Bills	10,994,294	11,052,693	7,538,577	7,578,396
Investment in Fixed Deposits	4,202,401	4,202,401	8,880,297	8,880,297
Total Liquidity Reserves	29,080,038	29,138,437	25,594,814	25,634,633

4.3.4 Financial Assets Available for Future Funding

The total financial assets recognised in the Statement of Financial Position as at 31 March 2024 and 2023 that can be use for the future funding is shown in the following tables;

As at 31 March 2024 - Company	Encumbered		Unencumbered		Total
	Pledged as Collateral	Other	Available as Collateral	Other	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cash and Cash Equivalents	-	3,506,594	5,807,831	-	9,314,425
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	-	-	14,674	-	14,674
Financial Assets at Amortised Cost - Loans and Receivables	42,172,635	-	119,118,851	-	161,291,486
Financial Assets Measured at Fair Value Through Other Comprehensive Income	-	-	118,587	-	118,587
Other Financial Assets	418,988	4,568,918	8,352,331	7,034,533	20,374,770
Total	42,591,623	8,075,512	133,412,274	7,034,533	191,113,942

As at 31 March 2023 - Company	Encumbered		Unencumbered		Total Rs. '000
	Pledged as Collateral	Other	Available as Collateral	Other	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Cash and Cash Equivalents	-	830,880	3,693,152	-	4,524,032
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	-	-	10,653	-	10,653
Financial Assets at Amortised Cost - Loans and Receivables	37,150,380	-	108,038,794	-	145,189,174
Financial Assets Measured at Fair Value Through Other Comprehensive Income	-	-	117,388	-	117,388
Other Financial Assets	1,736,936	4,651,908	11,795,269	3,501,721	21,685,834
Total	38,887,316	5,482,788	123,655,256	3,501,721	171,527,081

4.4 Market Risk

Market risk refers to the possible losses to the Group that could arise from changes in market variables such as interest rates, exchange rates, equity prices and commodity prices. The objective of market risk management is to manage and control market risk exposures within acceptable parameters to ensure the Group's solvency while optimising the return on risk.

4.4.1 Interest Rate Risk

Interest rate risk is a key constitute of the market risk exposure of the Group due to adverse and unanticipated movements in future interest rate which arises from core business activities; disbursing of credit facilities, accepting deposits and issuing debt instruments.

Due to the nature of operations of the Group, the impact of interest rate risk is mainly on the earnings of the Group rather than the market value of portfolios.

Excessive movements in market interest rate could result in severe volatility to Group's net interest income and net interest margin. Group's exposure to interest rate risk is primarily associated with factors such as;

- ◆ Reprising risk arising from a fixed rate borrowing portfolio, where reprising frequency is different to that of the lending portfolio.
- ◆ Yield curve risk arising from unanticipated shifts of the market yield curve.

Interest rate risk is managed principally through minimising interest rate sensitive asset liability gaps. In order to ensure interest rate margin and spreads are maintained, the Group conducts periodic reviews and reprices its assets accordingly. During the year, under the declining interest rate environment, the Company ensured timely repricing of deposit liabilities, following the market interest rate trend and strategically managed the downward pressure on the Net Interest Income by reducing the cost of funds.

4.4.2 Interest Rate Sensitivity

Impact on Net Interest Income due to a parallel rate shock of 100 basis points (bps) on rate sensitive assets and liabilities is shown below;

Net Interest Income (NII) Sensitivity by Interest Rate Change

As at 31 March	2024		2023	
	Parallel Increase 100 bps	Parallel Decrease 100 bps	Parallel Increase 100 bps	Parallel Decrease 100 bps
Impact on Net Interest Income (Rs. '000)				
Annual Impact	(+) 176,240	(-) 176,240	(+) 297,074	(-) 297,074

Notes to the Financial Statements

4.4.3 Interest Rate Risk Exposure on Financial Assets and Liabilities

4.4.3 (a) The table below analyses the Company's interest rate risk exposure on financial assets and liabilities. The Company's assets and liabilities are included at carrying amount and categorised by the earlier of contractual reprising or maturity dates.

As at 31 March 2024 - Company	Up to 3 Months Rs. '000	3 - 12 Months Rs. '000	1 - 3 Years Rs. '000	3 - 5 Years Rs. '000	Over 5 Years Rs. '000	Non-Interest Sensitive Rs. '000	Total Rs. '000
Financial Assets							
Cash and Cash Equivalents	7,349,265	-	-	-	-	1,965,160	9,314,425
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	-	-	-	-	-	14,674	14,674
Financial Assets at Amortised Cost - Loans and Receivables	80,837,245	42,927,643	29,370,568	8,127,720	28,310	-	161,291,486
Financial Assets Measured at Fair Value Through Other Comprehensive Income	-	-	-	-	-	118,587	118,587
Other Financial Assets	10,079,439	9,686,175	-	-	-	609,156	20,374,770
	98,265,949	52,613,818	29,370,568	8,127,720	28,310	2,707,577	191,113,942
Financial Liabilities							
Due to Banks	16,423,269	2,860,256	2,418,487	-	-	-	21,702,012
Financial Liabilities at Amortised Cost - Due to Depositors	64,691,861	38,182,963	14,320,235	5,613,065	-	-	122,808,124
Debt Instruments Issued and Other Borrowed Funds	542,232	887,621	3,371,967	689,581	-	-	5,491,401
Other Financial Liabilities	54,988	172,314	519,941	460,171	467,245	2,083,117	3,757,776
	81,712,350	42,103,154	20,630,630	6,762,817	467,245	2,083,117	153,759,313
Interest Sensitivity Gap	16,553,599	10,510,664	8,739,938	1,364,903	(438,935)	624,460	37,354,629
Cumulative Interest Sensitivity Gap	16,553,599	27,064,263	35,804,201	37,169,104	36,730,169	37,354,629	

4.4.3 (b) The table below analyses the Company's interest rate risk exposure on financial assets and liabilities. The Company's assets and liabilities are included at carrying amount and categorised by the earlier of contractual reprising or maturity dates.

As at 31 March 2023 - Company	Up to 3 Months Rs. '000	3 - 12 Months Rs. '000	1 - 3 Years Rs. '000	3 - 5 Years Rs. '000	Over 5 Years Rs. '000	Non-Interest Sensitive Rs. '000	Total Rs. '000
Financial Assets							
Cash and Cash Equivalents	2,713,196	-	-	-	-	1,810,836	4,524,032
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	-	-	-	-	-	10,653	10,653
Financial Assets at Amortised Cost - Loans and Receivables	92,352,919	19,702,630	27,652,979	5,444,494	36,152	-	145,189,174
Financial Assets Measured at Fair Value Through Other Comprehensive Income	-	-	-	-	-	117,388	117,388
Other Financial Assets	8,082,729	12,988,053	-	-	-	615,052	21,685,834
	103,148,844	32,690,683	27,652,979	5,444,494	36,152	2,553,929	171,527,081
Financial Liabilities							
Due to Banks	3,325,385	5,881,875	9,745,916	416,608	-	-	19,369,784
Financial Liabilities at Amortised Cost - Due to Depositors	57,736,499	41,879,777	9,679,048	4,716,375	-	-	114,011,699
Debt Instruments Issued and Other Borrowed Funds	1,901,895	490,154	1,489,975	-	-	-	3,882,024
Other Financial Liabilities	42,758	138,628	464,658	450,808	428,400	1,730,610	3,255,862
	63,006,537	48,390,434	21,379,597	5,583,791	428,400	1,730,610	140,519,369
Interest Sensitivity Gap	40,142,307	(15,699,751)	6,273,382	(139,297)	(392,248)	823,319	31,007,712
Cumulative Interest Sensitivity Gap	40,142,307	24,442,556	30,715,938	30,576,641	30,184,393	31,007,712	

4.4.3 (c) The table below analyses the Group's interest rate risk exposure on financial assets and liabilities. The Group's assets and liabilities are included at carrying amount and categorised by the earlier of contractual reprising or maturity dates.

As at 31 March 2024 - Group	Up to 3 Months Rs. '000	3 - 12 Months Rs. '000	1 - 3 Years Rs. '000	3 - 5 Years Rs. '000	Over 5 Years Rs. '000	Non-Interest Sensitive Rs. '000	Total Rs. '000
Financial Assets							
Cash and Cash Equivalents	7,542,872	-	-	-	-	2,016,730	9,559,602
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	-	-	-	-	-	14,674	14,674
Financial Assets at Amortised Cost - Loans and Receivables	80,907,217	44,080,557	29,377,271	8,128,378	28,310	-	162,521,733
Financial Assets Measured at Fair Value Through Other Comprehensive Income	-	-	-	-	-	118,589	118,589
Other Financial Assets	10,113,217	9,721,031	-	-	-	609,156	20,443,404
	98,563,306	53,801,588	29,377,271	8,128,378	28,310	2,759,149	192,658,002
Financial Liabilities							
Due to Banks	16,426,164	3,111,206	2,418,487	-	-	-	21,955,857
Financial Liabilities at Amortised Cost - Due to Depositors	64,879,301	38,202,028	14,340,153	5,613,065	-	-	123,034,547
Debt Instruments Issued and Other Borrowed Funds	542,232	887,621	3,371,967	689,581	-	-	5,491,401
Other Financial Liabilities	57,053	175,233	527,180	463,166	477,373	2,115,892	3,815,897
	81,904,750	42,376,088	20,657,787	6,765,812	477,373	2,115,892	154,297,702
Interest Sensitivity Gap	16,658,556	11,425,500	8,719,484	1,362,566	(449,063)	643,257	38,360,300
Cumulative Interest Sensitivity Gap	16,658,556	28,084,056	36,803,540	38,166,106	37,717,043	38,360,300	

4.4.3 (d) The table below analyses the Group's interest rate risk exposure on financial assets and liabilities. The Group's assets and liabilities are included at carrying amount and categorised by the earlier of contractual reprising or maturity dates.

As at 31 March 2023 - Group	Up to 3 Months Rs. '000	3 - 12 Months Rs. '000	1 - 3 Years Rs. '000	3 - 5 Years Rs. '000	Over 5 Years Rs. '000	Non-Interest Sensitive Rs. '000	Total Rs. '000
Financial Assets							
Cash and Cash Equivalents	2,850,651	-	-	-	-	1,830,304	4,680,955
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	-	-	-	-	-	10,653	10,653
Financial Assets at Amortised Cost - Loans and Receivables	92,986,637	20,181,432	27,719,412	5,447,964	36,152	-	146,371,597
Financial Assets Measured at Fair Value Through Other Comprehensive Income	-	-	-	-	-	117,390	117,390
Other Financial Assets	8,079,343	13,008,376	-	8,039	-	615,052	21,710,810
	103,916,631	33,189,808	27,719,412	5,456,003	36,152	2,573,399	172,891,405
Financial Liabilities							
Due to Banks	3,348,137	5,881,875	9,745,916	416,608	-	-	19,392,536
Financial Liabilities at Amortised Cost - Due to Depositors	57,849,525	41,989,314	9,693,039	4,716,375	-	-	114,248,253
Debt Instruments Issued and Other Borrowed Funds	1,901,895	490,154	1,489,975	-	-	-	3,882,024
Other Financial Liabilities	20,608	144,130	472,114	450,808	432,642	1,762,757	3,283,059
	63,120,165	48,505,473	21,401,044	5,583,791	432,642	1,762,757	140,805,872
Interest Sensitivity Gap	40,796,466	(15,315,665)	6,318,368	(127,788)	(396,490)	810,642	32,085,533
Cumulative Interest Sensitivity Gap	40,796,466	25,480,801	31,799,169	31,671,381	31,274,891	32,085,533	

4.4.4 Commodity Price Risk

Commodity price risk refers to the uncertainties of future market values and of the size of the future income, caused by the fluctuation in the prices of commodities. Given the significance of the Gold Loans business to Group's overall loan book, sharp fluctuations to the gold prices could have an adverse impact to earnings. Gold price fluctuations lead to market risk which is the primary source of credit risk associated with this product.

Group currently manages the credit and market risks arising from adverse movements in gold prices by adopting the following strategies;

- ◆ Shorter product life: Group, as a credit risk management strategy lends for shorter periods allowing it to initiate its recovery process faster.
- ◆ Frequent revisions to Loan-to-Value (LTV) Ratio: Group practices a process of revising advance offered per gold sovereign to reflect market value fluctuations to maintain the desired healthy Loan to Value Ratio.
- ◆ Timely auction of gold stocks : The gold stock of defaulted facilities are auctioned on frequent basis, avoiding pilling up of gold stock which would lead to larger losses at a sudden drop in the gold prices.

Further, stress tests are carried out regularly to assess the impact at decline in gold prices in varied levels.

Value at Risk (VaR) model is used as a key tool to assess the maximum estimated loss that can arise with a specified probability (confidence level) over a specified period of time due to adverse movement of gold price. The VaR model used is mainly on historical simulation and the model generates a wide range of plausible future scenarios for market price movements.

As at 31 March	2024	2023
3 months VaR of Global Gold Price at 95% Confidence Level	9.64%	11.77%
3 months VaR of Exchange Rate at 95% Confidence Level	4.19%	13.02%
Expected Credit Loss (Rs. '000)	364,303	752,765

4.4.5 Exchange Rate Risk

Exchange rate risk is the risk of loss as a result of unhedged exposure to volatility in the local (LKR) exchange rate with other major currencies.

Group is exposed to two types of risk caused by currency volatility.

Transaction risk – This risk arises whenever the Group has contractual cash flows (receivables and payables) whose values are subject to unanticipated changes in exchange rates due to a contract being denominated in a foreign currency. This type of exposure is short-term to medium-term in nature.

The contractual payable in foreign currency is fully hedged through a cross currency swap and the Company is not exposed to transaction foreign currency risk as at 31 March 2024.

Translation risk – This exposure arises from the effect of currency fluctuations on the consolidated financial statements, particularly when it has foreign subsidiaries. This type of exposure is medium-term to long-term.

The Company's exposure to Translation foreign currency risk is at a minimal level

Further, exchange risk could materialize as an indirect risk too, affecting local gold prices resulting in exaggerated commodity risk.

Exchange rate movement is closely monitored and assesses the impact to local gold price. As presented in note 4.4.4 above, the historical movement of exchange rate is considered in the VaR approach of the commodity risk assessment.

4.4.6 Equity Price Risk

Equity price risk is the risk that the fair value of equities decreases as a result of changes in the levels of equity indices and the value of individual stocks. The Equity risk exposure to the Group is at a minimal level.

4.5 Operational Risk

Operational risk is inherent in all the products, activities, processes and systems of the Company, and the effective management of operational risk has always been a fundamental element of a Group's risk management program. Operational risk can arise from a wide range of different external events or internal events. A strong operational risk culture together with robust internal controls, effective monitoring and internal reporting, contingency planning, clear strategies and oversight by the Board of Directors and Senior Management are crucial elements of the effective Operational Risk Management Framework of the Company.

Following tools are utilised to identify and assess the operational risk the Group is exposed to and they may also be utilised to implement action plans and monitor their execution.

- ◆ Reporting, Collection and Analysis of Operational Risk Incidents and Loss Events
- ◆ Departmental Wise Qualitative Risk Identification
- ◆ Risk Appetite and Tolerance Levels for Operational Risk
- ◆ Exception Monitoring
- ◆ Regular Monitoring of Key Risk Indicator
- ◆ Risk and Control Self-Assessment on Fraud Risk
- ◆ Branch Operational Risk Assessment

4.6 Capital Adequacy

For a financial institution, capital is a buffer against insolvency. It is available to absorb unforeseen losses which will assure the sustainability of the Group's operations so the Group can remain in business. The more capital the Group has relative to the risks it takes, the more confidence the stakeholders are that it will meet its obligations to them. Group's capital management process is steered with the aim of holding sufficient capital to support the Group's risk appetite whilst maintaining adequate capital to meet minimum regulatory capital requirements. The capital goals of the Company are related to the effective capital management. They focus on bringing a right balance between risk absorption capacity and return to shareholders.

The Company has acquired the majority stake of the Multi Finance PLC in line with the Consolidation Master Plan of Central Bank of Sri Lanka on 16 March 2022. Multi Finance PLC is yet to comply with the minimum core capital requirements as required by the Direction on 2 of 2017 - Minimum Core Capital. Currently, the Group management is in the process of completing the amalgamation process as approved by the Central Bank of Sri Lanka. Multi Finance PLC is in compliance with the Tier 1 Capital ratio and Total Capital ratio (Capital Adequacy Requirements) as of 31 March 2024.

Regulatory Capital - Company

As per the Finance Business Act Direction No. 3 of 2018, the Licensed Finance Companies (LFCs) with assets of Rs. 100 Bn and above required to maintain a minimum Capital Adequacy Ratio (CAR) of 14% and a Core Capital Ratio (Tier 1) of 10%.

Components of Capital

As at 31 March	2024		2023	
	Actual Rs. '000	Required Rs. '000	Actual Rs. '000	Required Rs. '000
Tier 1 Capital	42,319,559	13,457,831	36,514,610	11,970,090
Tier 2 Capital	43,321,826	18,840,964	37,261,024	16,758,126
Total Risk Weighted Assets	134,578,311	-	119,700,901	-
Tier 1 Capital Ratio %	31.45%	10.00%	30.50%	10.00%
Total Capital Ratio %	32.19%	14.00%	31.13%	14.00%

As of 31 March 2024, the Company has maintained Risk Weighted Capital Adequacy Ratios above the CBSL's minimum capital requirements.

In terms of Basel Framework for Risk Management, the Company currently uses the standardised approach for credit risk weighted assets quantification and basic indicator approach for operational risk weighted assets quantification for the purpose of regulatory capital adequacy assessment. Further, the Company has adopted the Internal Capital Adequacy Assessment Process (ICAAP) which is an integral part of Basel Framework. The capital consumption by pillar II risks is assessed under ICAAP and capital augmentation is considered in line with the Company's medium term corporate strategy.

